

EUROMOD Country Report – France

2022-2025

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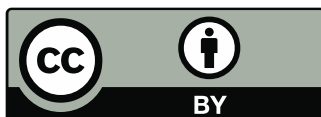
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Abstract

The EUROMOD Country Reports have the double function of describing the scope of the EUROMOD simulations, including the underlying assumptions, and providing the validation of these simulations against official statistics. The Country Report for France is prepared by the French EUROMOD National Team each year and made available by the JRC on time for the EUROMOD stable release of the model at the beginning of each year.

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The work was carried out jointly by the EUROMOD core development team, based at the JRC in Seville, and the French national team.

Authors

The key contributors to this update were:

- Laurence Bouvard and Alain Trannoy, as members of the national team for France
- Silvia Navarro, as JRC developer responsible for France

1. Introduction

EUROMOD is the tax-benefit microsimulation model for the European Union (EU). It enables users to calculate in a comparable manner the effects of taxes and benefits on household incomes and work incentives for the population of each Member State and for the EU as a whole.

EUROMOD is yearly updated to cover the most recent changes in countries' tax and benefit policies. It uses input databases which are also regularly updated, derived from the European Union Statistics on Income and Living Conditions (EU-SILC) and matched with Household Budget Surveys (HBS). The model's update is supported by the following Directorate-Generals and Services of the European Commission: DG EMPL, DG ECFIN, DG TAXUD, SG REFORM, DG JRC, DG ESTAT.

EUROMOD was originally maintained, developed and managed by the Institute for Social and Economic Research (ISER). In 2021, these responsibilities were taken over by the Joint Research Centre (JRC) of the European Commission, in collaboration with Eurostat and 27 national teams from the EU countries. Currently the EUROMOD governance structure consists of a Steering Committee, allowing partner DGs to monitor the process of the EUROMOD update, and a Scientific Advisory Board to monitor and guide the scientific development of the model.

This report documents the work done in the most recent annual update for France. It provides an overview of the French tax-benefit system in 2022-2025 and of how these policies are implemented in EUROMOD. The results presented are derived using EUROMOD version J2.0+, and they may not match those obtained using earlier or later versions of the model.

The EUROMOD model and software, together with extensive information and documentation, are available online:

- EUROMOD homepage: <https://euromod-web.jrc.ec.europa.eu/resources/documentation>
- Downloads: <https://euromod-web.jrc.ec.europa.eu/download-euromod>
- Documentation: <https://euromod-web.jrc.ec.europa.eu/resources/documentation>
- Glossary of EUROMOD terms: <https://euromod-web.jrc.ec.europa.eu/resources/glossary>

1.1. Basic information about the tax-benefit system

The tax-benefit system in France is mainly a national system where people are taxed the same way in whatever region they live. There are, however, exceptions for local taxes such as the land tax ("*taxe foncière*") and the tax on occupied housing ("*taxe d'habitation*"), which are defined at the regional level. For local taxes, the rates are set every year by the local authorities.

The fiscal year runs from 1st of January to the 31st of December. The tax rules usually determine in November each year defining the tax policy of the next year. The state pension age was 60 up to 30/06/2011. After this date in 2011, reforms increased the state pension age between 62 and 67 for the full-pension. In June 2012, this reform was reversed. The amount of pension paid depends on the number of quarters worked. The state pension minimum age was 62 when the retiree have the necessary numbers of quarters of contribution which entitle to a full pension (if not, they can leave at 62 years old but they don't received a full pension, they have penalties. If they want to earn a full pension they have to work until they have the good number of contribution quarters, that is to say at an age older then 62 years old but less than 67). From 1st September 2023, a reform

introduces a minimum retirement age of 64 years old. This reform will be applied progressively according to the year of birth of workers (63 years and 3 months in 2027 to 64 years in 2030, with 43 years of contribution).

Table 1.1 Retirement Age by year of age under the 2023 pension reform

Year of birth	Retirement age
1962	62 years and 6 months
1963	62 years and 9 months
1964	63 years
1965	63 years and 3 months
1966	63 years and 6 months
1967	63 years and 9 months
From 1 st January 1968	64 years

Source: CLEISS (2025). *The French social security system III – Retirement*:
https://www.cleiss.fr/docs/regimes/regime_france/an_3.html

The minimum school leaving age is 16 and the school obligation start at 3 (since September 2019, before it was 6). The conditions to be considered as a dependent child entitled to family benefits are being aged less than 20 years old and earning less than 55 % of the minimum wage (based on being employed 169 hours per month, looking at the gross wage) or to be disabled and under 20. These conditions are used for the calculation of social benefits.

For both benefit and tax purposes, lone parents are the parents of resident dependent children aged under 18, who

- Do not cohabit with others adults who are not dependant (disabled)
- Cohabit with adults with whom they cannot marry (mother, brother, cousin...)

The income tax system is a joint system. It is based on a tax group: the “foyer fiscal”. Spouses are assessed together. People who are married or who have signed a contract of civil partnership (PACS) are considered spouses.

This tax group consists of one taxpayer plus the persons who are “fiscally” dependent like dependent children and dependent parents.

Children are considered to be fiscally dependent if:

- They are aged under 18 (automatically)
- They are aged under 21 (and they want to be declared with their parents)
- They are aged under 25 and they are students (and want to be declared with their parents)
- They are disabled (automatically whatever their age).

Other adults can be dependent if they are disabled.

All incomes of people in the tax group are combined to calculate income tax. In France, there is a family ratio system (“*quotient familial*”) which is applied before the calculation of income tax. This family ratio gives a weight to each person in the tax group. The family ratio is applied to the total income of the tax group before it is subjected to the tax schedule.

Taxpayers have to fill in a tax return with the total of the revenue of the previous year in April-May.

Until 2018, there were two different ways to pay income tax .

- A monthly withholding, evaluated based on the amount paid the previous year. The difference between the amount actually paid and the amount payable is adjusted in September.
- 3 payments in the year evaluated on the amount paid the previous year ("*Tiers provisionnel*"). The third payment is reassessed in September depending on the amount effectively due for the year.

From 2019, France introduces a withholding income tax, the tax is deducted by the employer directly from the wage of the employee, by the pension funds for pensioner and by the employment office ("*pôle emploi*") for the unemployed. For the self-employed professions, the levy can be paid monthly or quarterly, depending on their choice.

The amount of the withholding income tax depends on the tax rate that is proposed by administration and that is based on previous years' amount of income tax. The taxpayer may choose to increase or decrease this rate. The rate chosen by taxpayers is transmitted to employers or funds. The taxpayer must file a return of income in the spring, then, the rates will automatically be revised for the subsequent months.

Most benefits in France are indexed every year to take account of inflation (particularly for social minima). In the same way, tax brackets and the amounts involved in tax computation are re-evaluated to take account of inflation.

Most benefits are assessed yearly based on past income (of the previous year or the year before) or assessed for 3 months based on the 12 month past income.

The legal working week for full-time employees is set at thirty-five hours since 2000 (or 2002 depending on the firm size), it was 39 hours before. This is the threshold for calculating overtime, with some exceptions.

Consumption taxes consist of (1) VAT with several rates, (2) harmonised excises on tobacco, alcohol, and energy, and (3) purchase of motor vehicles.

See https://ec.europa.eu/taxation_customs/tedb/taxSearch.html

The policy parameters saved as constants in the model and their values for the most recent year are available at <https://euromod-web.jrc.ec.europa.eu/resources/parameters>.

1.2. Social Benefits

There are broadly three types of social welfare payments in France: family benefits (means and non-means tested), replacement incomes and social assistance.

Family benefit ("*Allocations Familiales*", AF): Family benefit is the main child benefit in France. It is granted to households with two or more dependent children. The amount varies with the number of children and their age. There is an income threshold since July 2015.

Mean-tested benefit for young children ("*Prestation d'accueil du jeune enfant*", PAJE): This mean-tested benefit is for families with children under 3.

Means-tested family complement ("*Complément familial*"): This mean-tested allowance is targeted at families with at least three dependent children aged 3 and over.

Mean-tested education grant (*“Allocation de rentrée scolaire”, ARS*): is an annual lump-sum allowance for school children, paid in September. It is paid for each dependent child aged between 6 and 18. There is an income threshold.

Family support allowance (*“Allocation de soutien Familial”, ASF*): is not mean-tested. The benefit is paid to children under 20 who are not raised by both parents.

Education allowance for handicapped children (*“Allocation d’Education de l’Enfant Handicapé”, AEEH*) : A family is entitled to the allowance if a child under 20 has at least a 79 % disability or a disability between 50 % and 80 % while attending special school, or if the condition requires the use of special education. The benefit amount is increased for lone parents.

Disabled benefit (*“Allocation aux adultes handicaps”, AAH*): is an allowance for disabled working age adults who cannot work because of disability. It concerns people over 20 and under 62 years of age. It is paid to persons who suffer from permanent disability of at least 80 % or between 50 % and 79 % and have difficulties in finding substantial and sustainable employment. There is an income threshold.

Solidarity Labour Income (*“Revenu de solidarité active”, RSA*): The RSA is a guaranteed minimum income and low-earnings top-up. It was tested in 34 counties from May 2007 and then generalized to the entire country from 1 June 2009. The RSA replaces the minimum income (RMI), the single parent allowance (API) (in this case the RSA is increased), and some lump-sum aids like the grant of temporary return to work.

Activity allowance (*“Prime d’activité”*): This allowance was created from 1 January 2016 and replaces the RSA activity allowance and the PPE tax credit. There is an income threshold.

Back-to-work allowance (*“Prime de retour à l’emploi”*): Until 31 december 2022, a back-to-work financial aid is allocated to the beneficiaries of RSA who find a job.

Solidarity allowance for the elderly (*“Allocation de solidarité aux personnes âgées”, ASPA*): provides a minimum pension for persons aged 65 and over with limited resources. It varies according to household income.

Since 1st of January 2006, the minimum pension for elderly (*“Minimum vieillesse”, MV*) was replaced by the solidarity allowance for the elderly (*“Allocation de solidarité aux personnes âgées”, ASPA*). ASPA replaces a dozen benefits merging into a single allowance (like the allowance for elderly employed persons, allowance for elderly non-employed persons, allowance for mother etc.).

Means-tested benefit for widows/widowers: Survivor Minimum Pension (*“Allocation veuvage”*): is a minimum pension limited in time (2 years) to a spouse of a previously insured person. It applies for persons who were widowed at less than 55 years old with resources under a threshold income.

Personalized housing benefit (*“Aide personnalisée au logement”, APL*): is an aid granted to people whose principal residence meets certain conditions, to help reduce expenses related to their principal primary residence. It applies only to tenants living in subsidized housing or owners who have to repay certain types of loans (state-subsidized loan). The amount depends on the resources and the rent paid or loan repayment.

Housing benefit (*“Allocation logement”, AL*): applies to people not eligible for the APL because their principal residence does not respect some conditions of the APL. This allowance is divided into *“Allocation de logement familiale”, ALF* and *“Allocation de logement sociale”, ALS*. ALF is for tenants

and owners if they are eligible for other benefits like the Family benefit, Family support allowance, etc. ALS is granted only to tenants and changes according to resources of the household and the number of dependent persons.

Contributory Pensions: The pension system in France is based on a PAYG system, employees contributions are used to pay pensions for retirees. It is managed by a number of bodies known as pension funds and has two components: the basic pension and supplementary pension. Retirees receive a pension which is proportional to the amount of contributions made by them during their career.

Unemployment Benefit: the unemployment compensation system consists of two regimes: the unemployment insurance ("*Régime d'assurance chômage*", RAC) and the National Solidarity Plan ("*Régime de solidarité nationale*", RSN). The RAC is funded by contributions from employees and employers. RSN compensates the unemployed who have exhausted their rights to unemployment insurance.

The insurance agreement in force at the time of becoming unemployed defines the maximum duration of benefits and the amount of the allowance based on past wages.

Sickness Benefit: The Health Insurance body ("*l'Assurance Maladie*") is one of the four branches of the "*Sécurité Sociale*" (the French social protection system). It manages, at the national level, the disease and accident branches and includes the three main insurance schemes (general, agricultural and independent). It provides protection against five risks: sickness, maternity, disability, death, accidents / illnesses. Its funding is mainly provided by social security contributions on wages (employee and employer charges) as well as social contributions (CSG). Contributors (employees, unemployed, pensioners, students) and their spouses and children are insured. Universal health coverage (CMU, with income threshold) offers basic health insurance for everyone (especially for people who do not meet the criteria for entitlement to Social Security) and supplemental health coverage for people whose incomes are lower.

Parental leave ("*congé maternité*", "*congé paternité*", "*congé d'adoption*"): The Health Insurance ("*l'Assurance Maladie*") also provides a replacement income in case of maternity, paternity or adoption in the same conditions of sickness benefit.

1.2.1. Not strictly benefits

Student grants ("*Bourse étudiante*"): The grant is non-taxable and is means-tested on parental income. Student must be under 28 years on 1 October of the academic year, and the training must qualify to receive the grant. The aid is then awarded based on three criteria: household income tax, the number of children in the family's tax burden and the remoteness of the place of study.

1.3. Social contributions

General Social Security Contribution ("*Contribution sociale généralisée*", CSG): The general social security contribution is a levy with a social purpose. The CSG is allocated to the social security budget and, specifically, to the national family fund, the old-age solidarity fund and compulsory health insurance schemes. The contribution is paid on the income of residents of France and individuals subject to the a French compulsory health insurance scheme.

Social security debt repayment contribution ("*Contribution au remboursement de la dette sociale*", CRDS): The CRDS is intended to clear the deficits of the social security system. Like the CSG, it is paid by individuals who are domiciled in France for tax purposes and who contribute to the French compulsory health insurance scheme.

Social contribution and other additional contributions: Individuals are liable to a social contribution ("*Prélèvement social*"), introduced in 1998, on income from personal assets and investment income. The proceeds are allocated to the old-age solidarity fund, the national retirement pension fund and the pension reserve fund. An additional contribution ("*Contribution additionnelle au prélèvement social*") on income from personal assets and investment income, allocated to the national solidarity fund for autonomy (CNSA), was introduced in 2004. In 2009, a new additional contribution ("*Contribution additionnelle RSA*") on income from personal assets and investment income was created, intended to fund the earned-income supplement ("*revenu de solidarité active*", RSA). In 2013, this contribution has been removed and replaced by the solidarity contribution ("*Prélèvement de solidarité*") based on the same incomes. In 2018, all this social contributions on capital income is 17.2 % (to which is added a flat tax of 12.8 %).

The collection methods for contributions are similar to those for the CSG relating to the same income. These contributions are not deductible from the income tax base.

Employee social contributions: Employee social contributions are aimed at financing the Social Security System which protects employees against the financial consequences of different risks (illness, accident, disability, unemployment) or situations (old age, widowhood). These contributions are taken on all employee wage and related incomes, on the whole gross income. There are several regimes for different types of workers.

Self-employed social contributions: Like employees, the self-employed have to pay social contributions on their gross profit into the Social Security System. There are three types of self-employed (farmers, artisans and industry/trader workers) whose contribution rate are quite different.

Employer social contributions: Employers are liable for social contributions to cover their employees against the financial consequences of old-age, illness, unemployment etc. In addition, there are social contributions used to finance the social system in different areas (family, housing) and to provide employees with the opportunity to be trained (professional training, apprenticeship).

1.4. Taxes

To finance replacement incomes, family benefits and social assistance, a number of taxes and contributions have to be paid. Employees and employers pay contributions on their wages to cover a variety of risks, old age pensions for instance whereas family benefits, sickness (since 2018), unemployment insurance (since 2019) and housing are financed only by employer contributions.

Personal Income Tax ("*Impôt sur le revenu des personnes physiques*", IRPP) :

Personal income tax is, in principle, a comprehensive tax levied on an individual's total income in a given year. All incomes, regardless of origin, are aggregated to give an overall (net of social contributions for the wage part) income to which a single tax scale is applied. The scale has progressive income bands. However, there are many provisions in the method for calculating income tax that allow taxation to be adjusted to personal circumstances. Personal income tax is assessed annually on a tax unit's (a "*foyer fiscal*") taxable income in a calendar year. The system of

taxation is based on the family quotient: the sum of all household incomes are added together and then divided by the number of shares before being submitted to the tax schedule.

Value Added Tax ("*Taxe sur la valeur ajoutée*", TVA): There are 4 main rates: the standard rate of 20 % since 01/01/2014 (19.6 % before) applies to all taxable transactions for which no other rate exists, the reduced rate of 10 % since 01/01/2014 (before it was 7 % since 01/01/2012) applies to goods and services such as restaurants, hotels, transport etc. The second reduced rate of 5.5 % applies to food, utilities etc. from 01/01/2012. Before this date, the reduced rate of 5.5 % applied to restaurants, hotels etc. and food utilities etc. The specific rate of 2.1 % essentially concerns certain medications and certain cultural products.

Excise Duty ("*Droit d'accises*"): They are charged on alcohol and alcoholic beverages, tobacco and fuel (TIPP).

Wealth tax ("*Impôt de solidarité sur la fortune*", ISF): is an annual progressive tax paid by individuals on account of their ownership of personal assets, when the net value of these exceeds a certain amount (1,300,000 € Euros since 1 January 2012). The tax is assessed by household, which comprises spouses, cohabiting partners and minor children. This tax has been removed in 2018 and replaced by the tax on real estate wealth (IFI).

Tax on real estate Wealth ("*Impôt sur la fortune immobilière*", IFI): is an annual progressive tax paid by individuals because of their real estate ownership (except professional real estate) when the net value of these net real estate exceeds a certain amount (1,300,000 € Euros). The tax is assessed by household, which comprises spouses, cohabiting partners and minor children. There is a 30 % abatement on the principal residence value of the tax household.

Exceptional contribution on high incomes ("*Taxe exceptionnelle sur les hauts revenus*"): is an annual tax based on the same incomes that personal income tax. It concern people whose incomes (incomes as "*revenu fiscal de référence, RFR*") are higher than EUR 250, 000 for singles and EUR 500 000 for couples.

Inheritance tax ("*Droits de succession*"): It is charged using a progressive tax schedule. There are many exemptions and deductions related to the type of relationship with the previous owner (spouse, children) and the nature of the donation or bequest.

Housing Tax ("*Taxe d'habitation*", TH): Residential premises are liable for housing tax. The tax is paid by any person who, on 1 January of the year of taxation, has taxable premises at their disposal, whatever their status (owner, tenant, free occupier, but only one tax by premises independantly of the number of person living here). Housing tax is assessed on the value of residential premises resulting from valuations by the authorities. The amount of tax is calculated by multiplying the tax base by the rates voted by each beneficiary local authority for the year in question. In 2018, the government decided to reform the housing tax only for the main residence in order to exclude about 80 % of the taxable households of the housing tax in 2020, for eligible household depending on their income (RFR), the "*taxe d'habitation*" was reduced by 30 % in 2018, 65 % in 2019 and will be exonerated by 100 % in 2020 and after. For the remaining 20 % of wealthiest households, it will be from 2021 to 2023 (30 % in 2021, 65 % in 2022 and 100 % in 2023 and after).

Table 1.2 Applicable thresholds for housing tax exoneration [2021-2022]

Family quotient	Maximum RFR
-----------------	-------------

(in number of shares)	2021	2022
1	27 761 €	28 150 €
1,5	35 986 €	36 490 €
2	44 211 €	44 830 €
2.5	50 380 €	51 085 €
3	56 549 €	57 340 €
3.5	62 718 €	63 595 €
Each additional 0.5	6 169	6 255

Source: https://www.impots.gouv.fr/sites/default/files/media/8_transverse/chatbot/fiche_qr_chatbot-10_2022-07-08.pdf

Land Tax (“*Taxe Foncière*”, TF): is levied annually on land situated in France. Taxable property includes permanent constructions perpetually attached to the ground such as premises intended to accommodate people (residential properties) or business assets (workshops, sheds) etc. The tax base is equal to 50 % of the value, which is regularly updated by the authorities. The amount of tax is calculated by multiplying the tax base by the rates voted by each beneficiary local authority for the year in question. The tax is paid by the owner of the property at 1 January of the year of taxation.

Waste Tax (“*Taxe sur les ordures ménagères*”): Communes that collect household waste may introduce a household waste collection tax. When responsibility for waste disposal has been transferred to a public establishment for intercommunal cooperation, it may levy a tax provided that it at least collects the waste. The tax is assessed on the cadastral income used as the base for property tax on developed land.

Consumption taxes:

— Type and value of VAT rates :

The standard VAT rate is 20%. The intermediate rate is 10 % (e.g. for catering, firewood, agricultural unprocessed product, entrance fees in museums, zoo, passenger transport), the reduced rate of 5.5% exists for basic needs goods and services (e.g. food, books, sanitary product, gas and electricity subscriptions, meal in canteens, ticket for cinema and live performances, social housing). There also a special rate of 2.1% reserved for medicines (only those reimbursable by social security, sales of live animals for slaughter).

— Excise duties are indirect taxes on the sale or use of certain products, including alcohol, tobacco and energy

Excise duties are levied on several products, such as mineral oils, tobacco, various alcoholic beverages, packaging. Alcohol, tobacco, and energy are EU-harmonized taxes. The first two are ad-valorem, while excises on energy are typically ad-quantum.

- A tax applies to individuals and corporations owning motor vehicles. The amount due depends on the type of motor vehicle, the cylinder capacity, the horsepower and the type of fuel used.

1.5. Temporary support measures following the Covid-19 crisis

2021

Several 2020's measures have been renewed in 2021 to reduce the effects of the Covid-19 crisis, such as an exceptional solidarity fund to compensate firms and self-employed for turnover losses (the rate of loss to be eligible depends on the sector of activity). The amount of the solidarity fund depends on the sectors and on the previous turnover.

Financial assistance can be granted to self-employed (artisans-commerçants and micro-entrepreneurs) with a maximum of 1250€ (once a year), the amount given depend on the previous contributions paid by the self-employed). They can have a postponement of social and tax contributions (exoneration for micro company less then 10 employees during the lockdown period). Struggling companies can obtain government guaranteed loans or can reschedule their loans payments with their bank.

Workers can receive sickness benefit if they cannot telework or have to take care of their children while the schools are closed. The use of partial unemployment is facilitated (simplification and reinforcement), at the beginning in 2020, the firm pays 70 % of the gross wages (100 % for SMIC and less) and will be reimbursed by the administration but not fully since June 2020 the rate reimbursed has decreased to 60 % of the 70 %, and decrease regularly in June, July and August 2021 (see section 2.8 and 2.9).

The partial unemployment is facilitated and the eligibility conditions are simplified (see section 2.8 and 2.9).

From November 2020 to May 2021, an exceptional monthly allowance is granted to precarious workers who combine short contracts and unemployment periods. This allowance guarantees a minimum income of 900 € per month (see section 2.8 and 2.9).

2022

Following the resumption of the Covid-19 epidemic in December 2021 and January 2022, some measures taken in previous years have been renewed and reinforced in the most affected sectors subject to the ban on receiving the public or to the imposition of gauging (culture, tourism, events, nightclubs, hotels and restaurants, caterers, indoor entertainment) (see section 2.8 and 2.9 for details).

2. Simulation of taxes, social insurance contributions and benefits in EUROMOD

2.1. Scope of simulation

We do not simulate the entire tax-benefit system in France in EUROMOD. In some cases, adequate data to feed into the simulations is not available. Some examples include lack of information on the contribution history to simulate long-term contributory benefits such as pensions, lack of information on wealth to simulate property taxes etc. As a result, some instruments are not simulated. Instead, the values reported by responded households are taken directly from the underlying microdata. Information about which tax-benefit instruments are simulated and which not, along with information about why some instruments could not be simulated is displayed in tables 2.1 and 2.2.

Table 2.1 Simulation of benefits in EUROMOD [2022-2025]

Benefit	Variable name	2022	2023	2024	2025	Comments
Family benefit (AF)	bch00_s	S	S	S	S	
Means-tested allowances for young children (PAJE)	bchyc_s	S	S	S	S	
Free choice of activity-Pre-ParE(PAJE)	bchcc_s	S	S	S	S	
Large family benefit (CF)	bchlg_s	S	S	S	S	
Means-tested education benefit (ARS)	bched_s	S	S	S	S	
Family support allowance (ASF)	bchor_s	S	S	S	S	Benefit can only be simulated for widows/widowers with underage children; children where one parent has deserted them, as well as children where both parents have died/abandoned the child cannot be identified in the data
Special education allowance (AEEH)	bchot	IA	IA	IA	IA	No information on the disability status of children; included in other benefits for children
Disability benefit (AAH)	bdi_s	S	S	S	S	
Solidarity labour income (RSA)	bsa00_s	S	S	S	S	
Activity bonus	bsawk_s	S	S	S	S	
Return to work allowance	bsaot	IA	IA	IA	IA	No information about previous status before work; no information about continuous employment

Solidarity allowance for the elderly (ASPA)	bsaoa_s	PS	PS	PS	PS	Eligibility is based on observed receipt in the data; although eligibility can be simulated fully, non-take-up of the benefit leads to severe overestimation
Survivor minimum pension (AV)	bsuwd	I	I	I	I	Simulated but turned off in the baseline; no information about when a person became widowed
Housing benefit (APL)	bhoot	IA	IA	IA	IA	No information on subsidized loans; no information on eligible subsidized tenancies; not available informations on asset values
Housing benefit (AL)	bhotn_s	S	S	S	S	Benefit simulated for rent paying tenants only; benefits paid for owners are included in bhoot; not available informations on asset values
Housing benefit (AL)	bhoot	IA	IA	IA	IA	Benefits for homeowners cannot be simulated; they are included alongside other housing benefits; not available informations on asset values
Contributory unemployment insurance benefit (ARE)	bunct_s	PS	PS	PS	PS	No information on contribution history; eligibility approximated by receipt in the data
Means-tested unemployment assistance benefit (ASS)	bunmt_s	PS	PS	PS	PS	Eligibility is based on observed receipt in the data; eligibility conditions can be simulated only approximately because of lack of information on previous contributions and previous receipt of the contributory unemployment insurance benefit
Contributory pensions	poa	I	I	I	I	No information on contribution history and on past wages
Sickness benefits (AM)	bhl	I	I	I	I	No information on days of sickness; no information on previous contribution history
Disability pension	pdi00	I	I	I	I	No information on degree of disability; no information on contribution history
Survivor pensions	psu	I	I	I	I	No information about contribution history
Partial unemployment linked to Covid-19	bwkmcee_s	PS	-	-	-	Eligibility rules are not simulated, since they refer to firms. Allocation of workers is done randomly
Self-employment compensation linked to Covid-19	bwkmcse_s	PS	-	-	-	Eligibility rules are partially simulated, but allocation among the eligible is done randomly
Exceptional support for self-employed linked to Covid-19 (Aide CPSTI RCI COVID-19)	bseec_s	S	-	-	-	Simulation uses current self-employed social insurance contributions as a proxy of previous contributions, which are not available in the dataset
Social assistance linked to Covid-19	bsaeccm_s	-	-	-	-	
Energy Bonus	bhoey_s	S	S	S	S	
Inflation compensation	binxp_s	S	S	-	-	Exceptional 2021-2022 lump-sum to compensate inflation increase

Purchasing power public servants	binps_s	-	S	-	-	Exceptional 2023 lump sum to purchase power of some public servants
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Notes: "E": *excluded* from the model as it is neither included in the micro-data nor simulated; "I": *included* in the micro-data but not simulated; "IA": not simulated but *included in an aggregate variable* from the microdata; "PS" *partially simulated* as some of its relevant rules are not simulated; "S" *simulated* although some minor or very specific rules may not be simulated.

Source: Own elaboration

Table 2.2 Simulation of taxes and social insurance contributions in EUROMOD [2022-2025]

Tax/SIC	Variable name					Comments
		2022	2023	2024	2025	
Personal income tax (IRPP)	tin_s	S	S	S	S	Some tax allowances and tax credits cannot be simulated due to absence of relevant information in the data
VAT	-	S	S	S	S	Calculations based on extended input files with consumption expenditures from HBS
Excise duties	-	S	S	S	S	Calculations based on extended input files with consumption expenditures from HBS
Exceptional contribution on high incomes	tinto_s	S	S	S	S	Simulation is based in the current year only and no account of the averaging with the previous 2 years is taken into account
Differential contribution on high incomes	tinto01_s	-	-	-	S	Simulation is based in the current year only
Generalised social insurance contributions (CSG)	tscxc_s	S	S	S	S	
Insurance contributions for the repayment of the deficit (CRDS)	tscdf_s	S	S	S	S	
Social insurance contributions paid on capital income	tsckt_s	S	S	S	S	
Social insurance contributions paid by employees	tscee_s	S	S	S	S	Only the general 'regime' is simulated; it is not possible to identify employees belonging to the various 'regimes'
Social insurance contributions paid by employers	tscer_s	S	S	S	S	Only the general 'regime' is simulated; it is not possible to identify employees belonging to the various 'regimes'
Social insurance contributions paid by the self-employed	tscse_s	S	S	S	S	
Wealth tax (ISF)	twl	-	-	-	-	Detailed information about asset values is not available in the underlying input dataset
Real estate wealth tax (IFI)	tpr	I	I	I	I	Detailed information about asset values is not available in the underlying input dataset
Housing tax (TH)	tmu	E	E	E	E	Detailed information about housing values and municipality of residence are not available in the underlying input dataset

Notes: "-": policy did not exist in that year; "E": *excluded* from the model as it is neither included in the micro-data nor simulated; "I": *included* in the micro-data but not simulated; "S" policy is *simulated* although some minor or very specific rules may not be simulated.

The EUROMOD input data based on EU-SILC does not include the land tax. The EUROMOD input data based on national SRCV (e.g. 2012) does include the land tax.

Source: Own elaboration

2.1.1. Partially simulated tax-benefit components

Some benefits use eligibility information from the data due to lack of information in the data to simulate all eligibility rules and are therefore only partially simulated. This is the case for the Solidarity allowance for the elderly (bsoa_s), Contributory unemployment insurance benefit (bunct_s) and Means-tested unemployment assistance benefit (bunmt_s) in France. These benefits are only simulated for those with receipt of the benefit in the data. Covid-19-related Monetary compensations for employees (bwkmcee_s) and self-employed (bwkmcse_s) are also partially simulated, since some of the eligibility conditions cannot be simulated and individuals are randomly allocated using external statistics.

2.2. Main policy changes

Table 2.3 Main policy changes [2022 - 2025]

Policies	2022 → 2023	2023 → 2024	2024 → 2025
SMIC	+4.03%	+5.4%	+2%
PSS	+6.9%	+1.13%	+1.6%
Social benefits	+1.6%	+4.6%	+1.7%
Pensions	+0.8%	+5.3%	+2.2%
Social insurance contributions	No change	Few changes for employers	No change for employees and little changes for employers
Direct taxes Income tax brackets	+5.4%	+4.8%	+1.8%
Consumption taxes	No change	No change	No change
Other	Exceptional allowance on petrol expenses Change in income conditions for AAH Increase in public servants salary +1.5%		

Source: Own elaboration

2.2.1. Main policy changes between 2022 and 2023

The PSS has been revalued by 6.9% in 2023 and social contributions have not changed for employees, employers and self-employed.

In 2023, a first increase in the SMIC of 1.81 % took place in January 2023, but due to high inflation, a second increase of 2.22 % also occurs in May, which leads to an increase in the general reduction in employers' contributions ("reduction Fillon") for the eligible employees.

An exceptional increase in unemployment benefit of 1.9% took place in April 2023 to reduce the inflation impact. From February 2023, a reform reduced the duration of the ARE by 25% in case of good labour conditions.

Regarding old age pensions, there is an increase of 0.8 % from January 2023 (after the two rises of 2022, 1.1% in January and 4% in July)

In April 2023, social benefits increased by 1.6 % to compensate for inflation caused by higher energy prices. The one-year inflation rate from April 2022 was estimated as +5.6%, so after the anticipated +4% increase in July 2022, the government decided to increase benefits by +1.6% to compensate inflation.

The 2023 energy voucher (between 48 EUR and 277 EUR) is given to the poorest 20% of households with an RFR/CU < 11 000 EUR. In 2023, a new energy voucher was conditionally allocated to poor households that use wood to heat their home.

An exceptional allowance of 100 EUR on their petrol expenses was granted to poor workers under income conditions and on request.

From 1st October, the income conditions for the means-tested disabled benefit (AAH) have changed. Only the recipient's income is taken into account, independently of his/her spouse's income.

From 1st October, the housing benefits increase by 3.5%.

To limit the impact of the increase in income and to compensate inflation, the income tax brackets has been raised by +5.4%.

For public servants, the basic salary has been increase by 1.5 % from 1st July 2023 (after an increase of 3.5% in July 2022) and an exceptional purchasing power bonus for certain public servants has been introduced, subject to income conditions, and paid in a single lump sum in the last quarter of the year.

2.2.2. Main policy changes between 2023 and 2024

The PSS has been revalued by 5.4% in 2024 and social contributions have not changed for employees, and a little bit for employers and self-employed.

In 2024, the SMIC increased about 1.13 % in January, which leads to an increase in the general reduction in employers' contributions ("reduction Fillon") for the eligible employees.

Regarding old age pensions, there is an increase of 5.3 % from January 2024

In April 2024, social benefits increased by 4.6 % to compensate for inflation. The one-year inflation rate in 2023 was estimated as +4.9%.

The 2024 energy voucher (between 48 EUR and 277 EUR) is given to the poorest 20% of households with an RFR/CU<11 000 EUR.

The exceptional allowance of 100 EUR on their petrol expenses has been renewed in 2024 for poor workers on request, subject to income conditions and if the price of petrol exceeds the set alert threshold .

From 1st October, the housing benefits increase by 3.26%.

To limit the impact of the increase in income and to compensate inflation, the income tax brackets has been raised by +4.8%.

No change in VAT since 2014.

2.2.3. Main policy changes between 2024 and 2025

In 2025, the PSS has been revalued by 1.6%. While employee social contributions have not changed, employers contributions has increased; for sickness and family contributions, the ceilings have been decreased, leading to an increase in the amount of these contributions.

No increase of the SMIC at the beginning of the year 2025, the previous increase about 2 % occurs in November 2024, leads to an increase in the general reduction in employers' contributions ("réduction générale de cotisation") for the eligible employees.

Regarding old age pensions, there is an increase of 2.2 % from January 2025.

In April 2025, social benefits increased by 1.7 % to compensate inflation. The one-year inflation rate in 2024 was estimated as +2%.

In 2025, the reduction of the daily sickness benefit ceiling from 1.8 SMIC to 1.4 SMIC leads to a reduction of the remuneration taken into account in the calculation of the daily allowance for those with income above 1.4 SMIC.

The duration for unemployment benefit has changed for 53 years old and more jobseekers, with a reduction in the number of days compensated.

The 2024 energy voucher (between 48 EUR and 277 EUR) given to the poorest 20% households with an RFR/CU<11 000 EUR has been renewed.

From 1st October 2024, the housing benefits increase by 3.26% (+1.04% in October 2025).

To mitigate the impact of the increase in income, the income tax brackets has been raised by 1.8%.

In 2025, an exceptional differential tax on high incomes is introduced to ensure that the minimum total amount of tax is equal to 20% of the income.

No change in VAT since 2014.

2.3. Order of simulation and interdependencies

2.3.1. Order of simulation in 2022- 2025

The order in which the components of the tax benefit system in France are simulated is shown in Table 2.3 below. The order in which simulations take place is largely determined by the existing interactions within the system. For example, net taxable income which serves to determine eligibility for many means-tested benefits is simulated before these benefits. Contributory unemployment benefits which are liable to income taxation are simulated before income tax, etc.

Table 2.4 EUROMOD Spine: order of simulation, [2022- 2025]

Policy	2022	2023	2024	2025	Description	Main output
Setdefault_fr	on	on	on	on	Definition of default values for variables not present in the input dataset	
uprate_fr	on	on	on	on	Uprating of input data	
CconstDef_fr	on	on	on	on	Definition of constants used in the model	
llsDef_fr	on	on	on	on	Standardized income concepts	
llsdbdef_fr	on	on	on	on	Standard UDB income concepts	
ildef_fr	on	on	on	on	Non- standardized income lists	
TUdef_fr	on	on	on	on	Definition of assessment units used in the model	
random_fr	on	on	on	on	Generation of random numbers for the take-up of RMI/RSA	i_takeup & i_takeup2
transLMA_fr	off	off	off	off	Modelling labour market transitions	
yem_fr	switch	switch	switch	switch	Minimum wage	Yem
neg_fr	on	on	on	on	Recoding of negative values of self-employment income	Yse
yemcomp_fr ¹	on	on	on	on	Wage compensation scheme Covid-19	bwkmcee_s
ysecomp_fr ¹	on	on	on	on	Self-employment compensation scheme Covid-19	bwkmcse_s
bmact_fr	switch	switch	switch	switch	Maternity leave benefit	bmact_s
bpact_fr	switch	switch	switch	switch	Paternity leave benefit	bpact_s
bunct_fr	on	on	on	on	Unemployment insurance benefit (Allocation de retour à l'emploi ARE)	bunct_s
bchor_fr	on	on	on	on	Family Support Allowance (Allocation de soutien familial ASF)	bchor_s
tscee_fr	on	on	on	on	Employee social insurance contributions	tscee_s
bch00_fr	on	on	on	on	Universal child benefit (Allocation Familiale AF)	bch00_s
tscer_fr	on	on	on	on	Employer social insurance contributions	tscer_s
tscse_fr	on	on	on	on	Self-employed social insurance contributions	tscse_s
bseec_fr	on	on	on	on	Exceptional support for self-employed linked to Covid-19	bseec_s
tsckt_fr	on	on	on	on	Social insurance contributions paid on capital income	tsckt_s
bsuwd_fr	off	off	off	off	Minimum survivor pension (Allocation veuvage AV)	bsuwd_s
tinty_fr	on	on	on	on	Net taxable income	il_rniy
tscxc_fr	on	on	on	on	Generalized social insurance contributions (Contribution Sociale Généralisée CSG)	tscxc_s
tinkt_s	on	on	on	on	Personal income tax when using flat rate taxation of capital income (Prélèvement forfaitaire non libératoire PFL)	temp_tingt1

tin_fr	on	on	on	on	Personal income tax when using the progressive tax schedule only and optimization of gross tax	temp_tingt2; tingt_s
tincot_fr	on	on	on	on	Tax credits other than PPE	tintcch_s; tintcmi_s; tintced_s
tintcee_fr	n/a	n/a	n/a	n/a	Low earner refundable tax credit (Prime Pour L'Emploi PPE) & net tax	tintcee_s; tin_s
tinto01_fr	n/a	n/a	n/a	on	Differential contribution on high income (CDHR)	tinto01_s
bdi_fr	on	on	on	on	Means-tested disability benefit (Allocation aux adultes handicapés AAH)	bdi_s
bunmt_fr	on	on	on	on	Unemployment assistance benefit (Allocation de solidarité spécifique ASS)	bunmt_s
bchyc_fr	on	on	on	on	Means-tested benefit for young children (Prestation d'Accueil du Jeune Enfant PAJE)	bchyc_s
bchba_fr	on	on	on	on	Means-tested birth grant (Prime de naissance PN)	bchba_s
bchcc_fr	on	on	on	on	Parental leave supplement (Complément de libre choix d'activité PreParE)	bchcc_s
bched_fr	on	on	on	on	Means-tested education grant (Allocation de rentrée scolaire ARS)	bched_s
bchlg_fr	on	on	on	on	Means-tested benefit for large families (Complément familial CF)	bchlg_s
bhotn_fr	on	on	on	on	Means-tested housing benefits (Allocation Logement AL)	bhotn_s
bsaoa_fr	on	on	on	on	Means-tested solidarity allowance for the elderly (Allocation de solidarité aux personnes âgées ASPA)	bsaoa_s
tscdf_fr	on	on	on	on	Contribution for the deficit repayment (Contribution pour le Remboursement de la Dette Sociale CRDS)_	tscdf_s
bsa00_fr	on	on	on	on	Minimum guaranteed income (Revenu minimum d'insertion RMI/Revenu de solidarité active RSA)	bsa00_s
bsawk_fr	on	on	on	on	Activity allowance (Prime d'activité)	bsawk_s
bsaecm_fr	n/a	n/a	n/a	n/a	Social assistance linked to Covid-19	bsaecm_s
bhoey_fr	on	on	on	on	Energy bonus	bhoey_s
binxp_fr	on	n/a	n/a	n/a	Exceptional 2021-2022 inflation compensation	binxp_s
binps_fr	n/a	on	n/a	n/a	Exceptional 2023 purchasing power premium	binps_s
tco_fr	on	on	on	on	Consumption taxes	il_tva il_txa il_t xv
output_std_fr	on	on	on	on	Standard output file at the individual level	
out-put_std_hh_fr	off	off	off	off	Standard output file at the household level	

Notes: ¹ Covid-19 policies are not included in the baseline even if they are “on” in the spine given that they only work when labour market transitions (TransLMA) are switched on.

Source: Own elaboration

2.4. Policy extensions

Several policies can be switched on or off from the Run dialogue box using extensions:

- **Up-rating by Average Adjustment (UAA).** It is turned off by default. Turning it on from the Run dialog box causes pension income to be up-rated by charges in the average pension rather than using indexation rules.
- **Minimum wage (yem_fr).** Individual earnings in the micro-data are checked against the minimum wage in force at the 30th of June of the respective policy years. The correction consists in increasing wages of individuals showing lower earnings (adjusted for hours worked and time in employment) than the minimum wage up to the minimum wage threshold. Since there may be many reasons for having earnings lower than the minimum wage, this policy is turned off in the baseline, but it can be turned on from the Run dialogue box.
- **Parental leave benefits (maternity, bmact_fr, and paternity, bpact_fr).** They are implemented in EUROMOD for the policy years 2015–2025. Due to issues in the validation and consistency over different policy years, the policy is turned off in the baseline and it can be switched on in the Run dialogue box.
- **Full Year Adjustments (FYA).** While EUROMOD usually simulates policies as of June 30th of the respective year, it is also possible to simulate within-year policy changes. In the baseline scenario for 2022–2025 it is switched on by default. It is calculated with a weighted average, considering the amounts before and after the change of amounts (weighted by the number of months the amounts are in application)
- **Benefit Take-up Adjustments (BTA),** allowing the user to apply non-take-up corrections. The extension is used for the simulation of material need benefits (bsa00_fr, bsawk_f). The default for the baseline is on. When the extension is on, a share of (weighted) eligible observations equal to the take-up rate is selected randomly as beneficiaries, removing the benefit from the rest of the eligible observations; when off, all eligible observations are kept as beneficiaries. This extension shares most of its functions with the BCA extension; as a general rule, only one of the extensions should be on, but if both are, the lowest rate between the take-up rate and the calibration rate will be applied. More details on the specific implementation of BCA and BTA extensions are provided in the subsections describing the corresponding benefits.
- **HHoT – Unemployment extension (HHoT_un),** improves the simulation accuracy of the unemployment insurance benefit when EUROMOD is run with hypothetical data. For instance, in most countries the legislation of this benefit requires information on variables such as individuals' employment history, which are not available in SILC; we can define these variables in HHoT and use them to simulate the policy's rules more precisely when running the model with hypothetical data. This extension is set to on when the model is used with HHoT data.

- The **HHoT Monthly Unemployment (HHoT_mu)** extension enables a monthly unemployment benefit simulation, similar to the approach used by the OECD TaxBEN for the calculation of monthly Net Replacement Rate (NRR) indicators. Those indicators measure to what extent a person's previous income from work is maintained after a certain number of months in unemployment. With this extension, unemployment benefit amounts are calculated with respect to a specific month of the unemployment spell and are then converted to annual amounts by multiplying by 12. By default, this extension is switched off; it is only set to on when the model is used for the calculation of the NRR indicators.
- **LMA transitions (selection of individuals that do the transition to wage unemployment)**. It trigger transitions to wage unemployment, to be used with the LMA add-on. It is turned off in the baseline, so that there are no transitions to unemployment.
- **Months and hours in wage compensation scheme (yemcomptime_fr)**. It triggers transitions to Covid-19-related wage compensation schemes in 2020, 2021, and 2022. It is turned off in the baseline, so that there are no eligible individuals for the corresponding policy (yemcomp_fr).
- **Months and hours in self-employment compensation scheme (ysecomptime_fr)**. It triggers transitions to Covid-19-related self-employment compensation schemes in 2020, 2021, and 2022. It is turned off in the baseline, so that there are no eligible individuals for the corresponding policy (ysecomp_fr).
- **Survivors pension for widowhood ("Allocation Veuvage", AV) (bsuwd_fr)**. It is simulated using a number of assumptions due to lack of information in the micro dataset (See sections 2.5.7 and 2.5.11 respectively). As simulation results do not match very well administrative statistics, the simulation of AV is turned off in the baseline.
- **Benefit Calibration Adjustments (BCA)**, allowing the user to calibrate the receipt of benefits to match the simulated total expenditure of a benefit to real expenditure from external statistics. The extension is implemented for the simulation of the social assistance benefit (bsa00_fr) and Activity Allowance (bsawk_fr). The default for the baseline is off. When the extension is on, a subset of eligible of observations is selected randomly as beneficiaries so that the real expenditure/ is reached, removing the benefit from the rest of the eligible observations; when off, all eligible observations are kept as beneficiaries. This extension shares most of its functions with the BTA extension; as a general rule, only one of the extensions should be on, but if both are, the lowest rate between the take-up rate and the calibration rate will be applied. More details on the specific implementation of BCA and BTA extensions are provided in the subsections describing the corresponding benefit.

- The **Consumption Inflation Adjustment (CIA)** extension enables users to simulate price (inflation) shocks under the assumption that households do not immediately adjust their consumption patterns (constant quantities) in response to a sudden change. This extension can only be enabled if used together with Consumption Taxes add-ons CT_XBASE and CT_XCQ, respectively baseline and constant quantities. By default, this extension is switched OFF. Switching ON the inflation simulation (without changing parameters) allows users to apply [official annual inflation rates](#) between two consecutive years (sourced from [Eurostat](#) and [DG ECFIN's latest quarterly forecasts](#)) as stored in the Consumption Taxes (CT) table by `$tco_base_upr[COICOP]`. Users can also simulate their own hypothetical price shock scenarios at COICOP level 1 (2-digits) categories, with the Housing & Utilities split between Energy and other. To do so users should modify constants `$tco_CIA_*` in `ConstDef_cc`. For example, what if annual inflation for food was 5% instead of the officially recorded? Changing `$tco_CIA_01` to 5% for food and non-alcoholic beverages, multiplies the expenditures of foods and non-alcoholic beverages by 1.05. For the CIA extension to work properly, the users will need to add a new variable `ydsyc_a` to the input data recording for each household the disposable income growth between two consecutive years. [HINT: Run systems t and $t+1$. Compute household disposable income for each year. For each household calculate $ydsyc_a = (hh_dpi_{t+1} - hh_dpi_t)/hh_dpi_t$]

2.5. Benefits

2.5.1. Universal child benefit: Family benefit – bch00_s – (Allocation *Familiale*, AF)

2.5.1.1. Definitions

Children are considered as dependent persons if they are aged under 20 and earning less than 55 % of the minimum wage (based on SMIC for 169 hours/month).

2.5.1.2. Eligibility conditions

The benefit is paid in arrears to households **with two or more dependent children**. Household resources must not exceed the amount determined based on the applicant's family situation. In cases of legal separation or divorce of the parents, the beneficiary is the parent who maintains the children.

2.5.1.3. Income test

This benefit was not means-tested until 1st July 2015. Since then, both family benefit and the increased amount for child over 14 years have become subject to income testing.

The households' resources (**Revenu Net Catégoriel**) will be used to determine the benefit amount. This income concept shouldn't be confused with the Reference Fiscal Income (**Revenu Fiscal de Référence, RFR**). While the Revenu Net Catégoriel is used as Means-test for Family Benefits, the RFR is used as Means-test for Housing Benefit and Tax Base to calculate income tax. For these concepts the following incomes are included:

1. Revenue Brut Global (Total Gross Income):

- (a) C1 income (net after 10% deduction or actual expenses)
 - + Employment income (excluding overtime > 5,000 EUR from 2019)
 - + Overtime pay > 5,000 EUR (if applicable)
 - + Sickness benefits
 - + Unemployment benefits
 - + Contributory pensions + private pensions
 - + Survivor minimum pension
 - (b) C2 income: Self-employment (net after business expenses)
 - (c) C3 income: Capital income
 - + Investment income (dividends, interest, etc.)
 - + Property/rental income (net after expenses or 30% micro-foncier deduction)
 - (d) C4 income: Capital gains (plus-values)
2. Revenu Net Global (Total Net Income):
- (a) Deductible charges from global income:
 - Alimony payments
 - Retirement savings contributions (PERP, etc.)
 - Deductible CSG on activity income (6.8% of base)
 - Deductible CSG on replacement income (varies by rate)
 - Deductible CSG on capital income
 - Costs for dependent elderly persons (75+)
3. Revenu net imposable (Net Taxable Income)
- (a) Special tax allowances/abattements:
 - For elderly persons (65+)
 - For disabled persons
 - For dependent children over 18
4. Revenu Fiscal de Référence, RFR (Reference Fiscal Income):
- (a) - Deductions on C1, C2 and C3 incomes

Families may receive the full rate, 50 % or 25 % of the benefit amount depending on their n-2 income (RFR), i.e. 2023 income for benefit in 2025. The following table shows the different thresholds depending on the number of children.

Table 2.5 Family benefit income thresholds [2022-2025]

Thresholds 2022:

Benefit rate	2 dependent children	3 dependent children	Income
			increase for each child after the 3 rd

Maximum annual family RFR amount

(for basic benefit and for over 14 years old increase)

<i>Full rate</i>	≤ 70074	≤ 75913	+ 5839
<i>Rate at 50 %</i>	70074 <RFR≤ 93399	75913 <RFR ≤99238	+ 5839
<i>Rate at 25 %</i>	> 93399	> 99238	+ 5839

Thresholds 2023:

Benefit rate	2 dependent children	3 dependent children	Income increase for each child after the 3 rd
Maximum annual family RFR amount (for basic benefit and for over 14 years old increase)			
<i>Full rate</i>	≤ 71194	≤ 77126	+ 5932
<i>Rate at 50 %</i>	71194 <RFR≤ 94893	77126 <RFR ≤100825	+ 5932
<i>Rate at 25 %</i>	> 94893	> 100825	+ 5932

Thresholds 2024:

Benefit rate	2 dependent children	3 dependent children	Income increase for each child after the 3 rd
Maximum annual family RFR amount (for basic benefit and for over 14 years old increase)			
<i>Full rate</i>	≤ 74966	≤ 81212	+ 6246
<i>Rate at 50 %</i>	74996 <RFR≤ 99922	81212 <RFR ≤106168	+ 6246
<i>Rate at 25 %</i>	> 99922	> 106168	+ 6246

Thresholds 2025:

Benefit rate	2 dependent children	3 dependent children	Income increase for each child after the 3 rd
Maximum annual family RFR amount (for basic benefit and for over 14 years old increase)			
<i>Full rate</i>	≤ 78565	≤ 85111	+ 6546
<i>Rate at 50 %</i>	78596 <RFR≤ 104719	85111 <RFR ≤111265	+ 6546
<i>Rate at 25 %</i>	> 104719	> 111265	+ 6546

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/les-allocations-familiales-af>

2.5.1.4. Benefit amount

The benefit amount is the amount below multiplied by the percent above.

The monthly amount depends on the number and age of dependent children in the household (gross from CRDS) and on the household income:

Table 2.6 Family benefit amount in gross from CRDS [2022-2025]

	2022	2022 ¹	2023	2024	2025
<i>Monthly amount</i>					
2 dependent children	135.14	140.53	142.70	149.27	151.81
3 dependent children	308.26	320.59	325.54	340.50	346.29
Each child after the 3 rd	173.14	180.06	182.83	191.25	194.49
Increment for child over 14	67.57	70.27	71.36	74.63	75.91
Fixed amount paid to families of 3+ children with eldest of 20-21	85.45	88.86	90.24	94.38	95.99

Note: Indexation: The amounts changed each 1st of April

¹ On July 1st 2022, the bonus amount increased by 4%

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/les-allocations-familiales-af>

For families with only 2 dependent children, the increased amount for children over 14 year concerns only the second child. The increases for children over 14 is not paid for the first child.

The fixed amount paid to families of 3+ children is paid under two conditions:

- One of the children is 20 years old, lives at home, and do not work, or whose remuneration is less than 55 % of the minimum wage calculated on 169 hours/month in gross (or 78 % of net SMIC based on 151.67 hours/month), i.e. 982.48 EUR in 2022 / 1028.96 EUR from July 2022, 1047.55 EUR from April 2023, 1082.87 EUR from April 2024 and 1104.25 EUR from April 2025.
- The family has received benefits for at least three children in the month before the 20th birthday.

Qualifying families receive a monthly lump sum until the month before the child turns 21. As AF, this lump sum is paid at full rate, 50 % or 25 % depending on net taxable income (RFR).

2.5.1.5. *Compatibilities*

This benefit is compatible with national or regional lump-sum child benefits. If one the children receives APL, it means that he has his own home, therefore the household is no longer eligible to AF.

2.5.1.6. *Taxation and income testing*

Not taxable and not included in the income test of other benefits (except for activity allowance and RSA), but subjected to CRDS.

2.5.1.7. *EUROMOD modelling*

The benefit is simulated based on the age of children at the end of the income reference period. No benefit is simulated for children who reach the age threshold during the income reference period as their month of birth is unknown. Similarly, the age-based increase is simulated for the entire year for children who turn 14 in the income reference period. The supplement for children aged 20 is simulated for the entire year whenever a person aged 20 (who is not head or partner) is living with at least two dependent children.

The increment on the family benefit amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the amounts before and after the 1st July.

2.5.2. Mean-tested benefit for young children - Prestation d'accueil du jeune enfant (PAJE):

Mean-tested benefit for young children contains:

- The PAJE base amount (***“allocation de base”***): mean-tested benefit for children under 3.
- The baby bonus (***“prime de naissance”***): mean-tested bonus for childbirth.

- The supplement for free choice of custody (**“complément de libre choix du mode de garde”**): for families with children born after 2004 and aged less than 6 when parents work, are under the income threshold and employ a certified person for care their child. Not simulated in EUROMOD due to the lack of information about child minding.
- The supplement for free choice of activity (**“complément de libre choix d’activité, CLCA”**): this allowance replaces the Parent education allowance (*“allocation parentale d’éducation”*, APE) for children born after 2004. Since 1st January 2015, the supplement for free choice of activity was modified and replaced by *“Prestation partagée d’éducation de l’enfant, PreParE”*.

2.5.2.1. Basic Allowance for young children (Allocation de base de la prestation d’accueil du jeune enfant (PAJE)) – bchyc_s

2.5.2.1.1. Eligibility conditions

The means-tested allowance received by **households with children under 3**.

Starting with April 1st 2014, the benefit was reformed. Children born after April 1st are subject to a new set of rules. The entitlement of children born before this date is unaffected, i.e. the old rules apply.

The income test depends on the number of parents who work. For two earner couples, a minimum threshold applies to the earnings of each parent in order to be considered a two earner couple. If each member of the couple earns less than the threshold (see below) they are considered as a one earner couple and the one earner threshold applies.

Annual individual income threshold to be considered as an earner (for income n-2):

Table 2.7 Annual individual income threshold to be considered as an earner for PAJE base, income n-2 [2022-2025]

	2022 income 2020	2023 income 2021	2024 income 2022	2025 income 2023
Each member of the couple should earn more then	5594	5594	5594	5983

Source: <https://caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-la-naissance-et-allocation-de-base>

2.5.2.1.2. Definitions

Children are considered as dependent persons if they are aged under 20 and earning less than 55 % of the minimum wage (calculated on a 169 h/month basis). The assessment unit includes parents (married or cohabiting) and their dependent children.

2.5.2.1.3. Income test

Entitlement to the PAJE base amount is subject to an income test. Household's resources in year n-2 must be below the threshold. The different ceilings depend on the date of birth of the child.

For children born after 1st of April 2014, there are new ceilings. Also, the benefit is no longer flat rate but depends on income.

Table 2.8 PAJE base, Ceilings C1: Ceilings granting access to the benefit (partial rate), children born or adopted after April 2018 [2022-2025]:

Yearly amount	2022	2023	2024	2025
One earner couples				
One dependent child	32520	33040	34791	36461
Two dependent children	39024	39648	41749	43753
Three dependent children	46829	47578	50099	52504
Each child after the third	7805	7930	8350	8751
Two Earner couples or lone parent				
One dependent child	42978	43665	45979	48186
Two dependent children	49482	50273	52937	55478
Three dependent children	57287	58203	61287	64229
Each child after the third	7805	7930	8350	8751

Source: <https://caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-la-naissance-et-allocation-de-base>

2.5.2.1.4. Benefit amount

Since the 1st of April 2014, the monthly amount depends on parents' income.

If the income of the parents is below ceiling 2, the family is entitled to 100 % of the benefit amount. If income is above ceiling 2 but below ceiling 1, the benefit is reduced to 50 % of the full amount.

The families whose incomes are above ceilings 2, but below ceilings 1 receive the partial amount of the benefit.

Table 2.9 PAJE base, Ceilings C2 for **full rate** after 1st of April 2018 [2022-2025]:

Yearly amount for full benefit	2022	2023	2024	2025
--------------------------------	------	------	------	------

One earner couples

One dependent child	27219	27654	29120	30518
Two dependent children	32663	33185	34944	36621
Three dependent children	39196	39822	41933	43946
Each child after the third	6533	6637	6989	7324

Two Earner couples or lone parent

One dependent child	35971	36546	38483	40330
Two dependent children	41415	42077	44307	46434
Three dependent children	47948	48714	51296	53758
Each child after the third	6533	6637	6989	7324

Source: <https://caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-la-naissance-et-allocation-de-base>

The families whose incomes are above ceilings 2, but below ceilings 1 receive the partial amount of the benefit.

The monthly amount per family (and not per child except for multiple births) is (gross from CRDS):

Table 2.10 PAJE base, monthly amount per family in gross from CRDS [2022-2025]

	2022	2022 ¹	2023	2024	2025
Monthly amount (full rate)	175.89	182.91	185.74	194.28	197.59
Monthly amount (half rate)	87.95	91.47	92.86	97.13	98.79

Note: ¹ on July 1st 2022, the bonus amount increased by 4 %

Source: <https://caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-la-naissance-et-allocation-de-base>

2.5.2.1.5. Compatibilities

This benefit is compatible with national or regional lump-sum child benefits, except for the Family Complement and Family Support allowance (ASF).

2.5.2.1.6. Taxation and income testing

Not taxable and not included in the income test of other benefits (except for activity allowance and RSA), but subjected to CRDS.

2.5.2.1.7. EUROMOD modelling

The income test is calculated based on yearly net taxable income during the income reference period (rather than past taxable income). The simulation is based on the age of children at the end of the income reference period. Consequently, no benefit is simulated for children turning three during the income reference period. Conversely, the benefit is simulated for the entire year for children born during the income reference period.

Regarding the modelling of the transition to the new ceilings and benefit amounts implemented on the 31st of March 2018, we took the assumption that all the kids were born at the same time of the year, after March 31st. Consequently, from 2020 onwards, kids born before 2018 affected by the previous ceilings are already 3 years or older, then they are not longer eligible for this benefit.

For the adoption of children over 3 years old, due to the lack of information on adopted children over 3 years old, we cannot simulate the benefit, as they may receive the benefit for 3 years before their 20th birthday. The new rules are simulated for all children born in 2014 or 2018 irrespective of their month of birth. Variable *bchyc_s* contains only the PAJE base amount. The baby bonus and the supplement of free choice of activity are simulated and stored in variables *bchba_s* and *bchcc_s* (see below). The supplement for free choice of custody is not simulated due to absence of information about child minding.

The increment on the PAJE benefit amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the amounts before and after the 1st July.

2.5.2.2. Means-tested birth grant: Baby bonus - *bchba_s* - (Prime de naissance, PAJE)

2.5.2.2.1. Definitions

Children are considered as dependent persons if they are aged under 20 and earning less than 55 % of the minimum wage (based on 169h/month).

2.5.2.2.2. Eligibility conditions

Have a child born in the year, or have adopted a child under 20 years of age, comply with the conditions of eligibility to the baby bonus ("*PAJE allocation de base*").

2.5.2.2.3. Income test

For child born after 1st of April 2018, the annual family net taxable income must be below (these are the same as Ceilings C1):

Table 2.11 PAJE baby bonus, income thresholds for child born after 1st of April 2018 [2022-2025]

	2022	2023	2024	2025
One earner couples				
One dependent child	32520	33040	34791	36461

Two dependent children	39024	39648	41749	43753
Three dependent children	46829	47578	50099	52504
Each child after the third	7805	7930	8350	8751

Two Earner couples or lone parent

One dependent child	42978	43665	45979	48186
Two dependent children	49482	50273	52937	55478
Three dependent children	57287	58203	61287	64229
Each child after the third	7805	7930	8350	8751

Source: <https://caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-la-naissance-et-allocation-de-base>

2.5.2.2.4. Benefit amount

The lump-sum is for each child born in the year (gross from CRDS):

Table 2.12 PAJE baby bonus amount in gross from CRDS [2022-2025]

	2022	2022 ¹	2023	2024	2025
Childbirth	970.19	1008.99	1024.55	1071.67	1089.88
Adoption	1940.38	2018	2049.09	2143.35	2179.74

Note: ¹ On July 1st 2022, the bonus amount increased by 4 %.

Source: <https://caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-la-naissance-et-allocation-de-base>

2.5.2.2.5. Compatibilities

This benefit is compatible with national or regional lump-sum child benefits.

2.5.2.2.6. Taxation and income testing

Not taxable and not included in the income test of other benefits, but subjected to CRDS.

2.5.2.2.7. EUROMOD modelling

No information exists in the data about adoptions. Only the benefit for childbirth is simulated. The income test is based on current yearly net taxable income rather the previous taxable income.

The increment on the childbirth benefit amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the amounts before and after the 1st July.

2.5.2.3. Supplement for free choice of activity - *bchcc_s* - (PreParE, PAJE)

2.5.2.3.1. Definitions

Children are considered as dependent persons if they are aged under 20 and earning less than 55 % of the minimum wage (based on 169h/month).

2.5.2.3.2. Eligibility conditions

- Have at least one child under 3 years of age
- Stop or partially stop working to take care of the child. The beneficiary must have made social security contributions for 8 quarters out of the previous two years if it is the first child, of the previous 4 years if it is the second child or of the previous 5 years if it is the 3rd + child.

2.5.2.3.3. Income test

The benefit is not means-tested.

2.5.2.3.4. Benefit amount

For the first child if parents are in couple, each parent can have the benefit for at most 6 months from the birth/end of maternity leave within the child's first birthday. For lone parents the benefit is paid at most 12 months within the child's first birthday.

If there are two or more children, the benefit is paid from the birth/end of maternity leave until the month before the 3rd birthday of the youngest but the benefit can be claimed (by either parent) for a maximum of 24 months (within the limit of the youngest child's third birthday). For lone parents the benefit is paid from the birth/end of maternity leave until the month before the 3rd birthday of the youngest.

If birth is given to triplets, the benefit is paid from the birth/end of maternity leave until the month before the 6th birthday but each parent can have this benefit only at most 48 months. For lone parents the benefit is paid from the birth/end of maternity leave until the month before the 6th birthday of the child.

Concerning child adoptions, if there is one child in the family, each parent can have the benefit for at most 12 months. If there are other children in the family, each parent can have the benefit for at most 12 months. If after this period, the child is less than 3 years old, the parents can have the benefit until the 3rd child birthday.

If an adoption concerns at least 3 children, parents can have the benefit for the first 36 months after adoption.

Table 2.13 PAJE-PreParE amount in gross from CRDS [2022-2025]

Gross amount from CRDS	2022	2022 ¹	2023	2024	2025
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Full rate (stop working completely)	408.0 1	424.3 3	430.8 6	450.6 8	458.3 4
Reduce work to < 50 %	263.7 7	274.3 1	278.5 3	291.3 5	296.2 9
Reduce work to 50-80 %	152.1 5	158.2 3	160.6 7	168.0 6	170.9 2

Note: ¹ On July 1st 2022, the amount increased by 4 %.

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/la-prestation-partagee-d-education-de-l-enfant-prepare>

If there are three children, the family can opt for “*PreParE Majorée*”. Each parent can have the benefit for at most 8 months from the birth/end of maternity leave until the child’s first birthday. For lone parents, the benefit is paid for at most 12 months until the child’s first birthday.

It’s subjected to the same contribution requirements as the *PreParE* at the following rate (gross from CRDS):

Table 2.14 PAJE-PreParE majorée amount in gross from CRDS [2022-2025]

<i>PreParE Majorée</i>	2022	2022 ¹	2023	2024	2025
	666.91	693.59	704.27	736.65	749.18

Note: ¹ On July 1st 2022, the amount increased by 4 %.

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/la-prestation-partagee-d-education-de-l-enfant-prepare>

2.5.2.3.5. Compatibilities

This benefit is not compatible with paid holidays, maternity/paternity/adoption leave, sick leave or unemployment benefit.

2.5.2.3.6. Taxation and income testing

Not taxable and not included in the income test of other benefits (except for activity allowance and RSA), but subjected to CRDS.

2.5.2.3.7. EUROMOD modelling

Detailed information on contribution history is not available. Eligibility is based on fulfilling the contributory requirement of 2 years of contributions during the entire work history. Thus, the difference in contribution requirements between children of different birth orders is not simulated. Amounts are simulated based on earnings and current working hours. Entitlement to the out of work amount is based on absence of earnings during the entire income reference period. Reduced amounts corresponding to reduced working time are based on current (rather than contemporaneous) working hours. When only one child is present, the benefit is simulated for 6

months during the income reference period conditional on the child being aged 0 (i.e. it is assumed the benefit is paid in the first year after birth) and no entitlement of children aged 1 & 2 is simulated when only one child is present. It is assumed a parent always takes up the “*PreParE Majorée*” if entitled. In practice, this means this benefit is simulated for all entitled parents (i.e. parents who fulfil the contribution requirements and stop working) whose third child is aged 0. It is assumed this benefit is not paid for children aged 1 and 2. The simulation is based on the ages of the children at the end of the income reference period, i.e. benefits received for only part of the year (before a child turns 3 or 1) are not simulated. Only the incompatibility with unemployment benefits and sickness benefits is simulated, since the other benefits are short term ones and no information about their receipt within the year is available. Other incompatibilities are not simulated.

Higher benefits for adoption and longer benefits for triplets are not simulated.

The increment on this benefit amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the amounts before and after the 1st July.

2.5.3. Mean-tested education grant - *bched_s* - (*Allocation de rentrée scolaire, ARS*)

2.5.3.1. Definitions

Children are considered as dependent persons if they are aged under 20 and earning less than 55 % of the minimum wage (based on 169h/month).

2.5.3.2. Eligibility conditions

Have at least one child aged 6 to 18 who is attending school. The child must not earn more than 55 % of the minimum wage (based on 169h/month).

2.5.3.3. Income test

The income test depends on the number of dependent children:

Table 2.15 ARS, income test [2022-2025]

Euros per year	2022	2023	2024	2025
One dependent child	25370	25775	27141	28444
Two dependent children	31225	31537	33404	35008
Three dependent children	37080	37392	39667	41572
Each child after the third	5855	5948	6263	6564

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/l-allocation-de-rentree-scolaire-ars>

Starting in 2012, households who slightly exceed the income threshold are eligible for the residual amount of this benefit (“*ARS différentielle*”, AD) if their revenue is less than the threshold, plus the relevant benefit amount, where N is the number of children.

$(AD = \text{income threshold} + (ARS6-10 \cdot N6-10) + (ARS11-14 \cdot N11-14) + (ARS15-18 \cdot N15-18)) - \text{income})/N$

with a minimum payment of €15

The income used here is the net taxable income.

2.5.3.4. Benefit amount

The benefit is paid by child. The yearly amount depends on the child’s age (gross from CRDS):

Table 2.16 ARS, amounts in gross from CRDS [2022-2025]

Benefit amount per child	2022	2022 ¹	2023	2024	2025
6-10 years	378.87	394.02	400.09	418.50	425.61
11-14 years	399.78	415.77	422.14	441.59	449.09
15-18 years	413.63	430.17	436.78	456.87	464.65

Note: ¹ On July 1st 2022, the bonus amount increased by 4 %.

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/l-allocation-de-rentree-scolaire-ars>

2.5.3.5. Compatibilities

This benefit is compatible with national or regional lump-sum child benefits.

2.5.3.6. Taxation and income testing

Not taxable and not included in the income test of other benefits, but subjected to CRDS.

2.5.3.7. EUROMOD modelling

The simulation is based on current rather than previous taxable income. It uses ages of children at the end of the income reference period rather than at the start of the school year.

2.5.4. Family support allowance – bchor_s – (*Allocation de soutien familial, ASF*)

2.5.4.1. Definitions

Children are considered as dependent persons if they are aged under 20 and earning less than 55 % of the minimum wage (based on 169h/month).

2.5.4.2. Eligibility conditions

Must be a lone parent or other (e.g. grandparent) where the other parent (or both) is deceased or has abandoned the child or does not pay alimony.

2.5.4.3. Income test

This benefit is not means tested

2.5.4.4. Benefit amount

The monthly amount per child is (gross from CRDS):

Table 2.17 ASF, amount gross from CRDS [2022-2025]

Benefit amount	2022	2022 ¹	2022 ²	2023	2024	2025
Child living with lone parent	118.79	123.55	185.34	188.18	196.83	200.18
Child living with no parents	158.36	164.69	247.03	250.84	262.38	266.83

Notes: ¹ On July 1st 2022, the bonus amount increased by 4 %.

² On November 1st 2022, support for single-parent families is one of the government's priority policies and has been increased by 50 %.

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/l-allocation-de-soutien-familial-asf>

2.5.4.5. Compatibilities

This benefit is compatible with national or regional lump-sum child benefits.

2.5.4.6. Taxation and income testing

Not taxable and not included in the income test of other benefits (except for social assistance (RSA) and Activity allowance), but subjected to CRDS.

2.5.4.7. EUROMOD modelling

The benefit is simulated only for children of widows/widowers. It is not possible to identify children whose parents have abandoned them. Likewise it is not possible to identify children whose both parents are deceased.

The increment on this benefit amount on July and November 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the amounts before and after the change on the amount.

2.5.5. Means-tested family complement – bchlg_s – (*Complément familial, CF*)

2.5.5.1. Definitions

Children are considered as dependent persons if they are aged under 21 and earning less than 55 % of the minimum wage (based on 169h/month). Children under 21 who are themselves parents may be considered dependent if not receiving family benefits.

2.5.5.2. Eligibility conditions

Have at least 3 children all aged 3 years or more. The amount is the same for all families regardless of the number of dependent children, but since 1st of April 2014, the monthly benefit amount depends on parents' income and on the number of dependent children.

The child must not earn more than 55 % of the minimum wage (based on 169h/month).

2.5.5.3. Income test

The income test depends on the number of parents who work. For two earner couples, a minimum threshold applies to the earnings of each parent in order to be considered a two earner couple. If each member of the couple earns less than the threshold (see below) they are considered as a one earner couple and the one earner threshold applies.

Table 2.18 CF, annual individual income threshold to be considered an earner [2022-2025]

	2022 income 2020	2023 Income 2021	2024 income 2022	2025 income 2023
Each member of the couple should earn more then	5594	5594	5594	5983

Source: <https://caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-la-naissance-et-allocation-de-base>

Table 2.19 CF, income Ceiling 1 granting access to the benefit [2022-2025]

Yearly income for family with 3 children	2022	2023	2024	2025
One earner couples	39196	39822	41933	43946
Two earner couples or lone parent	47948	48714	51296	53758
Increase for each dependent child after 3 rd	6533	6637	6989	7324

Note: The income used here is the net taxable income.

Source: <https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/le-complement-familial-cf>

Table 2.20 CF, income Ceiling 2 for receiving the increased amount [2022-2025]

Yearly income for family with 3 children	2022	2023	2024	2025
--	------	------	------	------

One earner couples	19603	19915	20971	21978
Two earner couples or lone parent	23979	24362	25653	26884
Increase for each dependent child after 3 rd	3267	3319	3495	3663

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/le-complement-familial-cf>

2.5.5.4. Benefit amount

Before 2014, the amount is flat rate for all families that qualify. Since 1st of April 2014, the monthly amount depends on parents income and new ceilings have been established to determine the benefit amount. If parents' income is below ceiling 2, the family receive the increased amount. If the income is between ceiling 1 and ceiling 2, it receives the standard amount.

Table 2.21 CF monthly amount per household in gross from CRDS [2022-2025]

	2022	2022 ²	2023	2024	2025
Basic monthly amount	175.89	182.92	185.74	194.28	197.58
Increased monthly amount ¹	263.85	274.39	278.62	291.44	296.39

Notes: ¹ Increased monthly amount (after 1st of April 2014 for parents whose income are below ceilings 2).

² On the 1st July 2022 this amount is increased by 4 %

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-personnelle/le-complement-familial-cf>

2.5.5.5. Compatibilities

This benefit is compatible with national or regional lump-sum child benefits except with the PAJE (basic allowance and supplement for free choice of activity). If the household is eligible to PAJE, the CF is not paid. If one the children receives APL, it means that he has his own home, therefore the household is no longer eligible to CF.

2.5.5.6. Taxation and income testing

Not taxable and not included in the income test of other benefits (except for activity allowance and RSA), but subjected to CRDS.

2.5.5.7. EUROMOD modelling

The simulation of the income test is based on current rather than previous net taxable income. The age condition relating to the definition of a child is implemented using the age at the end of the income reference period, i.e. children who turn 21 during the year are not considered to be dependent children. Thus, any partial year entitlements on account of such children are not simulated.

The increment of the benefit on July 1st 2022 is introduced in the model with the FYA. The amount is calculated with a weighted average, considering the amounts before and after the 1st July.

2.5.6. Means-tested disabled benefit – bdi_s – (Allocation aux adultes handicapés, AAH)

2.5.6.1. Definitions

Dependent children: aged under 20 and earning less than 55 % of the minimum wage

2.5.6.2. Eligibility conditions

The beneficiary must be disabled with a permanent disability of at least 80 %, or a disability between 50 and 80 % and be unemployable (for medical reasons). The adult need to be aged over 20 and less than 62 (64 for those born from 1st January 1968) .

The income test is carried out using total couple income, including any income of dependent children. From 1st October 2023, the partner's income will no longer be taken into account in the eligibility conditions¹ (except if it is less advantageous financially, in this case, the resources of the other person is still taken into account when calculating AAH, this is called "conjugalisation").

2.5.6.3. Income test

Table 2.22 AAH, income threshold [2022-2025]

Annual income	2022	2023 ¹	2024	2025
Single	11038	11656	12193	12399.84
Couple	19979	21098	22069	-
for each child	5519	5829	6096	6199.92

Note: ¹ From 1st October 2023, only the single income threshold is taken into account.

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/handicap/l-allocation-aux-adultes-handicapes-aah>

There is a 100 % withdrawal rate if the (threshold – benefit) < income < threshold

Since January 2022 and until September 2023, for disabled people receiving AAH and living as a couple, a flat-rate deduction is applied to the partner's income if the partner is not recipient of AAH. An increase of the deduction is also applied for each child. If the partner is not recipient of AAH, his/her annual income taking into account for the income test is reduced by 5000 EUR and a further

¹ This reform will increase the benefit by an average of about 350€ per month for concerned people

reduction of 1400 EUR per dependent child is also applied to his/her annual income (these reductions are applied only to earned income, not to capital income).

Table 2.23 AAH, income deduction for recipient living in couple [2022-2023]

Deduction on partner income (if not AAH recipient)	2022- 2023
Yearly amounts	
For AAH recipient living in couple	5000
For each child	1400

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/handicap/l-allocation-aux-adultes-handicapes-aah>

Until September 2023, partner's income is taken into account, it will not be longer the case after. Only the beneficiary income will be taken into account for the income threshold.

2.5.6.4. Benefit amount

The benefit is differential, the monthly benefit is:

$$\text{AAH} = (\text{Threshold} - \text{Income}) / 12$$

Income is defined as the monthly net taxable income, used for the establishment of the income tax.

Table 2.24 AAH, monthly maximum benefit amount [2022-2025]

	2022	2022 ²	2023	2024	2025
Maximum Monthly benefit	919.86	956.65 ²	971.37	1016.05	1033.32
Supplement for those disabled for at least one year ¹ (with a minimum of 80 % incapacity)	179.31	179.31 ¹	179.31	179.31	179.31

Note: ¹ This supplement has been removed for new requests since Decembre 1, 2019, for disabled who received it before this date, they will continue to received it during 10 years if they fulfill the conditions (80 % incapacity, disabled for at least one year, are under 62, receive AAH at full rate, live in an independent accomodation). It cannot be implemented in EUROMOD, as there is not information on the degree of disability in the data.

² On the 1st July 2022 this amount is increased by 4 %.

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/handicap/l-allocation-aux-adultes-handicapes-aah>

There are additional amounts which are allowed with an increasing level of disability. All cannot be simulated.

The increase for independent living (*“Majoration pour la vie autonome”*) is awarded to the disabled who receive AAH at a full rate or AAH as a complement to old age or invalidity (i.e. who do not work). The monthly lump-sum is:

Table 2.25 AAH, increased amount [2022-2025]

2022-2025	
Increase for independent living	104.77

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/handicap/l-allocation-aux-adultes-handicapes-aah>

Those who are eligible for both the supplement and for the increase for independent living have to choose between the two benefits.

2.5.6.5. Compatibilities

This benefit is compatible with national or regional lump-sum child benefits except with AEEH.

2.5.6.6. Taxation and income testing

Not taxable and not included in the income test of other benefits (except for activity allowance and social assistance (RSA). Not subject to CRDS.

2.5.6.7. EUROMOD modelling

No information on the degree of disability exists in the data, then the Supplement for those with at least 80 % of disability is not modeled. The benefit is simulated for all individuals who fulfil the income criterion and report themselves as being disabled (pl031=8). The income test is simulated on current rather than previous taxable income. The increase for independent living is simulated for individuals receiving AAH at the full rate, as well as for individuals reporting zero earnings. No other additional amounts are simulated.

The increment on the benefit from July 1st 2022, is introduced in the model with the FYA. The 2022 benefit amount is calculated with a weighted average, considering the benefit amounts before and after the 1st July.

2.5.7. Means-tested benefit for widows/widowers: Survivor Minimum Pension – bswd_s – (Allocation veuvage, AV)

2.5.7.1. Eligibility conditions

Widow/er not remarried aged under 55. The deceased spouse must have contributed to the old-age insurance at least 3 months during the year preceding the death. This pension is paid for 2 years.

2.5.7.2. Income test

The monthly widow/er's income for the 3 last months must be below the following ceiling.

Table 2.26 AV, monthly widow/er's income for the 3 last months [2022-2025]

	2022	2022 ¹	2023	2024	2025
Monthly income	790.24	821.812	828.37	872.275	891.4625

Note: ¹ From 1st August

Source: <https://www.service-public.gouv.fr/particuliers/vosdroits/F744>

The income taken into account includes the net taxable income of the widow/er (i.e. earned income, pensions, unemployment benefit, self-employment and capital income, all in gross terms) excluding family benefits and AAH.

2.5.7.3. Benefit amount

Table 2.27 AV, monthly benefit [2022-2025]

	2022	2022 ¹	2023	2024	2025
Monthly benefit	632.19	657.45	662.70	697.82	713.17

Note: ¹ From 1st July

Source: <https://www.service-public.gouv.fr/particuliers/vosdroits/F744>

2.5.7.4. Compatibilities

This benefit is compatible with national or regional benefits.

2.5.7.5. Taxation and income testing

Taxable like pension income for personal income tax but not subject to CRDS and CSG.

2.5.7.6. EUROMOD modelling

The simulation of this benefit is turned off and the original variable in the dataset used instead in the baseline. There is no information in the input dataset about the year a person has become widowed. As a result, the benefit is simulated for all widows/widowers who pass the income test. The income test is simulated using current rather than past taxable income.

The increment on the benefit from July 1st 2022, is introduced in the model with the FYA. The 2022 benefit amount is calculated with a weighted average, considering the benefit amounts before and after the 1st July.

2.5.8. Main means-tested social assistance benefit : Solidarity Labour Income – bsa00_s – (*Revenu Solidarité Active, RSA*)

The RSA aims to ensure a minimum income per month. The amount of the benefit is the difference between the maximum RSA (lump sum + 62 % of net household income from work until 2016, and only lump sum after) and others household resources (including the package of housing benefit). Since 2016, this benefit is given only to those out of work or with very low incomes (below the benefit amount). For low-paid workers, a new benefit has been introduced: the activity allowance, "*Prime d'activité*".

The lump-sum is determined by the household composition and the number of dependent children. The RSA is increased for those who meet the previous conditions for Mean-tested lone parents benefits (API).

2.5.8.1. Definitions

Dependent Children: Children under 20. Children over 20 years and under 25 living at home may be considered dependent in the RSA sense provided their own income is very low (< 55 % of SMIC).

Since January 1, 2024, the "net social amount" of income have to be declared by those in work to claim the RSA or Activity allowance. The "net social amount" takes into account income from work and related advantages (such as lunch vouchers, housing facilities provided by employers, company participations, etc.). Previously, all these advantages were not included by beneficiaries in their income declaration. RSA is calculated on the basis of the average of the last 3 months family income.

2.5.8.2. Eligibility conditions

Be over 25, or less than 25 with a dependent child or pregnant, and be aged under 65 (or not entitled to the Minimum Pension for Elderly). Youths 18-25 years of age and without children are eligible if they have worked for at least two years out of the last three years. As induced by the benefit amount calculation method, the income from the entitled beneficiaries should not exceed the current benefit limits.

From 2023, several regional departments enhanced the support system of RSA recipients to help them to find employment. This involves registering in "France Travail" (the national employment agency), and signing a commitment contract with an action plan outlining objectives for social and professional integration. The main condition for RSA recipients will be to "work" at least 15 hours a week, although certain exemptions apply. This "work" is not mini-jobs, but rather training and integration. From 2025, this measure has been extended to the whole of France. This is not reflected in EUROMOD, because only concerns some regions, includes many exemptions, and it is impossible to know which individuals would be impacted.

2.5.8.3. Benefit amount

$$RSA = (\text{Maximum minimum income based on family characteristics}) - (\text{family quarterly income}/3 + \text{housing package})$$

The housing package is a lump-sum subtracted only for people who received the AL.

The family quarterly income (= household's quarterly resources) includes:

- the quarterly net taxable income (all working income and related advantages, replacement income (unemployment, ARE, sickness, maternity, invalidity pensions), alimonies, others pensions and income from capital (investment income, savings income and property income), extraordinary income (sale of property, inheritance, gambling winnings),
- All quarterly social minima (AAH), and family benefits (AF, ASF, PAJE and CF only).

Table 2.28 RSA, Maximum minimum incomes and Housing package lump-sums [2022-2025]

	2022 ¹		2022 ²	
	Minimum Income	Housing Package	Minimum Income	Housing Package
Lone parent with children under 3				
Pregnant without child	739.03	69.06	768.60	71.82
One dependent child	985.38	138.12	1024.80	143.65
Two dependent children	1231.72	170.93	1281.00	177.77
Each child after the 2 nd	246.34		256.19	
Everyone else				
Single				
Without dependent child	575.52	69.06	598.54	71.82
One dependent child	863.28	138.12	897.81	143.65
Two dependent children	1035.94	170.93	1077.37	177.77
Each child after 2 nd	230.21		239.42	
Couple				
Without dependent child	863.28	138.12	897.81	143.65
One dependent child	1035.94	170.93	1077.37	177.77
Two dependent children	1208.6	170.93		
Each child after 2 nd	230.21			

Notes: ¹ Until end of June

² From July 1st 2022, this value is increased by 4 %.

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-professionnelle/le-revenu-de-solidarite-active-rsa>

2023		
	Minimum Income	Housing Package
Lone parent with children under 3		
Pregnant without child	780.42	72.93
One dependent child	1040.56	145.86
Two dependent children	1300.70	180.50
Each child after the 2 nd	260.14	
Everyone else		
Single		
Without dependent child	607.75	72.93
One dependent child	911.62	145.86
Two dependent children	1093.95	180.50
Each child after 2 nd	243.10	
Couple		
Without dependent child	911.62	145.86
One dependent child	1093.95	180.50
Two dependent children	1276.27	180.50
Each child after 2 nd	243.10	

2024		2025	
Minimum Income	Housing Package	Minimum Income	Housing Package

Lone parent with children under 3				
Pregnant without child	816.32	76.28	830.21	77.58
One dependent child	1088.43	152.57	1106.94	155.16
Two dependent children	1360.54	188.80	1383.68	192.02
Each child after the 2 nd	272.10		276.73	
Everyone else				
Single				
Without dependent child	635.70	76.28 (12 % of rsa MI)	646.52	77.58 (12 % of rsa MI)
One dependent child	953.56	152.57 (16 %)	969.78	155.16 (16 %)
Two dependent children	1144.27	188.80 (16.5 %)	1163.74	192.02 (16.5 %)
Each child after 2 nd	254.28		258.61	
Couple				
Without dependent child	953.56	152.57 (16 %)	969.78	155.16 (16 %)
One dependent child	1144.27	188.80 (16.5 %)	1163.74	192.02 (16.5 %)
Two dependent children	1334.98	188.80	1357.70	192.02
Each child after 2 nd	254.28		258.61	

Source: <https://caf.fr/allocataires/aides-et-demarches/droits-et-prestations/vie-professionnelle/le-revenu-de-solidarite-active-rsa>

Table 2.29 RSA - End of year bonus [2022-2025]

End of year bonus	2022-2025
Single	
Without dependent child or pregnant	152.45
One dependent child	228.67
Two dependent children	274.41

Each child after 2 nd	60.98
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Couple

Without dependent child	228.67
One dependent child	274.41
Two dependent children	320.14
Each child after 2 nd	60.98

Source: <https://www.caf.fr/allocataires/caf-du-nord/actualites-departementales/le-versement-de-la-prime-de-noel>

The end of year bonus is given once in December to RSA (and ASS) beneficiaries that entitled to the RSA (or ASS) in November or in December of the current year. Only one bonus will be paid per household.

2.5.8.4. Compatibilities

This benefit is compatible with national or regional lump-sum child benefits. Additionally, it is possible to combine the RSA with ASS, but the RSA amount has to be deducted of ASS.

2.5.8.5. Taxation and income testing

The RSA is not taxable and not included in the income test of other benefits and not subjected to CRDS.

2.5.8.6. EUROMOD modelling

- No benefit is simulated for pregnant women due to lack of information in the data.
- To simulate RSA, age at the end of the income reference period is used.
- Lone parents are identified as parents of dependent children without a partner in the dataset.
- Children aged less than 25, earning less than 55 % of SMIC and living with other adults are always considered as dependent.
- The income test is simulated using current yearly income rather than previous quarterly income. Thus, shorter periods of eligibility may be missed.
- When a household receives housing benefits, the lower between the actual benefits and the housing package is deducted.

- The Benefit Take Up adjustment for the RSA is applied to all years, and set to “on” as default in the baseline scenario. The non-take up rate since 2016 to 2024 is equal to 20% (DREES Report, 2022. Source: <https://drees.solidarites-sante.gouv.fr/sites/default/files/2022-07/Regularly%20measuring%20the%20non-take-up%20of%20the%20RSA%20and%20the%20employment%20bonus%20method%20and%20results.pdf>)
- Employment is established based on the presence of yearly earnings. Thus, individuals having no earnings throughout the year are considered to be not working. Otherwise, they are considered to be in work.
- Starting in 2016, only individuals not in work (or with very low incomes lower than the benefit amount) are simulated to receive this benefit. Individuals in work are assumed to receive activity allowance (“Prime d’activité”).
- Entitlement to the end of year bonus is calculated based on annual average incomes and the benefit is then assigned to approx. 16 % of those eligible to mimic the fact that only families receiving the benefit in November and December would be entitled.
- The increment on the benefit on July 1st 2022, is introduced in the model with the FYA extension. The 2022 benefit amount is calculated with a weighted average, considering the benefit amounts before and after the 1st July.
- From 2023, the counterpart of 15-20 hours per week of training and integration for RSA recipients is not taken into account in the eligibility conditions. First, because that only concerns some regions, and because there are many exemptions. So, it is impossible for us to know if the eligibles are impacted.
- BTA extension is on, so the baseline model adjusts for non-take-up of the benefit; BCA extension is off, so it does not calibrate its receipt according to external statistics, but the user can activate it if necessary. See section 2.4 for technical details on both extensions and their interactions.

Users can enable or disable the necessary extensions in Country Tools/Set Switches. For proper functioning, the extensions require the following inputs:

- BTA: The estimated take-up rate of the benefit should be set as the value of the \$bsa00_BTA_rate constant in the model. Currently, the model incorporates values for 2006-2024, obtained from DREES Report.
- BCA: The aggregate expenditure benefit recipients needs to be filled out in the External Statistics table, so that the calibration rate (\$bsa00_BCA_rate) is computed accordingly. Data are currently available for the years 2006-2023; given the absence of information for 2024, the calibration rate is not computed within the 2024 system, but the one computed within the 2023 system is used instead. For the modelling of reforms, the 2024 system should be used in order to allow for variation in the number of beneficiaries (hence expenditure): beneficiaries will change when the eligibility conditions change by applying the share of 2023 to the new pool of eligible units. If previous systems were used for reforms, total expenditure/total number of beneficiaries would remain constant irrespective of the reform applied, since the model would always stick to the existing external statistics.

2.5.9. Activity allowance – bsawk_s – (Prime d'activité)

Since 1st January 2016, the Activity allowance ("*Prime d'activité*") replaced the "*RSA activité*" and "*PPE*". This benefit address low- income workers (employed or self-employed). It is given to families (or single people) with at least one person in work, and calculated each 3 months and given monthly.

In January 2019, after large social movement of discontent, the bonus amount increased by 90 EUR and earnings limits were increased between 222€ and 854€, depending on the family composition.

2.5.9.1. Definitions

Children under 20 are considered as dependent children for the activity allowance. Children over 20 years and under 25 living at home may be also considered dependent provided that their own income is below 55 % of SMIC (for 169 hours/month).

Since January 1, 2024, the "net social amount" of income have to be declared by those in work to claim the RSA or Activity allowance. The "net social amount" takes into account income from work and related advantages, which previously were not included by beneficiaries in their income declaration.

2.5.9.2. Eligibility conditions

This benefit concern both employees and self-employed persons. For the self-employed, the turnover is used to know if they can access to the benefit. The turnover ceilings depends on the specificity of self-employment.

2.5.9.3. Benefit amount

The allowance amount depends on the family composition and on the family quarterly income and is based on the following formula:

Allowance amount = (Maximum minimum income based on family circumstances + 61 % family work income + Bonus) – (max (Household's resources; Maximum minimum income) + Housing package)

Important comments:

- Household's resources are disregarded if they exceed the Maximum minimum income lump sums based on family circumstances. Otherwise, Maximum minimum income lump sums are disregarded.
- If amount < 0, then the allowance amount is set to 0.
- The percent of income has changed in October 2018, before it was 62 %. From 1 of April 2025, the percent of income has changed from 61 % to 59.85%.

The maximum minimum income is based on the lump sum (gross from CRDS):

Table 2.30 Activity allowance, lump sum [2022-2025]

	2022	2022 ¹	2023	2024	2025
Lump sum	566.51	589.17	598.24	625.76	633.21

Note: ¹ On July 1st 2022, this value is updated by 4 %

Source: <https://www.service-public.gouv.fr/particuliers/vosdroits/F2882>

This lump sum could be increased according to the household composition:

- 50 % for the first additional person
- 30 % for the second additional person
- 40 % per additional person beyond the 3rd person if the household has more than 2 dependent children or persons under 25, except for the person who live in couple with the beneficiary.

Concerning lone persons with children or pregnant, the increased amount is 128.412 % of the maximum minimum income, adding to it 42.804 % of the maximum minimum income for every child.

The family working income includes income from work (wages, bonuses, overtime pay, unemployment benefits and sickness benefits) net of social security contributions (i.e. employment and self-employment income before taxes and transferts). The household's resources are defined in the same way as for RSA : all work income, replacement income (unemployment, ARE, sickness, maternity, invalidity pensions), alimonies, others pensions and income from capital (investment income, savings income and property income), extraordinary income (sale of property, inheritance, gambling winnings) and social minima or family benefits (AAH, APL, ALS, AF, CLCA/PreParE, Paje base and CF are included). Except Paje PN, CMG and ARS who are not taken into account in the calculation of the total income. Since 2018, disability pensions, pensions for accident at work and pensions for occupational diseases are not taken into account too.

The last 3 months are taken into account to calculate the activity allowance.

Table 2.31 Activity allowance, housing package [2022-2025]

	2022	2022 ¹	2023	2024	2025
Single person	69.06	70.35	71.43	74.72	75.99
Lone parent with 1 child	138.12	140.69	142.86	149.43	151.97
Lone parent with 2+ children	170.93	174.11	176.79	184.92	188.06
Couple with no children	138.12	140.69	142.86	149.43	151.97
Couple with 1 or more children	170.93	174.11	176.79	184.92	188.06

Note: ¹ On July 1st 2022, this value is increased

Source: <https://www.caf.fr/professionnels/offres-et-services/accompagnement-des-allocataires/bareme-prime-d-activite>

The housing package is a percentage of the activity allowance lump sum net from CRDS, 12 % for single, 16 % for lone parent with a child and 16.5 % for lone parent with 2+ children. For example in 2025, the Lump sum for activity allowance is in gross: 633.21€, then:

- for single: HP is $12\% \times 633.21 = 75.99\text{€}$
- for lone parent with 1 child: HP is $16\% \times (633.21(1+50\%)) = 151.97\text{€}$
- for lone parent with 2+ children: HP is $16.5\% \times (633.21(1+80\%)) = 188.06\text{€}$

Bonus amount for activity allowance:

Concerning the bonus, each family member who works can benefit from the bonus but the amount is capped for each worker in the family. The individual bonus amount depends on individual work income; the bonus is paid if individual work income is between 0.5 and 1.4 SMIC in 2018, 0.5 to 1.5 SMIC since 2019 (based on net SMIC).

- For individuals with a monthly work income less than 0.5 SMIC (=59*hourly gross SMIC), the bonus is equal to 0.
- For individuals with a monthly work income over 120 times the hourly gross SMIC, the bonus is fixed and capped at the following monthly amounts:
 - 12.782% of the lump sum (net from CRDS) until 2018
 - 29.101% of the lump sum (net from CRDS) since 2019 (2022: 164.04€ net/164.86 € gross; 2023: 173.22€ net/174.09€ in gross; 2024: 181.19€ net/182.10€ in gross, 2024: 183.35€ net/)
- The bonus amount is **variable** but less **than the capped amount** for individuals with a monthly work income between 59 and 120 times the hourly gross SMIC (2022: 623.63€/1268.40€, 2023: 664.93€/1352.40€, 2024: 687.38€/1398€, 2025: 696.20€/1416€) or between 59 and 95 gross hourly SMIC before 2019.
 - Since 2019 the bonus amount is calculated with the formula: $(0.29101 \times \text{lump sum}) \times (1 - ((120 \times \text{hourly gross SMIC}) - \text{work income}) / (120 \times \text{hourly gross SMIC} - 59 \times \text{hourly gross SMIC}))$

This activity allowance is paid from 18 years old. For student, internship and apprentices, their income from work must be over 1104.25€ in 2025 (78% of net SMIC for 35 hours).

The allowance is not taken into account in the income for calculation of the income tax and is not given for amounts less than 15 €.

2.5.9.4. Taxation and income testing

The activity allowance is not taxable and not included in the income test of other benefits but subjected to CRDS.

2.5.9.5. EUROMOD modelling

- This benefit is simulated for all individuals who fulfil the income test and are observed to have positive earnings.

- Earnings are calculated over the year. As a result, the model may overestimate PA receipt and underestimate RSA receipt. The earnings limit to qualify for the benefit is likewise calculated using information about annual earnings.
- There is no information about the turnover of self-employed in the dataset. As a result, specific eligibility conditions for the self-employed are not simulated. Instead, the self-employed are assumed to be eligible if their net profit satisfies the same conditionality as that applicable to employees.
- The bonus amount is calculated using annual information about work income.
- The variable is not disaggregated in the UDB but simulated since 2019 in EUROMOD. From 2020, the variable is disaggregated in EMSD.
- The increment on the Activity Allowance lump-sum on July 1st 2022 is introduced in the model with the FYA extension. It is calculated with a weighted average, considering the benefit amounts before and after the 1st July

https://drees.solidarites-sante.gouv.fr/publications/les-dossiers-de-la-drees/le-non-recours-aux-prestations-sociales-mise-en-perspective?utm_source=Sarbacane&utm_medium=email&utm_campaign=DD%2093%20PUB

<https://www.senat.fr/rap/a19-143-7/a19-143-77.html#:~:text=%2D%20l'%C3%A9largissement%20en%20cons%C3%A9quence%20du,de%2052%20%25%20en%20un%20an>

- BTA extension is on, so the baseline model adjusts for non-take-up of the benefit; BCA extension is off, so it does not calibrate its receipt according to external statistics, but the user can activate it if necessary. See section 2.4 for technical details on both extensions and their interactions.

Users can enable or disable the necessary extensions in Country Tools/Set Switches. For proper functioning, the extensions require the following inputs:

- BTA: The estimated take-up rate of the benefit should be set as the value of the \$bsawk_BTA_rate in the model. Currently, the take-up rate is 73 % at the end of the year 2016, 57 % in 2017, and 80% since 2018 onwards (sources: , , <https://www.caf.fr/nous-connaître/l-e-ssentiel>) .
- BCA: The aggregate expenditure needs to be filled out in the External Statistics table, so that the calibration rate (\$bsawk_BCA_rate) is computed accordingly. Data are currently available for the years 2016-2023; given the absence of information for 2024, the calibration rate is not computed within the 2024 system, but the one computed within the 2023 system is used instead. For the modelling of reforms, the 2024 system should be used in order to allow for variation in the number of beneficiaries (hence expenditure): beneficiaries will change when the eligibility conditions change by applying the share of 2023 to the new pool of eligible units. If previous systems were used for reforms, total expenditure would remain constant irrespective of the reform applied, since the model would always stick to the existing external statistics.

2.5.10. Energy bonus– bhoey_s (Chéque energie)

From 2018, this bonus replaces the gas and electricity social prices granted to low-income households. It takes the form of a voucher that is sent directly to the beneficiaries without any administrative action. This voucher can be used in paiement of a part of the energy bill, the beneficiaries have just to give it to their energy supplier.

This bonus is given at once in March-April each year. In 2025, the bonus will be given in the autumn.

2.5.10.1. Eligibility conditions

Persons with limited resources and who filed in his income tax return.

The bonus is granted according to the household composition and on his the “*Revenu Fiscal de Référence*” (RFR, see below 2.6- Personal income tax).

The household members are taken into account as consumption unit (CU).

Table 2.32 Energy bonus, Consumption unit [2022-2025]

	2022-2025
First person of the household	1
Second person of the household	+ 0.5
Each supplementary person	+ 0.3

Source: <https://www.economie.gouv.fr/particuliers/gerer-mon-argent/comment-beneficier-du-cheque-energie#>

The access is granted if the household's RFR by consumption unit is under the ceiling below:

Table 2.33 Energy bonus, income ceilings [2022-2025]

	2022	2023	2024	2025
Maximum RFR				
by consupstion unit	10800	11000	11000	11000

Source: <https://www.economie.gouv.fr/particuliers/gerer-mon-argent/comment-beneficier-du-cheque-energie#>

For example, a couple with 2 children must not exceed a RFR of 23.100 € in 2024 (2.1*11.000=23.100).

2.5.10.2. Benefit amount

The benefit amount is based on the household composition and on the RFR.

Table 2.34 Energy bonus amounts [2022-2025]

	2022
--	------

	(RFR/CU) < 5600€	5600€ ≤ (RFR/CU) < 6700€	6700€ ≤ (RFR/CU) < 7700€	7700€ ≤ (RFR/CU) < 10700€ (10800€ in 2021-2022)
1CU (1 person)	194	146	98	48
1 < CU < 2 (2 or 3 people)	240	176	113	63
≥ 2 CU (4 people or more)	277	202	126	76

2023-2025				
	(RFR/CU) < 5700€	5700€ ≤ (RFR/CU) < 6800€	6800€ ≤ (RFR/CU) < 7850€	7850€ ≤ (RFR/CU) < 11000€
1CU (1 person)	194	146	98	48
1 < CU < 2 (2 or 3 people)	240	176	113	63
≥ 2 CU (4 people or more)	277	202	126	76

Note : CU=Consumption Unit

Source: <https://www.economie.gouv.fr/particuliers/gerer-mon-argent/comment-beneficier-du-cheque-energie#>

Additional Energy Voucher:

- In 2022, a new exceptional energy voucher in the amount of 100€ to 200€ will be paid to 40% of the most modest households from December 2022:
 - 200€ for households which reference tax income per consumption unit is strictly less than 10800€
 - 100€ for households whose reference tax income per consumption unit is between 10800€ and 17400€.
- In 2023, several exceptional vouchers are given to eligible households only if they apply. First, an energy voucher for wood expenses for households with RFR < 27500€ and who have apply for the voucher and on presentation of an invoice for wood or pellet purchase. The voucher amount are:
 - For pellets: 200€ if RFR < 14400, 100€ if 14400 < RFR < 27500
 - For logs: 100€ if RFR < 14400, 50€ if 14400 < RFR < 27500
- Secondly, a petrol allowance of 100 € is given to the most modest households under resources conditions (RFR < 14700€ for 1 part of RFR) and only if they apply for it.
- The Additional Energy Voucher has not ben renewed in 2024 and 2025.

2.5.10.3.Compatibilities

This benefit is compatible with national or regional benefits.

2.5.10.4.Taxation and income testing

Not taxable and not included in the income test of other benefits and not subjected to CRDS.

2.5.10.5.EUROMOD modelling

The variable is simulated in EUROMOD since 2018, we do not have information of the actual use of this voucher but we assume that all eligible beneficiaries use it. Regarding additional energy voucher, they are simulated in 2021 and 2022 but not in 2023 because of lack of information on wood consumption and on kind of transport used.

The 2023 Additional Energy vouchers cannot be implemented in EUROMOD because there is no data on EU-SILC for wood consumption or transportation used by eligible low-income earners to commute to work.

2.5.11. Solidarity allowance for the elderly – bsaoa_s – (Allocation de solidarité aux personnes âgées, ASPA)

2.5.11.1.Eligibility conditions

Persons aged 65 and over with limited resources and retired (not working).

2.5.11.2.Benefit amount

The benefit is differential at the level of the couple:

ASPA= Monthly Maximum amount – Quarterly Family income/3

If the amount calculated is < 0, the amount is set to 0.

Family quarterly income does not include family benefits or housing benefits (i.e. the quarterly net taxable income + AAH) and concerns only the beneficiary and his partner's income.

The maximum income depends on the family situation:

Table 2.35 ASPA, monthly maximum income [2022-2025]

	2022	2022 ²	2023	2024	2025
Single	916.78	953.45	961.08	1012.02	1034.28
Couple ¹	1423.31	1480.24	1492.08	1571.16	1605.73

Notes: ¹ The couple amount is applied if at least one person is aged 65 or over.

² On July 1st 2022, this value is updated by 4 %

Source: <https://www.economie.gouv.fr/particuliers/preparer-ma-retraite-et-ma-succession/comment-fonctionne-le-minimum-vieillesse-ou#>

2.5.11.3.Compatibilities

This benefit is compatible with national or regional benefits.

2.5.11.4.Taxation and income testing

Not taxable and not included in the income test of other benefits and not subjected to CRDS.

2.5.11.5.EUROMOD modelling

Eligibility for this benefit is restricted to individuals reporting receipt in the data. While it is technically possible to fully simulate the benefit, doing so results in substantial overestimation of both the number of recipients and the amounts. The income test is carried out using current yearly income rather than previous quarterly income. The age condition is simulated using age at the end of the income reference period. Thus, a full year worth of benefits is simulated for individuals turning 65 during the income reference period who in reality, would have been entitled only during part of the reference year.

The increment of the amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the benefit amounts before and after the 1st July.

2.5.12. Housing Benefits – bhotn_s – (Allocation Logement, APL and AL)

2.5.12.1.Definitions

Children are considered as dependent persons if they are aged under 20 and earning less than 55 % of the minimum wage (based on 169h/month).

Dependent persons: all the dependent children and disabled close family members (parents, grandparents, sisters, brothers...) or parents and grandparents over 65 living in the household who earn less than 55 % of the minimum wage.

The unit of assessment is the entire household.

2.5.12.2.Eligibility conditions

Be a renter of subsidized housing, sub-renter or first time buyer.

Since July 2016, if the real rent paid is over a threshold, the benefit is suppressed. If the rent is over a determined ceiling but under a maximum threshold then the benefit is decreased.

Since October 2016, the value of the assets is taken into account in the allowance amount calculation when this is higher than 30000 EUR. This concern the real estate assets (excluding the main residence and properties for occupational use), financial assets and movable assets.

Furthermore, beneficiaries who are dependant on a household subject to wealth tax or tax on real estate wealth are no longer entitled to such assistance.

A reform, initially planned for 2019 but finally taking place on the 1st of January 2021 due to covid-19, changed the income reference period and now correspond to the previous 12 months. This reform also modifies the eligibility conditions which are checked every 3 months.

2.5.12.3. Benefit amount

The general formula giving the amount of housing benefit is as follows (it is the same for APL and AL):

Equation 1. General formula for housing benefit amount (AL/APL)

$$AL \text{ or } APL = L + C - Pp - Mfo$$

L: real rent up to the limit of a certain ceiling

C: lump-sum charge

Pp: minimal personal participation

Mfo: lump sum voted each year

The system presented here is the more “general” system relating to the rental sector. We do not take into account the specificities of the calculation on residential homes (“Logement-foyer”), roommates or specific loans.

1. Real Rent (L):

The real rent is taken into account up to a limit of a monthly ceiling, depending on the number of dependent persons and on the geographical zone. Children older than 20 are not considered dependent persons but their incomes are included in the assessed household income.

Table 2.36 Housing benefits, rent taking into account in calculation [2022-2025]

Year	October 2021 to June 2022		
Geographical Zone	I	II	III
Single	298.07	259.78	243.48
Couple without dependent person	359.49	317.97	295.15
Lone parent/couple with one dependent person	406.30	357.80	330.94
Lone parent/couple with two dependent people	465.25	409.88	378.37
Increase for each dependent person	58.95	52.08	47.43

Note: On July 1st 2022, these values are updated in advance to compensate inflation by 3.5 %.

The usual annual increase occurs from October 2023, +3.5%.

Year	July 2022 to September 2023			October 2023 to September 2024		
Geographical Zone	I	II	III	I	II	III
Single	308.50	268.87	252.00	319.30	278.28	260.82

Couple without dependent person	372.07	329.10	305.48	385.09	340.60	316.17
Lone parent/couple with one dependent person	420.52	370.32	342.52	435.24	383.28	354.51
Lone parent/couple with two dependent people	481.54	424.22	391.61	498.39	439.07	405.32
Increase for each dependent person	61.01	53.90	49.09	63.15	55.79	50.81

Source : https://www.legifrance.gouv.fr/loda/article_lc/LEGIARTI000046206217

The zone depends on the geographical area:

Zone I : Paris and region “Ile de France”

Zone II: cities with more than 100.000 inhabitants and Corsica

Zone III: all others cities.

Since July 2016, real rent paid is used to determine if the benefit is abolished or not. It depends on the geographic zone and on the previous L amount who intergrate the family composition.

If the rent actually paid is above C1 but under C2 then the allowance is decreased, if rent paid is above C2 the benefit is abolished.

Table 2.37 Housing benefits, decrease parameters [2022-2025]

2022-2025	C1	C2	Eg. in July 2025 For Single
Zone I	>3.4 L	≥ 4 L	(between 1132.676 € and 1332.56 €)
Zone II	>2.5 L	≥3.1 L	(between 725.85 € and 900.054 €)
Zone III	>2.5 L	≥3.1 L	(between 680.3 € and 843.572 €)

Note: The increase for each dependent person are also multiplied by the corresponding coefficient.

Source : <https://www.legifrance.gouv.fr/loda/id/LEGISCTA000039160679>

If the rent actually paid is between C1 and C2, the decreasing rate applied to the allowance amount is defined as:

Equation 2. Benefit reduction factor (α) when rent falls between thresholds C1 and C2

$$\alpha = \frac{\text{rent paid} - C1}{C2 - C1}$$

with α = 0 when the rent paid is ≥ C2 and then APL = 0

α = 1 when the rent paid is = C1

0 < α < 1 when the rent paid is between C1 et C2

So, if and only if rent actually paid is between C1 and C2, the allowance amount will be:

Equation 3. Adjusted housing benefit amount applying the reduction factor α

$$\text{new APL} = \text{APL} (1 - \alpha)$$

2. Lump-sum charge (C):

The monthly amount depends on the number of dependent persons:

Table 2.38 Housing benefits, lump-sum charge [2022-2025]

	2022	2022 ¹ - 2023	2023 ² - 2024	2024 ² - 2025	2025 ²
Single person/couple without dependent person	54.22	56.12	58.08	59.97	60.59
Single person/couple with one dependent person	66.51	68.84	71.25	73.57	74.33
Increase for each dependent person	12.29	12.72	13.17	13.60	13.74

Notes:

¹ From July 2022, increase by 3.5 %

² From October

Source: <https://www.legifrance.gouv.fr/loda/id/JORFTEXT000039160329>

3. Minimal personal participation (Pp):

Pp is computed as follows:

Equation 4. Minimal personal participation (Pp)

$$Pp = PO + Tp \cdot Rp$$

PO : minimal participation

Tp: Personal participation rate

Rp : Resources

— PO minimal participation:

Equation 5. Minimal participation floor (PO)

$$PO = \text{Max} (PO_{\text{forf}}, [8.5 \% \cdot (L + C)])$$

Table 2.39 Housing benefits, minimal participation [2022-2025]

	2022	2022 ¹ -2023	2023 ² -2024	2024 ² -2025	2025 ²
PO _{forf} (€ per month)	35.39	36.63	37.91	39.15	39.56

Notes:

¹ From July 2022, increase by 3.5 %

² From October

Source: <https://www.legifrance.gouv.fr/loda/id/LEGISCTA000039160679>

— Tp Personal participation rate:

Tp is computed as:

$$Tp = Tf + Tl$$

Table 2.40 Housing benefits, parameter Tf [2022-2025]

	2022-2025
Single	2.83 %
Couple without dependents	3.15 %
Lone parent/couple with one dependent person	2.70 %
Lone parent/couple with two dependent persons	2.38 %
Lone parent/couple with three dependent persons	2.01 %
Lone parent/couple with four dependent persons	1.85 %
Lone parent/couple with five dependent persons	1.79 %
Increase for each dependent person	-0.06 %

Source: <https://www.legifrance.gouv.fr/loda/id/LEGISCTA000039160679>

Tl:

Tl is computed as follow:

Equation 6. Rent-to-baseline ratio (RL) for calculation of the Tl rate component

$$RL = L / \text{Rent Baseline}$$

Table 2.41 Housing benefits, Rent Baseline [2022-2025]

	2022	2022 ¹ -2023	2023 ² -2024	2024 ² -2025	2025 ²
Single	259.78	268.87	278.28	287.35	290.34
Couple without dependent	317.97	329.10	340.62	351.72	355.38
Lone parent/couple with one dependent	357.80	370.32	383.28	395.77	399.89
Lone parent/couple with two dependents	409.88	424.22	439.07	453.38	458.10

Increase for each dependent	52.08	53.90	55.79	57.61	58.21
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Notes:

¹ From July 2022, increase by 3.5 %

² From October

Source: https://www.legifrance.gouv.fr/loda/article_lc/LEGIARTI000046206217

Finally, TI is as follows:

Table 2.42 Housing benefits, RL parameter [2022-2025]

2022-2025	
RL	TI
0-45 %	0 %
45-75 %	0.45 %*(RL- 45 %)
>75 %	0.45 %*30 %+0.68 %*(RL-75 %)

Source: <https://www.legifrance.gouv.fr/loda/id/LEGISCTA000039160679>

Rp Resources:

Rp is defined as the difference between the household's resources (2 years before until 2020, 12 previous months since January 2021, incorporating assets values) and a lump-sum RO.

RO is given by (yearly amounts):

Table 2.43 Housing benefits, RO parameter [2022-2025]

	2022	2022 ¹	2023	2024	2025
Single	4683	4870	4949	5186	5235
Couple without dependent person	6709	6977	7090	7430	7501
Lone parent/couple with one dependent person	8002	8322	8456	8862	8947
Lone parent/couple with two dependent persons	8182	8509	8646	9061	9148
Increase for each dependent child	311	323	328	343	346

Notes: ¹ From July 2022, increase by 4 %

Source: <https://www.service-public.gouv.fr/particuliers/actualites/A17979>

The household's resources is the "*Revenu Brut global*" used in the income tax.

4. Lump sum (Mfo):

Since October 2017, the AL amount is reduced by a lump sum voted each year, since October this amount is 5 Euros. Moreover, since October 2017, the minimum payment goes from €15 to €10 for AL, and 0 for APL.

RLS «Réduction du loyer de solidarité» (not computed in EUROMOD)

In February 2018, a reduction of solidarity rent, RLS, was introduced. It consists in a decrease of housing benefit APL for tenants with low incomes living in social housing. This decrease of APL is compensated by an equivalent reduction in the monthly rent. Only people eligible for RLS are entitled to a decrease in housing benefit, the reduction in rent being linked to the APL decrease.

To be eligible:

- the beneficiaries must rent a social housing (except sheltered house and overseas housing).
- they must respect the following resource ceilings

Table 2.44 Housing benefits, monthly resources ceilings [2022-2025]

Year	2022-2023			2024-25		
Geographical Zone	I	II	III	I	II	III
Single	915	854	828	959	895	868
Couple without dependent person	1102	1042	1008	1155	1092	1056
Lone parent/couple with one dependent person	1403	1329	1289	1470	1393	1351
Lone parent/couple with two dependent people	1669	1583	1536	1749	1659	1610
Lone parent/couple with three dependent people	2043	1943	1877	2141	2036	1967
Lone parent/couple with four dependent people	2357	2243	2169	2470	2351	2273
Lone parent/couple with five dependent people	2624	2497	2411	2750	2617	2527
Lone parent/couple with six dependent people	2905	2764	2671	3045	2897	2799
Increase for each dependent person	283	266	247	297	279	259

Source : <https://www.anil.org/aj-reduction-loyer-solidarite-rls-apl/>

Source : <https://www.legifrance.gouv.fr/loda/id/JORFTEXT000044560604/2023-05-17/>

The RLS amount is updated each year in January. Similarly, the maximum ceiling is indexed to the rent reference index (IRL).

Monthly amount of rents decreases for social housing (RLS):

Table 2.45 Housing benefits, RLS [2022-2025]

Year	01/2022 to 09/2022			10/2022 to 12/2022			2023			October 2023		
Geographical Zone	I	II	III	I	II	III	I	II	III	I	II	III
Single	50.95	44.60	41.76	52.97	46.59	43.56	52.16	45.66	42.76	54.51	48.22	45.08
Couple without dependent person	61.53	54.49	50.59	63.82	56.71	52.67	63	55.79	51.80	66.05	58.71	54.51
Lone parent/couple with one dependent person	69.48	61.04	56.64	71.92	62.81	58.75	71.14	62.50	57.99	74.43	65.00	60.80
Increase for each dependent person	10.00	8.88	8.03	10.13	9.12	8.11	10.24	9.09	8.22	10.48	9.44	8.39

Source: <https://www.service-public.gouv.fr/particuliers/actualites/A15236>

Monthly amount of rents decreases for social housing in gross from CRDS (RLS):

Year	2024			October 2024			2025 ¹			2025 ²		
Geographical Zone	I	II	III	I	II	III	I	II	III	I	II	III
Single	55.2	48.45	45.36	59.14	52.31	48.91	55.48	48.69	45.59	36.89	35	32.77
Couple without dependent person	66.73	59.15	54.92	71.66	63.69	59.14	67.06	59.45	55.20	48.22	42.74	39.68
Lone parent/couple with one dependent person	75.31	66.06	61.42	80.75	70.52	65.96	75.79	66.39	61.73	54.41	47.73	44.38
Increase for each dependent person	10.78	9.60	8.65	11.37	10.24	9.10	10.52	9.65	8.69	7.79	6.93	6.25

Notes:

¹ From 2025 onwards, it's was planned that the amount will be revalued each year on January 1 in line with IRL (official rent index) increase <https://www.insee.fr/fr/statistiques/serie/001515333>)

² But, in June 2025, a new modification has been made.

Source: <https://www.service-public.gouv.fr/particuliers/actualites/A15236>

In the case someone is living on the same address, but is not part of the households, each of these persons or households can benefit from the rent reduction if his income does not exceed the ceilings, but within the limit of 75 % of the reduction.

The Amount of APL decreases for the eligible beneficiaries is set to **98 % of RLS** since 2018. The rate is fixed each year and varies from 90 % to 98 %.

In fact, this rent reduction only applies to the poorest families benefiting from APL. This reform doesn't result to any loss since the decrease in APL is fully offset by the reduction in rent, the gains generated are minimal.

2.5.12.4.Compatibilities

This benefit is compatible with national or regional benefits.

2.5.12.5.Taxation and income testing

Not taxable and not included in the income test of other benefits (except for activity allowance and RSA) but subjected to CRDS.

2.5.12.6.EUROMOD modelling

- Only the general benefit for tenants paying rent is simulated.
- Benefits for home owners/ tenants in free accommodation are not simulated due to absence of required information in the dataset. Then, due to lack of information on social housing the reform of February 2018 (a reduction of the solidarity rent, RLS) is not simulated in EUROMOD.
- The three zones upon which the benefit depends are imputed based on geographical region (db040) and population density (db100).
- The income used in the income test is yearly rather than quarterly. Also rent paid is calculated using a monthly average of rent paid throughout the entire year.
- The change in the income reference period in 2019 has no impact on EUROMOD simulations because EUROMOD uses the income of the same year when simulating the entitlement to a benefit.
- The increment of the amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the benefit amounts before and after the 1st July

2.5.13. Unemployment insurance Benefit – bunct_s – (Allocation de retour à l'emploi, ARE)

2.5.13.1.Eligibility conditions

Since November 2019, people who have worked at least 6 months over the previous 24 months (or 36 months for employees 53 years old and older) at the time of the termination of the employment contract, are eligible to receive unemployment insurance benefits if they did not leave their job voluntarily and are actively looking for work. Due to Covid-19 crisis, the period of 6 months was exceptionally reduced to 4 from August 2020 to November 2021.

On conditions, people who leave their job voluntarily (if they have an approval professional project and if they worked 5 years during the last 60 months) can benefit. For self-employed, the benefit is called ATI, *Allocation des Travailleurs Indépendants*, they can earn an amount of 800€/month during 6 months if their previous income of the last 2 years is more than 10 000€ per year and if their company is in legal redress. These last two cases, people who leave their job voluntarily and the self-employed, are not simulated in EUROMOD as there is yet no information on the beneficiarines in the original EU-SILC data.

Before November 2019, people who have worked at least 4 months over the previous 28 months (or 36 months for employees 53 years old and older) are eligible to receive unemployment

insurance benefits if they did not leave their job voluntarily and are actively looking for work. No benefit for people who leave their job voluntarily nor for self-employed.

In October and December 2021, the unemployment reform previously postponed was implemented.

From 1st October, the calculation of the daily reference wage (SJR) has changed and takes into account the non-worked days. The SJR, which is used as a basis for calculating the unemployment benefit, is no longer calculated on the basis of days worked in the last 12 months, but on an average monthly income taking into account days worked but also periods of inactivity. I.e., it takes into account the total number of calendar days between the first day of the first work contract and the last day of the last work contract, excluding days of illness, maternity/paternity and work accident, during the last 24 months for those under 53 years of age (36 months otherwise). Thus, the more jobseekers have a split work pattern, the more likely they are to be affected by a reduction in their unemployment benefit.

An impact study by Unédic published in April 2021 estimates that these new calculation rules will lead to a drop in daily benefit of 17 % on average in the first year for 1.15 million recipients. However, the compensation time is expected to be longer: 14 months on average, compared to 11.

As these new calculation methods lead to a breach of equality between recipients in continuous employment and those in discontinuous employment, a decree of 30 March 2021 introduced a floor mechanism to limit the decrease in the daily reference wage. The benefit cannot decrease more than 43 % in relation to the old calculation method. Of the 1.15 million recipients, 365 000 will benefit from this floor (obtained by capping the number of days not worked taken into account to 75 % of the days worked).

For jobseekers under 57 years old (the reform is not applied after 57 years old) with an income of more than 4500 € per month in gross, (4518 in 2022, 4766 in 2023, 4857.81 in 2024 and 4915.33€ in 2025), the reform which reduces their unemployment benefit by 30% from the 7th month of unemployment started on 1 December 2021 after being postponed several times.

From 1st April 2025, the reform which reduces the employment benefit by 30% from the 7th month of unemployment will no longer apply the jobseekers aged 55 and over (instead of 57 previously).

2.5.13.2. Income test

There is no income test for this benefit. The benefit amount depends on the salary earned during the last 12 months.

2.5.13.3. Benefit amount

The benefit amount depends on:

- the sum of gross earned income received during the last 12 months before the last day worked
- the mode of activity : full-time, part-time.

The calculation of this amount is based on the gross daily reference wage ("*Salaire journalier de référence*", SJR) with:

Until september 2021:

SJR= sum of gross earned income during the last 12 months before the last day worked / (365- days of absence or without a contract (= number of worked days(capped at 261)*1.4))

From October 2021:

SJR= sum of gross earned income during the last 24 months (36 for 53 years old and more) before the last day worked / (731- days of illness, parternity/maternity or in work accident) or 1096 for 53+.

In the event of a reduction in the SJR with this new calculation method, the reduction in SJR is capped at 43 % of the SJR calculated with the previous method.

The amount of the benefit is 40.4 % of the SJR + the fixed allocation (13.11 euros per day in 2025). The benefit cannot be lower than the minimum benefit mentioned in the table below (31.97*RF euros for 2025) and cannot be higher than 75 % of the SJR.

Since 1st of July 2014, the amount of the benefit is the higher amount between 40.4 % of the SJR + the fixed allocation and 57 % of the SJR (the benefit's amount is between 57 % and 75 % of the SJR).

For part-time workers, we compute the reduction factor as:

RF= (number of hours worked in part-time work) / (legal number of hours)

After several postponements, since 1st November 2019, people less than 57 years old whose wage is more than €4500/month in gross, (4545 in 2022, 4766 in 2023, 4857.81 in 2024 and 4915.33 in 2025) had a reduction of their benefit by 30 % starting from the 7th month of unemployment, with a min threshold of €2261 net/month (2679 in 2023, 2730 in 2024 and 2763 in 2025) (this part of the reform was postponed and apply from 1 december 2021(the countdown began on December 1, 2021), so the first reduction of 30 % will begin after 7 months, that is, in the amount of benefits of July 2022.

Table 2.46 ARE parameters [2022-2025]

Parameters	2022	2022 ¹	2023	2024	2025
Fixed allocation	12.12*RF	12.47*RF	12.71*RF	12.95*RF	13.11*RF
Minimum Benefit	29.56*RF	30.42*RF	31*RF	31.59*RF	31.97*RF

Note: since July 2011, the amount is increased each first of July. In this table it's the amount at 30th June.

¹ From July, increase by 2.9 %

Source: <https://travail-emploi.gouv.fr/lallocation-daide-au-retour-lemploi-are>

The monthly benefit is the daily benefit multiplied by the number of days in the month (since April 2025, the number of days is fixed to 30 each month). The benefit duration is based on the rule "one day worked, one day of compensation", the duration is one day worked*1.4 in order to convert the days worked (5 per week) into days of allowance (7 per week))

From 2009 to October 2019, the eligibility condition was to have worked at least 4 months in the last 28 months (88 days or 610 hours) for people under 53 years and during the last 36 months for people over 53 years old, and to be registered to the employment office. The maximum duration

depended on age (age at the date of the end of the work contract) and on number of days worked (see below), it extends from 4 to 36 months.

Since November 2019, the eligibility condition is to have worked 130 days (6 months) or 910 hours during the last 24 months for people less than 53 years old (36 months for those more than 53 years old). The **maximum** duration depends on the number of days worked and on age:

- 24 months for those with less than 53 years old,
- 30 months for those between 53-54 53 years old,
- 36 months for those with 55 years old or more.

From August 2020 to November 2021, the eligibility condition has been exceptionnaly reduced to 4 months due to the Covid-19 crisis, it will return to 6 months from December 2021.

Since February 2023, the duration was reduce by 25%, except for those who have only 6 months of duration before the reform (6 months is the minimum duration threshold). At the end of the benefit period, if they have not find a job, the jobseekers may be entitled to an end-of-right supplement extending their benefit period (by the same duration as the 25% previously deducted) in the event of a deterioration in the state of labour market, i.e. when the unemployment rate exceeds 9% or in the event of a very rapid deterioration in the labor market situation (i.e increase of the unemployment rate by 0.8% in one quarter).

Since 1st April 2025, the maximum duration has changed for 53-54 years old jobseekers (548 calendar days instead of 685, i-e 18 months instead of 22.5 months), and for 55-56 (685 calendar days instead of 822 before, 22.5 months instead of 27 months). At the end of the benefit period, in case of a deterioration of the labour market, the jobseekers may be entitled to an end-of-right supplement extending their benefit period duration 25 %. In case bad market circonstances , for 53-54 years old, the total maximum duration is then 24 months (18 + 6 months, i.e 730 days = 548 + 182 days). For 55-56 years old, the total maximum duration is then 30 months (22.5 + 7.5 months, i.e 913 days = 685 + 228 days) and for 57 years old and more, the total maximum duration is then 36 months (27 + 9 months, i.e 1095 days = 822 + 273)

2.5.13.4. Taxation and income testing

Taxable and included in the income test of other benefits, subjected to CRDS and CSG.

Table 2.47 Characteristics of the unemployment insurance benefit [2019-2025]

		November 2019 to January 2023	February 2023 to March 2025
Eligibility	Contribution period	For employees below the age of 53: 6 months in the last 24 For employees above the age of 53: 6 months in the last 36 months immediately preceding unemployment	Same rules
	Other conditions	These conditions are reduced to 4 months since august 2020 to November 2021 due to Covid Crisis	-

Payment	Self-employed	800€/month during 6 months under conditions ¹		Same rules		
	Workers who quit	Resignation deemed legitimate by administration ²		Same rules		
	Contribution base	Gross earning		Gross earning		
	Basic amount	40.4 % of the gross daily reference wage + fixed allocation		Same rules		
	Additional amount					
	Floor	29.56/day ³ (2022)	31/day (2023)	31.59/day (2024)	31.97/day (2025)	
	Ceiling	Maximum 75 % of the gross daily reference wage				
	Regressivity	For gross wages >4766€ in 2023 (4545 until June 2022, 4677 until end of 2022), and less than 57 years old, up to 30 % less than the initial allocation starting from the 7th months of unemployment (after 182 days of unemployment = 6 months, 8 months from July 2021 except if the unemployment situation in France is better at this date) ⁴		For gross wages >4766€ in 2023 (4857.81 in 2024) Same rules	For gross wages >4915.33 and less than 55 years old	
Duration	Standard (in months)	number of days worked *1.4 with a min of 182 calendar days and a maximum of 730 calendar days for less than 53 years old (913 for 53-54 years old, and 1095 for 55 and more)	For demands after 1 February 2023, the duration is reduced by 25% with a minimum threshold of 6 months of duration (182 calendar days). The maximum duration is 548 calendar days (685 for 53-54, 822 for >55).	Same conditions for demands after 1 April 2025 expect for the maximum duration for 53-54 years old:548 calendar days, 685 for 55-56, 822 for 57 years and more).		
	Special cases (in month)	In case of part time activity, the part time rate is taken into account (rate=nb hours/35 apply to the 31.59€ in 2024 (31.97€ in 2025) and to the fixed allocation) the maximum depend on the same calculation of the full time				
Subject to	Taxes	Yes		Yes		
	SIC	Yes (3 % for retirement)				

Notes:

¹ The self-employed must have been in the same company for 2 years, the company must be in reorganization or liquidation and the 2 previous years annual turnover must be at least 10 000€. The income of the applicant for the benefit must be less then RSA at the time of the request and he must prove he's seriously looking for a job.

² For workers who have resigned, the resignation is legitimate if objective reasons justify it, such as follow his partner or parents in other region, after a marriage, in case of domestic violence...or if the applicant has left his job for another one and he lost this other job within 65 days of recruitment. In other cases of resignation, the benefit can be obtained after 4 months (121 days) of unemployment (4 months not compensated) if the eligibility conditions are fulfilled and in case of serious and active job search. Since November 2019, a new possibility has been offered to resigners to access to the benefit, it's to resign to build another professional project (the project must be accepted by administration before resignation).

³ amount increased to 30.42 in July 2022

⁴ This part of the reform was temporarily suspended until December 2021 so, for eligible people, the degressivity of the benefit will start in fact from July 2022 after 182 days of unemployment.

From June 2022, those whose daily allowance is higher than 149.5€ per day (156.70 in 2023, 159.68 in 2024 and 161.6 in 2025) are eligible for degressivity. After application of the 30 % degressivity, the minimum daily allocation cannot be less than 87.65€/ day, 89.32 in 2023, 91.02 in 2024, 92.11 in 2025 (i.e. 2666€ of allowance per month, 2679 in 2023, 2730 in 2024, 2763 in 2025).

From June 2022, for gross wages >4677€ (4518 in 2020 and 4545 until June 2022, 4677 from August 2022, 4766 in 2023, 4857.1 in 2024 and 4915.33 in 2025), and less than 57 (55 in April 2025) years old up to 30 % less than the initial allocation starting from the 7th months of unemployment (after 182 days of unemployment = 6 months, 8 months from July 2021 except if the unemployment situation in France is better at this date).

Source: <https://www.unedic.org/l-assurance-chomage-et-vous/demandeur-d-emploi-ou-salarie/mon-indemnisation/pendant-combien-de-temps-vais-je-toucher-mes-allocations-chomage>

2.5.13.5.EUROMOD modelling

No information exists in the dataset on contribution history. As a result, the simulation of eligibility approximates to a large extent observed receipt in the data. The age condition is simulated using age at the end of the income reference period. Thus, individuals who have turned 65 during the period and might have been entitled to the benefit for part of the year are considered ineligible. Previous earnings have been imputed from the observed amount of the received benefit by inverting the benefit rules. The difference between full-time and part-time workers is not simulated as the number of hours worked in the previous year is not observable in the data. All entitled individuals are considered to have worked full time. If the upper limit of the benefit (75 % of SJR) is lower than the minimum benefit, the upper limit is enforced based on the assumption that such a situation may arise only for part-time workers for whom the minimum benefit is not properly simulated (i.e. it is over simulated). Duration of the benefit is simulated assuming the same number of months has been worked in each year as in the current year. Duration of benefit receipt is simulated to be at least the number of months in receipt observed in the data.

New rules regarding the period for computing the benefit amount, in force since October 2021, cannot be implemented due to lack of relevant information in the input data.

The increment of the amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the benefit amounts before and after the 1st July

2.5.14. Unemployment Assistance– bunmt_s – (Allocation de solidarité spécifique, ASS)

2.5.14.1.Eligibility conditions

People who have exhausted their rights to unemployment insurance, who have been employed for at least 5 years during the last 10 years, are aged under 62 (from 2023, depending on whether the applicant has a sufficient number of quarters to claim a full-rate pension but has not reached the minimum age), able to work and actively looking for a job are eligible for unemployment assistance.

2.5.14.2.Income test

The income taken into account for the income test is the couple's net taxable income (RNI) except the unemployment benefit previously earned, family allowance, housing benefits, but including the ASS itself.

The monthly amount is calculated as the sum of the eligible income of the 12 previous months before the month of the demand, divided by 12.

The monthly income should be under:

Table 2.48 ASS income limit

Monthly income	Differential rate
Single	70 times the daily amount
Couple	110 times the daily amount

Source: <https://www.francetravail.fr/candidat/mes-droits-aux-aides-et-allocati/aides-financieres-et-autres-allo/autres-allocations/lallocation-de-solidarite-specif.html>

The computation method also depends on the same couple's income. The benefit is either a lump-sum (full rate) or calculated differentially. The thresholds for receiving the full rate are:

Table 2.49 ASS, threshold for full rate

Monthly income	Full rate
Single	Under 40 times the daily amount
Couple	Under 80 times the daily amount

Source: <https://www.francetravail.fr/candidat/mes-droits-aux-aides-et-allocati/aides-financieres-et-autres-allo/autres-allocations/lallocation-de-solidarite-specif.html>

2.5.14.3. Benefit amount

Table 2.50 SS daily benefit amount [2022-2025]

	2022	2022*	2023	2024	2025
Daily amount	17.21	17.90	18.17	19	19.33

Source: <https://www.francetravail.fr/candidat/mes-droits-aux-aides-et-allocati/aides-financieres-et-autres-allo/autres-allocations/lallocation-de-solidarite-specif.html>

The monthly amount is obtained by multiplying the daily amount by 30.

If the couple's income is below the full rate threshold (i.e. 40 times the daily amount for a single person, 80 times for a couple), the monthly benefit is the daily amount multiplied by 30.

If the couple income is above the threshold for the full rate amount, the benefit will be

$30 \times \text{daily amount} - (\text{Couple's income} - \text{Full rate threshold})$

2.5.14.4.Compatibilities

This benefit is not compatible with unemployment insurance benefit ARE and RSA, but compatible with AAH before 2017 (not after for new request, for those who received the two allowances before January 2017, under eligibility conditions, the two allowances combined for 10 years).

2.5.14.5.Taxation and income testing

The Unemployment Assistance is taxable, but it is not subjected to CRDS and CSG. The benefit is included in the income test of other benefits.²

Table 2.51 ASS, characteristics of the unemployment assistance [2022-2025]

		2022-2025				
Eligibility	Contribution period	n/a				
	Other conditions	Employed at least 5 years in the last 10 years, under 62 years old (for those who have all the quarters to receive a full pension), looking for a job, exhausted unemployment insurance.				
	Eligibility of self-employed	No				
Payment	Contribution base	Net taxable income (couple)				
	Basic amount	16.91/day in 2021	17.21/day in 2022	18.17/day in 2023	19/day in 2024	19.33/day in 2025
	Additional amount	-				
	Floor	n/a				
	Ceiling	If the household income is below the full rate threshold (i.e. 40 times the daily amount for a single person, 80 times for a couple): daily amount*30 If the household income is above the threshold for the full rate amount, the benefit will be 30*daily amount – (households' income – Full rate threshold)				
Duration	Standard (in months)	6 months renewable as long as the beneficiary fulfilled the conditions of eligibility				
	Special cases (in month)	-				
Subject to	Taxes	Yes				
	SIC	No				

Source: <https://www.francetravail.fr/candidat/mes-droits-aux-aides-et-alloca-tions/aides-financieres-et-autres-alloca-tions/lallocation-de-solidarite-specif.html>
<https://www.service-public.gouv.fr/particuliers/vosdroits/F12484/personnalisation/resultat?lang=&quest0=0&quest1=0&quest=>

ASS - End of year bonus:

² **Simulation assumption:** ASS is taxable and at the same time its income test depends on taxes. In order to deal with this circularity, taxes (including income tax and CRDS) are calculated using the data variable and not the simulated variable. The simulated variable is calculated after taxes are computed.

The end of year bonus is given once in December to ASS beneficiaries that entitled to the ASS in November or in December of the current year. In 2023, single parents with one or more children who receive ASS will receive a 35% bonus on their allowance. The increased amount for dependent child is only available on request from “France Travail”.

Table 2.52 ASS – End of year bonus [2022-2025]

End of year bonus	2022	2023	2024	2025
Fix amount	152.45	152.45	152.45	152.45
On request only in 2023:				
Lone parents:				
- One dependent child		205.81		
- Two dependent children		232.49		
- Three dependent children		248.49		
- Four dependent children		269.84		
- Each child after 2 nd		21.34		

Source: <https://www.francetravail.fr/candidat/mes-droits-aux-aides-et-allocati/aides-financieres-et-autres-allo/aide-exceptionnelle-de-fin-danne.html>

2.5.14.6. EUROMOD modelling

There is no detailed information about contribution history in the data. The condition of 5 years worked in the last 10 is approximated by checking that the individual has worked at least 5 years throughout his entire work career. It is assumed that all potential recipients are actively looking for work. The exhaustion of contributory unemployment insurance benefits (ARE) is checked by comparing months in unemployment with the imputed/ simulated number of months receiving ARE. The income test is simulated based on current yearly income. Due to time period mismatched, the simulated benefit does not approximate well observed receipt in the data. Incompatibilities with RSA are not simulated. Instead, ASS is included in the income test of RSA.

The increment of the amount on July 1st 2022 is introduced in the model with the FYA. It is calculated with a weighted average, considering the benefit amounts before and after the 1st July.

2.5.15. Sickness benefit (« congé maladie ») and Parental leave (« congé maternité », « congé paternité », « congé adoption »)

2.5.15.1. Definitions

The parental leave and the sickness benefit are replacement income provide by The Primary Health Insurance (CPAM) for employee. In case of sick leave, maternity, paternity or adoption leave, the employee receives daily social security benefits.

The parental leave and the sickness benefit are subject to almost the same conditions of grant detailed below.

Concerning the three different parental leave in France, the duration of leave changes depending on the situation in view of the number of children in the household, and the number of children expected or adopted.

The benefit is paid fortnightly in arrears, it depends on the previous salaries and on the number of days of leave. The first payment will be received after 14 days.

2.5.15.2. *Sickness benefit (bhl)*

2.5.15.2.1. Eligibility

If you are an employee, you receive daily social security allowances if you fulfill the conditions of entitlement, which vary according to the duration of inactivity and the contributions.

If the individual is out of work for **less than 6 months**

- the employee must have worked at least 150 hours in the 3 calendar months or 90 days prior to the inactivity; or have contributed on a salary equal to at least 1015 times the amount of the hourly SMIC during the 6 calendar months preceding the inactivity.
- or, failing that, in the case of a seasonal or intermittent activity, having worked at least 600 hours or contributing on a salary of at least 2030 times the amount of the hourly SMIC, during the 12 calendar months or 365 days before the beginning of the inactivity.

If the period of inactivity is **longer than 6 months**, it is considered a long-term inactivity. The employee **must be registered at least 12 months** as a socially insured at the date of the beginning of the inactivity; and he (she) must have worked at least 600 hours in the 12 calendar months or 365 days prior to the inactivity; or have contributed on a salary equal to at least 2030 times the amount of the hourly SMIC during the 12 calendar months preceding the inactivity.

2.5.15.2.2. Benefit amount

The daily allowance is equal to half of the daily wage for the last 3 months (the last 12 months in the case of a seasonal or intermittent activity). This daily wage is equal to the total of the last 3 wages (in gross) divided by 91.25 (to take into account the fact that the benefits paid include Sundays and holidays).

Importantly, these remunerations are taken into account only up to a ceiling equal to 1.8 times the SMIC (maximum amount in January 2022 was 47.43 Eur $\left(\frac{1603.15 \times 1.8 \times 50\%}{30.42}\right)$, 50.58 in 2023, 52.28 in 2024). From April 2025, the ceiling has been changed to 1.4 SMIC, so the maximum amount is $41.47\text{€} = \left(\frac{1801.80 \times 1.4 \times 50\%}{30.42}\right)$.

From July 2020, the advantage from the 31st day of absence from work for employees with at least 3 dependent children is cancelled.

Table 2.53 SMIC amounts [2022-2025]

Gross hourly SMIC	Gross monthly SMIC	Gross annual SMIC	Date of entry in force
-------------------	--------------------	-------------------	------------------------

		for 151.67 hours of work ¹	for 169 hours of work	for 151.67 hours of work ¹	for 169 hours of work	
2022	10.57	1603.15	1786.33	19237.82	21435.96	01/01/2022
2022	10.85	1645.58	1833.67	19746.96	22004.04	01/05/2022
2022	11.07	1678.95	1870.83	20147.40	22449.96	01/08/2022
2023	11.27	1709.28	1904.63	20511.85	22855.56	01/01/2023
2023	11.52	1747.20	1946.88	20966.40	23362.56	01/05/2023
2024	11.65	1766.92	1968.85	21203.04	23626.20	01/01/2024
2024	11.88	1801.80	2007.72	21621.60	24092.64	01/11/2024

Note: ¹ Legal working time

Source: <https://www.insee.fr/fr/statistiques/1375188> and own elaboration for 169 hours of work

Table 2.54 Sickness benefit, amounts [2022-2025]

	2022	2023	2024	2025
Minimum monthly amount of disability pension, sickness/maternity/paternity benefit	292.89 (9.66/day)	310.47 (10.24/day)	310.47 (10.24/day)	334.12 (11.02/day)
Maximum daily amount for sickness benefit	47.43	50.58	52.28	41.47
Maximum amount for sickness benefit for employees with at least 3 children and from the 31 st day of sickness	63.23	67.47		
Maximum amount for maternity/paternity/adoption leave	89.03	95.22	100.36	101.94

Source: [https://www.service-public.gouv.fr/particuliers/vosdroits/F3053#:~:text=Les%20indemnit%C3%A9s%20journali%C3%A8res%20\(IJ\)%20sont,%2C%20divis%C3%A9%20par%2091%2C25.](https://www.service-public.gouv.fr/particuliers/vosdroits/F3053#:~:text=Les%20indemnit%C3%A9s%20journali%C3%A8res%20(IJ)%20sont,%2C%20divis%C3%A9%20par%2091%2C25.)

The employee may also be entitled to additional compensation paid by the employer or to the maintenance of the salary, in particular because of collective agreements.

For the jobseekers, the daily allowance is calculated using the last 3 wages received, rather than the unemployment benefits.

Measures linked to **Covid-19** crisis: Workers who can't telework or who have to take care of their less than 16 years old children during the different lockdowns, can benefit from sickness benefit from 1 to 21 days (until 1st May), after they have to resort to partial unemployment.

2.5.15.2.3. Duration

The health insurance fund has a waiting period of three days. That is, daily allowances are only paid from the fourth day of sick leave in the private sector, from the second day in the public sector. This waiting period applies to each period of inactivity, except for the case of a recognized long-term illness.

Except in recognized cases of long-term illness, the employee cannot receive more than 360 daily allowances over a period of three years. The maximum duration of payment is increased to three years for long-term illnesses or chronic diseases. Any resumption of work for a period greater than or equal to one year restarts a new maximum period of three years of compensation. Beyond three years, employees may be eligible for a disability pension.

2.5.15.2.4. EUROMOD modelling

Due to lack of information on sickness (number of days of sickness) and on previous contribution history, the sickness benefit is not simulated in EUROMOD but included in the microdata.

2.5.15.3. Maternity leave (*bmact_s*)

2.5.15.3.1. Eligibility

Maternity leave is not subject to any conditions regarding seniority in the company or in the nature of the contract. Being pregnant confers entitlement to maternity leave if the employee has been insured for 10 months on the presumed date of delivery. It must also satisfy the two conditions mentioned in sickness benefit for being out of work for less than 6 months (the date taken into account in the eligibility conditions is the beginning of pregnancy or prenatal leave)³.

³ The pregnant woman must inform her employer generally at the beginning of the second trimester of pregnancy, by transmitting a medical certificate and a letter specifying the presumed date of the delivery and the dates of beginning and end of the maternity leave. An employee cannot be dismissed during her maternity leave. However, a breach of contract is possible in the event of serious misconduct or if it is impossible to maintain it in the company for reasons unrelated to its maternity. But even in this case, the termination cannot be notified to her during her maternity leave.

2.5.15.3.2. Duration

The minimum duration of maternity leave is calculated in weeks. Maternity leave breaks down into a prenatal period and a postnatal period, before and after childbirth. The duration of prenatal leave and postnatal leave depends on the nature of the birth and the number of children.

- The duration of maternity leave for a first pregnancy or for the birth of a second child is the same. It is fixed at 16 weeks, 6 weeks before delivery and 10 weeks after delivery.
- From the third child, maternity leave is 26 weeks in total, 8 weeks before delivery and 18 weeks after childbirth.
- When the mother is expecting twins, the duration of maternity leave is 34 weeks, 12 weeks before delivery and 22 weeks after delivery. When the mother expects triplets or more, the duration is 46 weeks, 24 weeks before delivery and 22 weeks after delivery.

Legal durations may be extended in certain situations. In case of premature birth, the days of prenatal leave that could not be taken because of the early onset of the child extend the postnatal leave accordingly. In the case of illness related to pregnancy or childbirth, these periods may be increased by up to two weeks for prenatal leave and up to four weeks for leave. When the mother of the child dies while on maternity leave (during delivery, for example), the father's employment contract may be suspended for 10 weeks from the day of birth of the child.

2.5.15.3.3. Benefit amount

The maternity leave remunerations follow the same rules as sick leave except for maximum amount (see table above, the calculation is $\frac{PSS*79\%}{30.42}$). The employee on maternity leave receives daily social security benefits. The collective agreement of the company may also provide for the full maintenance of the salary.

2.5.15.4. Paternity leave (*bpact_s*)

2.5.15.4.1. Eligibility

Paternity leave applies not only to employees but also to jobseekers, trainees in vocational training, non-salaried workers, whether agricultural or non-agricultural, as well as the liberal professions⁴.

2.5.15.4.2. Duration

Fathers can take 11 consecutive days of paternity leave if they want (it's not an obligation for the father to take these days). These are calendar days, including days not worked, such as Saturdays, Sundays or holidays. Since July 2021, the number of days is increased to 25 days.

⁴ From the birth of the child, the salaried father benefits from a protection period of 10 weeks from birth, whether or not the father takes the paternity leave: he can only be dismissed for serious misconduct independent of birth or for economic reasons.

In case of birth of twins or triplets, the rules applicable to paternity leave are identical. But the duration of the paternity leave is increased to 18 days instead of 11(32 days since July 2021,1st).

Paternity leave must be taken within four months after the birth of the child. This is the date of departure from the paternity leave which is taken into account: the paternity leave can therefore end after this period of 4 months.

In order to benefit from paternity leave, if the father concerned is an employee, he must notify his employer at least one month in advance of his departure and return dates in the company. He can do it before the birth of the child. The employer cannot refuse a request for paternity leave unless the employee has not respected the notice period of one month. In addition to this, the employee must, after the birth of the child, send a complete copy of birth certificate or a copy of the current family record to his health insurance to benefit from the payment of daily allowances during his period of paternity leave. The employees' employment contract is suspended for the duration of the leave.

In addition to paternity leave, the father is entitled to a *birth holiday of three days*. A new father can therefore benefit from 14 consecutive days of absence if he accumulates both leaves (or 21 days for twins). However, you do not have to take your paternity leave following your 3-day birth holiday.

2.5.15.4.3. Amount

As in the case of paternity leave, employees on paternity leave are therefore not paid by their employer but by social security. The conditions of payment of daily allowances by CPAM are the same as those for maternity leave.

2.5.15.5. Adoption leave

2.5.15.5.1. Eligibility

An employee who adopts a child is entitled to a compensated adoption leave of varying duration depending on the situation (number of children adopted, number of children already dependent).

It can be taken by one of the parents or be divided between the two employed parents.

Adoption leave is open to any employee who has been entrusted with a child:

- by the child welfare service (ASE),
- by the French Agency for Adoption (AFA),
- by a French agency authorized for adoption,

by decision of the competent foreign authority, provided that the child has been authorized, as such, to enter France⁵.

⁵ If you adopt a child in France, you must obtain a certificate linking the departmental adoption services indicating the beginning of the adaptation period or a certificate of placement. If you are adopting a child abroad, you must provide a photocopy of the child's passport or any other official document containing the visa issued by the Intercountry Adoption Mission (IAM).

2.5.15.5.2. Duration

The legal duration of adoption leave varies according to the number of children adopted, the number of children already dependent in the household before adoption and the possible distribution of the leave between parents:

Table 2.55 Adoption leave, duration

Number of adopted children	Number of already dependent children in the household	Duration leave before July 2021		Duration leave after July 2021	
		Only one parent takes the adoption leave	The two parents take the adoption leave	Only one parent takes the adoption leave	The two parents take the adoption leave
1	0 or 1	10 weeks	10 weeks + 11 days	16 weeks	16 weeks + 25 days
1	2 or more	18 weeks	18 weeks + 11 days	18 weeks	18 weeks + 25 days
2 or more	Whatever	22 weeks	22 weeks + 18 days	22 weeks	22 weeks + 32 days

Source: <https://travail-emploi.gouv.fr/le-conge-dadoption#anchor-navigation-566>

When the adoption leave is divided between the two parents, it can only be divided into two periods, the shortest of which is at least 11 days (25 since July 2021)(or 18 /32 in 2023 days in the case of multiple adoptions). These 2 periods can follow or be taken simultaneously.

The leave begins on the date of arrival of the child in the home. However, it can start earlier, within the limit of 7 consecutive days preceding the arrival of the child at home. The employee must notify the employer by registered letter with acknowledgment of receipt (or delivery against receipt). He specifies in the letter the reason for his/her absence and the date on which he/she intends to terminate the suspension of his/her employment contract. The employer cannot refuse the benefit of the leave. Unless there is a contractual or collective agreement to the contrary, no time limit is imposed on the employee to warn the employer.

2.5.15.5.3. Amount

During the adoption leave, any adoptive parent is entitled to the payment of daily rest allowances if he/she complies with the 3 previous conditions of the maternity leave (the date taken in account is the date of arrival of the child in the home).

2.5.15.5.4. Taxation and income testing

Note that *bchcc_s* (supplement for free choice of activity) is not compatible with paid holidays, maternity/paternity/adoption leave, sick leave or unemployment benefit, hence this should be accounted for when modelling *bchcc_s*.

Taxable and included in the income test of other benefits, and subjected to CRDS and CSG.

2.5.15.5.5. EUROMOD modeling

This benefit is not simulated in EUROMOD due to lack of information about adoption in the data.

2.6. Social insurance contributions

Discrepancies exist in regimes of social security depending on the employment status of individuals and sometimes on the sector they work in.

There are 4 main social systems in France:

- The general regime for employees
- The regime for the self-employed (*travailleur non salarié*, TNS) run by independent groups (RAM)
- The agricultural system managed by *Mutuelle Sociale Agricole* (MSA)
- The local *Alsace-Moselle* plan
- Some more specific schemes (SNCF, EDF...)

The most important regime ("*régime général*") covers employees against the financial consequences of different risks (illness, accident) or situations (family, old age, widowhood).

These systems are financed by contributions from both employees and employers (sometimes either one or the other) on wages and related income.

2.6.1. Employee social contributions (tscee_s)

Employee social contributions are mainly aimed at financing the Social Security system (*Sécurité Sociale*). Different types of contributions are paid by employees on their whole gross income:

- Employee contributions for health insurance and widowhood
- Employee contributions for old age
- Employee contributions for unemployment insurance
- Liability to contributions

All employees pay social contributions but there are some exemptions or rates reductions for certain contributions in order to help employment:

- For entrepreneurship when they invest in disadvantaged areas or were unemployed or were employed and create or take over a business.
- For hiring an employee with low-income or in a disadvantaged area, or for young innovative enterprises
- For the employment of young people or unemployed people who have particular employment contract like "*Contrat d'apprentissage*", "*Contrat de professionnalisation*" or "*Contrat d'accompagnement dans l'emploi*".
- For the employment of home help for the elderly or disabled, or child custody.
- Since 2019, overtime pay is exempted from income tax (up to 5000€ before 2022, 7500€ after) and from employee SIC contributions (but limited to 11.31% on old age, complementary pension and CEG, which corresponds to the rate for income group 1/A).

2.6.1.1. Income base used to contributions

The tax base depends on the gross income and on the type of contribution. Some contributions are taxed on whole incomes, others are capped (i.e. only one part of the income is taxed). The ceiling depends on the monthly social security ceiling. Depending on the contribution concerned, the ceiling of social security is increased by multiplying it by 1, 3, 4 or 8. The income considered in the base column of the next table, is the gross income on the payroll for all jobs, part-time or full-time, occasional or not.

Table 2.56 Employee social contribution, monthly ceilings [2022-2025]

	2022	2023	2024	2025
Income group A	0 to 3428	0 to 3666	0 to 3864	0 to 3925
Income group B	3428 to 13712	3666 to 14664	3864 to 15456	3925 to 15700
Income group C	13712 to 27424	14664 to 29328	15456 to 30912	15700 to 31400
Income group 1	0 to 3428	0 to 3666	0 to 3864	0 to 3925
Income group 2	3428 to 10284	3666 to 10998	3864 to 11592	3925 to 11775

Source: <https://www.cci.fr/actualites/les-charges-sociales-au-1er-janvier-2025>

Remark:

3925=1*monthly PSS,

15700=4* monthly PSS,

31400=8* monthly PSS,

11775=3* monthly PSS

Since 2019, income groups were renamed, group A became Tranche 1 (less than 1*PSS), Group B and C became Tranche 2 (between 1 and 8*PSS) and Tranche 3 (>8*PSS).

2.6.1.2. Contribution rates

The different rates depend on the employment status and on the regime. The different employee social contributions are summarised below.

Table 2.57 Employee social contribution, rates [2022-2025]

	Base	2022-2025
Sickness	Whole income	0 %
Old age	Income group A	6.90 %

	Whole income	0.40 %
Complementary pension for non-white collars	Income group 1	3.15 %
	Income group 2	8.64 %
Complementary pension for white collars	Income group A	3.15 %
	Income group B	8.64 %
	Income group C	8.64 %
AGFF (Old age), CEG (general equilibrium contribution)	Income group 1/A	0.86 %
	Income group 2/B	1.08 %
Unemployment insurance	Income group A/B	0 %
White collar (APEC)	Income group A+B	0.024 %
Outstanding contribution (CET)	Income group A/B/C	0.14 %

Source: <https://www.cci.fr/actualites/les-charges-sociales-au-1er-janvier-2025>

2.6.1.3. EUROMOD modelling

There is not enough information in the dataset to identify to which specific contribution regime an individual contributes to. As a result, only the “*regime general*” is simulated for all employees. The simulation of the contributions takes into account the number of months an individual has been working during the income reference period recorded in the data but does not take into account any variation in earnings that may have occurred throughout the year. White collar workers have been approximated based on occupation (senior officials and managers and professionals). No exemption from contributions with the exception of overtime pay or entitlement to lower rates is simulated due to absence of information in the underlying micro-data. Complementary pensions for white-collar employees are simulated based on the assumption that the split of contributions between employer and employee on Income Group C is similar to the one pertaining to income Group B. In practice, a portion of this split is subject to firm level negotiations.

2.6.2. Employer social contributions (tscer_s)

Like employees, employers are liable for social contributions on medical insurance, pensions, unemployment insurance and additional contributions such as family contributions and housing.

Since 1st January 2016, employers have to provide a mutual company insurance (“*mutuelle d'entreprise*”) to their employee. The employer pays half of the contributions and the employee the other half. The aim is to provide all employee a minimal social coverage in addition to social security.

2.6.2.1. Liability to contributions

The definitions are the same as those for employee social contributions mentioned in the previous section.

2.6.2.2. Income base used to calculate contributions

The definitions of income groups are the same as those for employee social contributions mentioned in the previous section. Likewise, the income base refers to gross employment income.

2.6.2.3. Contribution rates

Table 2.58 Employer social contributions, rates [2022-2025]

	Base	2022-2023	2024	2025
Sickness ¹	whole income			
	Income>2.5 SMIC	13%	13%	
	Income>2.25 SMIC			13%.
	Income≤2.5 SMIC	7%	7%	
	Income≤2.25 SMIC			7%.
Family benefits ¹	whole income for income>3.5 SMIC	5.25%	5.25%	
	whole income for income>3.3 SMIC			5.25%
	Income≤3.5 SMIC	3.45%	3.45%	
	Income≤3.3 SMIC			3.45%
Housing				
FNAL firms with less than 50 employees ²	Income group A	0.10%	0.10%	0.10%
FNAL firms with more than 50 employees ²	Whole income	0.50%	0.50%	0.50%
Old age ¹	Income group A	8.55%	8.55%	8.55%
	whole income*	1.90%	2.02%	2.02%
CSA (autonomy solidarity) ²	whole income	0.30%	0.30%	0.30%
Complementary pension for non white collars (AGIRC-ARRCO) ³	Income group 1	4.72%	4.72%	4.72%
	Income group 2	12.95%	12.95%	12.95%
Complementary pension for white collars (AGIRC-ARRCO) ³	Income group A	4.72%	4.72%	4.72%

	Income group B	12.95%	12.95%	12.95%
	Income group C	12.95%	12.95%	12.95%
AGFF (old age)(CEG) ³	Income group A/1	1.29%	1.29%	1.29%
	Income group B/2	1.62%	1.62%	1.62%
White collars contingency	Income group A	1.50%	1.50%	1.50%
Unemployment insurance ³	Income group A+B	4.05%	4.05%	4.05%
				(4,00% from May)
Wage guarantee fund	Income group A+B	0.15%	0.20%	0.25%
Agency for management employment (APEC)	Income group A+B	0.036%	0.036%	0.036%
Outstanding contribution (CET) (white collars only)	Income group A/B/C	0.21%	0.21%	0.21%
Professional training	Whole income			
-less than 10 employees		0.55%	0.55%	0.55%
-10-19 employees		1%	1%	1%
-more than 19 employees		1%	1%	1%
Apprenticeship tax	Whole income	0.68%	0.68%	0.68%
Participation in the construction effort (more than 20 employees in 2019, 50 after)	Whole income	0.45%	0.45%	0.45%
Contribution to professional and unions organizations	Whole income	0.016%	0.016%	0.016%

Notes:

¹ subject to "Réduction Fillon",

² subject to "Réduction Fillon" since 2015,

³ since 2019

For family benefits, 5.25 is the standard rate. Since 2015, for incomes below 3.5 SMIC, the reduced rate of 3.45 is applied, but for those with incomes above 3.5 smic, 5.25 is applied on the whole income (and not 3.45 up to 3.5 smic and 5.25 above), the same method is applied for sickness. From January 2025, the income ceiling has been reduced to 3.3 SMIC for family benefits and to 2.25 for sickness.

Source; <https://www.cci.fr/actualites/les-charges-sociales-au-1er-janvier-2025>

2.6.2.4. Reductions in employers' social security contributions (since 2020 "Réduction générale des cotisations patronales", called "Réduction Fillon" before)

Since 2003, a general reduction on employers contributions paid for low-income employees exists ("Réduction Fillon"). This reduction is decreasing and varies with the level of the employee's income, the coefficient is maximum at the minimum wage (SMIC). It applies to all employees whose income is less than 1.6 SMIC whatever form or nature of the employment contract and working hours, the

amount being maximum for employees paid at the minimum wage. It applies for each calendar year for each employee.

This reduction was amended in 2015. Since 2011, the reduction is calculated on the yearly income, before it was calculated on the monthly income (annual income includes bonuses such as the 13th month, before bonuses were not included). In 2012, overtime was included in the yearly income (excluded before). From 2015, there are, under certain conditions, no employer contributions for sickness, maternity, pension, invalidity and death for employees with low earnings.

The employer social contributions affected by the “*Réduction Fillon*” are sickness, family benefits, and old age. Since 1st of January 2015, housing (FNAL), solidarity autonomy (CSA), occupational diseases and work accident (the rate of this contribution changes according to the company) are also included. Since 2019, the tax credit for competitiveness and employment (“*Crédit d’impôt pour la compétitivité et l’emploi*”, *CICE*) was removed and replaced by a reduction in employers social contribution rates. So since January 2019, the complementary pension (AGIRC-ARRCO only up to 4.72 %) and AGFF-CEG (only up to 1.29 %) contributions are also included in the general reduction (6.01 pts for 1 SMIC). Since October 2019, the unemployment contribution is included too (at the rate 4.05 %).

The reduction concerns private companies who paid unemployment insurance and must do salary negotiation each year (for companies with more than 50 employees where there are trade-union representatives). The reduction only concerns work contracts that do not qualify for other social security exemptions (generally, cumulating exemptions is not possible: cumul with standard deduction of employer contributions for overtime, exemption for employees of home help).

The reduction amount is the product of the yearly gross income by a coefficient who changes with the number of the company employees at December 31.

The reduction is calculated on an annual basis, but the application is made in advance. The reduction is applied each month on contributions paid (it is then based on the monthly SMIC and monthly remuneration) and regularized if necessary (eg if the monthly pay varies during the year, when there are bonuses). The regularization on contributions is made in December for monthly employers, in the 4th quarter for the quarterly employers, if the contract ends during the year, the regularization applies to the last month or quarter due.

The reduction is calculated per employee, and its amount can not be superior to contributions due.

Since 2020, the amount of the reduction calculated after application of the specific deduction for professional expenses (déduction forfaitaire spécifique) is capped by 130 % of the amount of the reduction calculated without application of the deduction.

Since 2022, the general reduction concerns also the contributions due for accidents at work and occupational diseases up to a limit of 0.59 % (0.49% in 2024) of the remuneration (0,55% in 2023 and 2025). The rate of this employers contribution is not indicated in the previous table because it depends on the work done and on the activity sector. Due to lack of information in SILC, this contribution is not implemented.

Table 2.59 Reduction applied on employer contribution

Réduction applied on employers contribution	2022	2023	2024	2025

Sickness	yes	yes	yes	yes
Housing/Fnal	yes	yes	yes	yes
Family benefits	yes	yes	yes	yes
CSA	yes	yes	yes	yes
Pension	yes	yes	yes	yes
Complementary pension	yes	yes	yes	yes
Unemployment	Yes	Yes	yes	Yes
Accident at work/occupational diseases	yes (up to 0.59%)	yes (up to 0.55%)	yes (up to 0.49%)	yes (up to 0.59%)

Source: Own elaboration

The coefficients are:

Table 2.60 Companies with less than 50 employees

2022	2023	2024	2025
Income ≤ 1.6 SMIC			
$=(0.3195/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$ with a cap of the coefficient to 0.3195	$=(0.3191/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$ with a cap of the coefficient to 0.3191	$=(0.3194/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$ with a cap of the coefficient to 0.3194	$=(0.3193/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$ with a cap of the coefficient to 0.3193

Source: <https://www.economie.gouv.fr/entreprises/gerer-ses-ressources-humaines-et-ses-salaries/comment-fonctionne-la-reduction-generale#>

For a full time job, the SMIC gross annual amount = 1820 * gross hourly SMIC, or the sum of 12 identical fractions corresponding to its value multiplied by the 52/12e of the legal weekly working hours.

For a part time job, the SMIC gross annual amount is calculated *prorata temporis*, depending on the work duration : for 50 %, the gross hourly SMIC is multiplied by 1820/2.

The gross annual income taken into account includes all cash or in-kind compensation elements.

Table 2.61 Companies with 50 employees and more

2022	2023	2024	2025
Income ≤ 1.6 SMIC			
$=(0.3235/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$	$=(0.3231/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$	$=(0.3234/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$	$=(0.3233/0.6)*[(1.6 * \text{SMIC gross annual amount/gross annual income subject to social security contributions})-1]$

with a cap of the coefficient to 0.3235	with a cap of the coefficient to 0.3231	with a cap of the coefficient to 0.3234	with a cap of the coefficient to 0.3233
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Source: <https://www.economie.gouv.fr/entreprises/gerer-ses-ressources-humaines-et-ses-salaries/comment-fonctionne-la-reduction-generale#>

Table 2.62 SMIC amounts [2022-2025]

	Gross hourly SMIC	Gross monthly SMIC		Gross annual SMIC		Date of entry in force
		for 151.67 hours of work ¹	for 169 hours of work	for 151.67 hours of work ¹	for 169 hours of work	
2022	10.57	1603.15	1786.33	19237.82	21435.96	01/01/2022
2022	10.85	1645.58	1833.67	19746.96	22004.04	01/05/2022
2022	11.07	1678.95	1870.83	20147.40	22449.96	01/08/2022
2023	11.27	1709.28	1904.63	20511.85	22855.56	01/01/2023
2023	11.52	1747.20	1946.88	20966.40	23362.56	01/05/2023
2024	11.65	1766.92	1968.85	21203.04	23626.20	01/01/2024
2024	11.88	1801.80	2007.72	21621.60	24092.64	01/11/2024

Notes: ¹ legal working time

Source: <https://www.insee.fr/fr/statistiques/1375188> and own elaboration for 169 hours of work

2.6.2.5. EUROMOD modelling

There is not enough information in the dataset to identify to which specific contribution regime an individual contributes. As a result, only the “*régime général*” is simulated for all employees. The simulation of the contributions takes into account the number of months an individual has been working during the income reference period recorded in the data but does not take into account any variation in earnings that may have occurred throughout the year. White collar workers have been approximated based on occupation (senior officials and managers and professionals). No exemption from contributions, except for entitlement to reduced rates, is simulated due to absence of information in the underlying micro-data. Similarly, the reduction related to contributions due to accidents at work and occupational diseases have not been simulated due to the lack of information on the rates applied which depend on the sector of activity. Although companies need to fill in a declaration and apply for the reduction with the Organization for Social Security and Family benefits (*Urssaf*), in EUROMOD the reduction in employer social contributions has been simulated for all employers.

The 130 % cap for the “*réduction générale des cotisations patronales*” since 2020 is not simulated due to lack of data.

Note that the lfs variable (Firm size) was discontinued in EU-SILC from 2022 onwards. As a result, we can no longer rely on lfs to model Employer SIC for systems using datasets from 2022 and later. To address this, we have adjusted the spine to model Employer SIC based on assumptions on firm size informed by Eurostat statistics.

2.6.3. Self-employed social contributions (tscse_s)

2.6.3.1. Liability to contributions

All self-employed in activity must pay the social contributions, but there are some exemptions or rates reductions for certain contributions in order to help employment:

- For entrepreneurship when they invest in disadvantaged areas or were unemployed or were employed and create or take over a business.
- For hiring an employee with low-income or in a disadvantaged areas, or for young innovative enterprises
- For the employment of young people or unemployed people who have particular employment contract like “*Contrat d’apprentissage*”, “*Contrat de professionnalisation*” or “*Contrat d’accompagnement dans l’emploi*”.
- For the employment of home help for the elderly or disabled, or child custody.
- For self-employer when they start their activity.

2.6.3.2. Income base used to calculate contributions

The tax base depends on the gross self-employment activity income (i.e. gross profit) and on the type of contribution. Some contributions are taxed on whole income, others are capped (i.e. only one part of the income is taxed). The ceiling depends on the annual social security ceiling. Depending on the contribution concerned, the ceiling of social security is increased by a multiplicative factor.

PSS is the annual Social Security ceiling (“*plafond de la sécurité sociale*”):

Table 2.63 PSS annual amounts [2022-2025]

	2022	2023	2024	2025
Annual PSS	41136	43992	46368	47100

Source : <https://www.legifrance.gouv.fr/jorf/id/JORFTEXT000050854392>

2.6.3.3. Contribution rates

For self-employment, the social contributions rates depending on the type of self-employment, they are different for “Artisan”, “Industry and traders” and “Farmers”.

Table 2.64 Self-employed social contributions, rates [2022-2025]

2022-2025	Artisan	Industry and trader	Farmers
Family benefits	3.1 % if $r > 1.4 \text{ PSS}$		if $r \leq 1.1 \text{ PSS}$: 0 %
	0 % if $r \leq 1.1 \text{ PSS}$		
	if $1.1 \text{ PSS} < r \leq 1.4 \text{ PSS}$		if $r > 1.4 \text{ PSS}$: 3.1 %
	Rate= $[(3.1/0.3\text{PSS})*(r-1.1\text{PSS})]$		
			if r between 1.1 et 1.4 PSS:
			0 % $\leq$ rate $\leq$ 3.1 %
			Rate= $[(3.1 \%)/(0.3\text{PSS})]$
			* $(r-1.1\text{PSS})$
	0.5% if $r \leq 0.4 \text{ PSS}$		0% if $r \leq 0.4 \text{ PSS}$
	if $0.4 \text{ PSS} < r \leq 0.6 \text{ PSS}$: 0.5% $\leq$ rate $<$ 4.5 %		if $0.4 \text{ PSS} < r \leq 0.6 \text{ PSS}$: 0% $\leq$ rate $<$ 4%
	rate= $[(4.5 \% - 0.5 \%) / (0.2\text{PSS})] * [r - (0.4\text{PSS})] + 0.5\%$		rate= $[(4 \%) / (0.2\text{PSS})] * r + [0\% - [(4\% / 0.2\text{PSS})] * 0.4\text{PSS}]$
Sickness	if $0.6 \text{ PSS} < r \leq 1.1 \text{ PSS}$: 4.5% $\leq$ rate $<$ 7.2 %		if $0.6 \text{ PSS} < r \leq 1.1 \text{ PSS}$:
	rate= $[(7.2 \% - 4.5 \%) / (0.5\text{PSS})] * [r - (0.6\text{PSS})] + 4.5\%$		4% $\leq$ rate $<$ 6.5%
	if $1.1\text{PSS} < r \leq 5 \text{ PSS}$ rate = 7.20%		rate= $[(2.5\%) / (0.5\text{PSS})] * r + [4\% - [(2.5\% / 0.5\text{PSS})] * 0.6\text{PSS}]$
	if $r > 5 \text{ PSS}$, rate= 6.50 %		If $r \geq 1.1\text{PSS}$: 6.50 %
Supplementary sickness	0.85 % of $r < 5 * \text{PSS}$.		
	minimum payment calculated on $0.4 * \text{PSS}$ (140€ in 2022)		
Pension	17.75 % of $r < \text{PSS}$ and		
	0.60 % of $r > \text{PSS}$		14.87 % of
	(min contribution calculated on $11.5\% * \text{PSS} = 949 \text{ €}$ in 2025)		$r < \text{PSS}$
			and 2.24 % of $r > \text{PSS}$

Complementary pension	7 % of $r < PSS$ 8 % of $PSS < r < 4 * PSS$	4 %
Professional training contribution	0.29 % of PSS	0.25 % of PSS
Invalidity + death insurance	1.3 % of $r < PSS$ (min contribution based on $11.5\% * PSS$ (70 € in 2025)	1.1 % (min 11.5 % PSS + IJ Amexa = 250 euros in 2025 and invalidity pension=40 euros in 2025)

Note: r =gross self-employment income

Source: <https://www.urssaf.fr/accueil/outils-documentation/taux-baremes/taux-cotisations-ac-plnr.html>
<https://www.msa.fr/lfp/exploitant/cotisations-et-contributions>

The rates for professionals are not reported here because there are many professional categories, not subjected to the same system. We can assume that it is the same system as Industry and Trader (the only difference is the pension and complementary pension, which is a lump-sum depending on the professional class).

2.6.3.4. EUROMOD modelling

The three types of self-employment have been approximated based on industry (Agriculture vs. non agriculture) and occupation (non-agricultural craft and trade workers are assumed to be artisans; the rest are assumed to be contribute to the industry & trade regime). Contributions are simulated based on the current yearly self-employment income.

2.6.4. General Social contribution – tscxc-s – ("Contribution Sociale Généralisée", CSG)

CSG applies to:

- Employment income
- Self-employment income
- Pension Income and survivor pension
- Unemployment insurance Benefit (ARE)
- Capital income
- Sickness Benefit (only the daily allowances but not the reimbursement for medical procedures)

The tax base is gross income after a reduction of 1.75 % (3 % before 2012) for professional expenses (on employment income and unemployment benefit but not on capital income and sickness benefits), (98.25 % on gross income until four times the annual PSS, 100 % above or for pension).

Benefits like ASPA or RSA and, more generally, minimum incomes (AAH and AV), all the family benefits and housing benefits are excluded from the tax base.

The tax rate depends on the income category as follow:

Table 2.65 CSG rates [2022-2025]

	2022-2025			
	CSG	Reduced rate	Median rate	Deductible CSG
Employment income	9.2 %			6.8 %
Pension Income ¹	8.3 %	3.8 %	6.6 %	5.9 % or 4.2 %
Unemployment benefit	6.2 %	3.8 %		3.8 %
Sickness benefit	6.2 %	3.8 %		3.8 %
Capital Income	9.2 %			6.8 %

Notes: ¹ For pension income, the rate of 8.3 % was introduced for all pensioners in 2018 (except for those who depend on the 3.8 % rate). In 2019, the government abolished the increase in this rate but only for pensioners earning less than 2000€ per month. These pensioners pay a rate of 6.6 % from January 2019. Moreover, since 2013, an additional contribution for solidarity and autonomy (CASA) has been applied to pension income (0.3 %). This contribution applies to pensioners subject to CSG rate 6.6 % and more.

Source: https://www.economie.gouv.fr/particuliers/impots-et-fiscalite/gerer-mes-autres-impots-et-taxes/csg-et-crds-comment-ca-fonctionne#csg-et-crds-quels-sont-les-taux-_2

A fraction of the CSG can be removed from the tax base before income tax.

Pensioners with low incomes are exempted from CSG and CRDS. The income threshold depends on the tax unit ("*Quotient Familial*"). The income here is the household net taxable income in n-2:

CSG Rate: 0 %:

Table 2.66 CSG, income limit for exoneration [2022-2025]

Annual Tax Base	2022	2023	2024	2025
1 share	11431	11614	12230	12817
Each 0.5 share	3052	3101	3265	3422

Source: https://www.economie.gouv.fr/particuliers/impots-et-fiscalite/gerer-mes-autres-impots-et-taxes/csg-et-crds-comment-ca-fonctionne#csg-et-crds-quels-sont-les-taux-_2

If pensioners exceed the ceiling above but income tax is less than 61 Euros the CSG rate is decreased to 3.8 % and totally deductible from income for the tax calculation. Otherwise the CSG is paid at a rate of 8.3 % or 6.6 %. If a pensioner has several types of income, only the pension

incomes are exempted from CSG but the income threshold takes into account all his types of income. The reference income (RFR) is the n-2 income.

Since 2015, ceilings have changed, a ceiling threshold was introduced for pensioners. Now, the income tax amount is no longer considered for application of reduced rate of 3.8 %. The reference income (RFR “Revenu fiscal de référence”) is the only thing taken in account. If pensioners' income (RFR) in n-2 exceeds the RFR lower threshold below but are under the ceiling below, the rate is decreased to 3.8 % and totally deductible from income for the tax calculation.

CSG reduced rate: 3.80 %:

Table 2.67 CSG, income limit for 3.80 % reduced rate [2022-2025]

	2022		2023		2024		2025	
RFR	lower threshold	ceiling threshold	lower threshold	ceiling threshold	lower threshold	ceiling threshold	lower threshold	ceiling threshold
1 share	11432	14944	11615	15183	12231	15988	12818	16755
Each 0.5 share	3052	3990	3101	4054	3265	4269	3422	4474

Source: https://www.economie.gouv.fr/particuliers/impots-et-fiscalite/gerer-mes-autres-impots-et-taxes/csg-et-crds-comment-ca-fonctionne#csg-et-crds-quels-sont-les-taux-_2

In 2019, new ceilings have been introduced for modest pensioners with a median rate of CSG of 6.6 %, see ceilings below.

CSG median rate: 6.60 %:

Table 2.68 CSG, income limit for 6.60 % reduced rate [2022-2025]

	2022		2023		2024		2025	
RFR	lower threshold	ceiling threshold	lower threshold	ceiling threshold	lower threshold	ceiling threshold	Lower threshold	Ceiling threshold
1 share	14944	23193	15183	23564	15989	24813	16756	26004
Each 0.5 share	3990	6191	4054	6290	4269	6623	4474	6941

Source: https://www.economie.gouv.fr/particuliers/impots-et-fiscalite/gerer-mes-autres-impots-et-taxes/csg-et-crds-comment-ca-fonctionne#csg-et-crds-quels-sont-les-taux-_2

Above to this ceiling threshold, pensions are subjected to full CSG rate of 8.30 %

2.6.4.1. EUROMOD modelling

CSG is simulated on current yearly incomes. The full exception from CSG for pensioners with low incomes is simulated.

2.6.5. Social security debt repayment contribution – *tscdf_s* – (CRDS)

Like CSG, CRDS is levied on different income categories:

- Employment income
- Self-Employment income
- Pension income
- Unemployment income and activity allowance
- Family benefits (AF, ASF, ARS, CF, PAJE)
- Capital income
- Housing benefits
- Sickness Benefits (only the daily allowances but not the reimbursement for medical procedures)

Unlike CSG, Family benefits are subjected to CRDS. The rate applied is the same for all these income categories and amounts to 0.5 %. CRDS applies globally on the same basis as CSG, paid on gross income after a reduction of 1.75 % (3 % until 2011), except for capital income, pensions and sickness benefits (98.25 % on gross income until four times the annual PSS, 100 % above).

The CRDS is not deductible for tax purposes.

2.6.5.1. *EUROMOD modelling*

CRDS is simulated using observed incomes (where they are not simulated in the model) and simulated benefits. The simulation is done using current yearly incomes.

2.6.6. Social contribution on capital income (*tsckt_s*)

In addition to CSG and CRDS, other additional social contributions apply on capital (investment & property) incomes as follows:

Table 2.69 Social contribution on capital income, rates [2022-2025]

	2017	2018	2019-2025
Social contribution	4.50 %	4.50 %	-----
Additional contribution	0.30 %	0.30 %	-----
Solidarity contribution	2.00 %	2.00 %	-----
Solidarity levy	-----	-----	7.5 %
Total	6.80 %	6.80 %	7.5 %
Total with CSG and CRDS	15.5 %	17.2 %	17.2 %

Source: <https://www.service-public.gouv.fr/particuliers/vosdroits/F2329/personnalisation/resultat?lang=&quest0=0&quest=>

These contributions are not deductible for tax purposes.

2.6.6.1. EUROMOD modelling

These contributions are simulated using observed investment and property income. Current yearly income is used.

2.7. Direct taxes

2.7.1. Personal income tax- *tin_s*- (Impôt sur le Revenu des Personnes Physiques, IRPP):

The tax unit for income taxation is neither individual nor based on the household. It is known as "*Foyer fiscal*" which is a sub-group of the household. It consists of one taxpayer plus the persons who fiscally depend on him. That also concerns taxation of capital income (*tinkt-s*).

Spouses (if they are married or have signed a contract of civil partnership (PACS)) and all dependent children / persons are grouped in the same unit.

Dependent children are:

- Children under 18 (automatically)
- Children strictly under 21 (and they agree to be declared with their parents)
- Children strictly under 25 who are students (and they agree to be declared with their parents)
- Disabled Children (automatically whatever their age).
- Other adults can be dependent if they are disabled.

2.7.2. Exemptions

All the Family benefits, social minima (RSA) and social assistance benefits (AAH) are exempted from taxation. The only taxable allowance is the survivor's pension (AV) which is considered as a pension. As mentioned in the social contribution part, a share of the CSG can be deducted from income before taxation.

Not all the sickness benefits are taxable. These benefits are composed of cash benefits for the maintenance of an earned income called daily allowances (in case of sick leave, injury on duty leave or maternity leave) and of the reimbursement of medical, surgical or maternity procedures. Only the daily allowances are taxable except in the case of workplace accidents and benefits paid to people with a disease with prolonged treatment and a particularly costly therapy. This amount is added to the earned income.

Since 2019, overtime payments are not subjected to income tax up to 5000 EUR (the excess is taxed normally) until 2021, 7500 EUR from 2022. With regard to employee social contributions, the reduction rate on contributions is at most 11.31 % (it represents the sum of old-age insurance contributions but only for overtime worked).

2.7.3. Tax allowance

There are deductions (“*abattement*”) for certain categories of income such as category C1 (earned income, pension and unemployment). The deduction amounts to 10 % with ceilings (for each earner/ pensioner/ UB recipient):

Table 2.70 IRPP, 10 % deductions ceilings [2022-2025]

Yearly amounts	Income 2022	Income 2023	Income 2024	Income 2025
Min and Max	Taxation 2022	Taxation 2023	Taxation 2024	Taxation 2025
Earned income	448	472	495	504
	12 829	13 522	14 171	14 426
Pension ¹	400	422	442	450
	3912	4123	4321	4399

Notes: ¹ for pension, the minimum is for one person and the maximum is for all the people in the same tax declaration.

Source: <https://www.impots.gouv.fr/particulier/questions/comment-puis-je-beneficier-de-la-deduction-forfaitaire-de-10>
<https://www.service-public.gouv.fr/particuliers/vosdroits/F415/personnalisation/resultat?lang=&quest0=1&quest1=1&quest2=1&quest3=1&quest4=1&quest5=1&quest6=1&quest=>

In category C3 (capital income), property income (rent) can also be deducted by 30 % if the annual property income < EUR15.000 annually. The income limit has not changed between 2006 and 2023. There are more complicated deductions for property income > EUR 15.000 annually (not simulated).

There is a deduction for private retirement savings (“*épargne retraite*”) per person which is equal to 10 % of earned income from the previous years (less the deduction for professional expenses) within the following limits:

Table 2.71 IRPP, deduction ceilings for private retirement saving [2022-2025]

	Income 2022	Income 2023	Income 2024	Income 2025
	Taxation 2022	Taxation 2023	Taxation 2024	Taxation 2025
Maximum	32909	32909	35194	37094
Minimum	4114	4114	4399	4637

Source : <https://www.service-public.gouv.fr/particuliers/vosdroits/F14709>

2.7.4. Tax base

To calculate the tax base called Net taxable income (“*Revenu net imposable*”), intermediate incomes have to be calculated.

2.7.4.1. « Revenu Brut global »

The tax base differs according to the income category.

The existing classes are:

- Earned income, pensions (with the exception of ASPA, AAH) and unemployment benefit (C1)
- Self-employment (C2)
- Capital income (C3)

For each class, the non-deductible CSG is added to gross income minus the social insurance contributions (as mentioned in the previous section on social contribution).

The « *Revenu Brut global* » is equal to the sum of all the income classes for all the persons of the tax unit:

SUM (

C1-deduction

+ C2

+ C3

+ Non deductible CSG and CRDS (on C1. C2 et C3))

2.7.4.2. « Revenu Net global RNG »

From the « *Revenu Brut global* », we obtain the “*Revenu Net global*” by removing certain charges (such as alimony, investments in particular sectors, hospitality expenditures for people over 75, etc.)

Revenu Net global = *Revenu Brut Global* - Particular charges (these cannot be simulated in EUROMOD)

For alimony paid for minor children or ascendants, the deductible amount is not limited and totally deductible.

For alimony paid for each adult child (who is declared with their parent and has a separate home), the amount of the deduction is capped at the following amounts:

Table 2.72 IRPP, capped amount deducted as alimony for adult child [2022-2025]

Income taxation	2022	2023	2024	2025
Complementary reduction	6042	6368	6674	6794

Source: https://www.service-public.gouv.fr/particuliers/vosdroits/F34931/1_1_0?idFicheParent=F2

A fixed amount can be deducted as a payment in kind for ascendants or major children living in the household (tax unit):

Table 2.73 IRPP, amount deducted for ascendants of major children [2022-2025]

Income taxation	2022	2023	2024	2025
	3592	3786	3968	4039

Source: https://www.service-public.gouv.fr/particuliers/vosdroits/F34931/1_0?idFicheParent=F2

For each person 65 and over or disabled in the tax unit, an amount can be deducted which depends on “Revenu Net Global” (RNG) being below some thresholds as follow:

Table 2.74 IRPP, amount deducted for person over 65 or disabled [2022-2025]

2022		2023		2024		2025	
Deduction	RNG	Deduction	RNG	Deduction	RNG	Deduction	RNG
2476	<15514	2484	<15560	2620	<16410	2796	<17510
1238	15514 < r < 24985	1242	15560 < r < 25040	1310	16410 < r < 26400	1398	17510 < r < 28170

Source: <https://bofip.impots.gouv.fr/bofip/2036-PGP.html/identifiant%3DBOI-IR-BASE-40-20250414>

2.7.4.3. Net taxable Income (“Revenu net imposable”)

Net taxable income = “Revenu Net global” – special deductions (disabled people...)

2.7.4.4. Family ratio:

To take into account the family size, the taxation system gives a weight to each member of the family, and adds them together to compute the Family Ratio (“*Quotient Familial*” QF).

Table 2.75 IRPP, weight for family ratio

Person in the tax unit	Weight
Taxpayer	1
Partner (if married)	1
First child	0.5
Second child	0.5
Each child after the second	1

Source: <https://www.economie.gouv.fr/particuliers/gerer-mon-impot-sur-le-revenu/quotient-familial-et-impot-sur-le-revenu-comment-ca>

Supplementary weights can be added in specific cases:

- Widow/er with at least one dependent child : +1 (from 2008 onwards)
- Each Disabled adult / Child: +0.5
- Lone parent : +0.5 (if not a widow/er)

QF is the total weight obtained for each tax unit.

2.7.4.5. Tax Base

The amount which is submitted to the tax schedule is the net taxable income divided by the QF.

Tax Base = Net Taxable Income / QF.

2.7.4.6. Capital Income:

The capital income are taxed depending on their type.

2014-2017: The “*prélèvement forfaitaire non libératoire*” is applied, it’s a levy that a taxpayer pay in advance as a deposit (year n), the rate does not depend on the taxpayer’s total income at the first time, it is determined by type of investment. At the second time (year n+1), the taxpayer declare all his income and that determines the overall tax rate on the capital income, they are subject to the progressive tax on income. If the amount paid in advance is too high, it will be refunded by the tax authorities, if it is too low, the taxpayer’s have to pay the difference between its deposit and the actual amount of tax.

Since 2014, taxpayer with low-income may ask to be exempted from the levy if their RFR income in n-1 being less than a threshold (75000€ for a couple and 50000€ for a single person).

In this case, the capital income are subjected to a 40 % deduction applies on the gross amount of dividend income (in 2018, this deduction is made only if the progressive taxation is chosen). Interest income from dividends is treated the same way but the income limits are 25000€ for a single and 50000€ for a couple.

Since 2018, a unique flat tax is introduced at the level of 30 % (12.8 % for unique flat rate and 17.2 % for social contributions). No more progressive tax unless the taxpayer chose it if it’s more advantageous for him.

If we add the CEHR (see below), the flat tax can reach 33 at 34% depending on income. In 2025, with the introduction of the CDHR (see below), flat tax can reach 37.2% (20% for income tax and 17.2 of social contributions).

Table 2.76 IRPP, capital income taxation rate [2022-2025]

	2022-2025	
	Flat rate ¹	Social contributions
All capital income		
Fixed rate investment income	12.8 %	17.2%

Interest and dividends	12.8 %	17.2 %
------------------------	--------	--------

Note: ¹ Social contributions must be added to the flat rate paid at the source

Source: <https://www.economie.gouv.fr/particuliers/impots-et-fiscalite/gerer-mes-autres-impots-et-taxes/comment-fonctionne-le-prelevement>

2.7.5. Tax schedule

The tax schedule is progressive, as shown in the table below. Income brackets apply to annual income.

Table 2.77 IRPP, marginal income rates [2022-2025]

Taxation 2022		Taxation 2023		Taxation 2024		Taxation 2025	
income 2022		income 2023		income 2024		income 2025	
Income bracket	Marginal Tax Rate	Income bracket	Marginal Tax Rate	Income bracket	Marginal Tax Rate	Income bracket	Marginal Tax Rate
0 to 10 225	0 %	0 to 10 777	0 %	0 to 11 294	0 %	0 to 11 496	0 %
10 226 to 26 070	11 %	10 778 to 27 478	11 %	11 295 to 28 797	11 %	11 497 to 29 314	11 %
26 071 to 74 545	30 %	27 479 to 78 570	30 %	28 798 to 82 341	30 %	29 315 to 83 822	30 %
74 546 to 160 336	41 %	78 571 to 168 994	41 %	82 342 to 177 106	41 %	83 823 to 180 293	41 %
>160 336	45 %	>168 994	45 %	>177 106	45 %	> 180 294	45 %

Source: <https://www.service-public.gouv.fr/particuliers/vosdroits/F1419#:~:text=Le%20taux%20marginal%20d'imposition,li%C3%A9%20aux%20enfants%20est%20limit%C3%A9.>

The tax amount obtained is then multiplied by QF to give the total tax for the tax unit.

Limit on Tax reduction due to Family Ratio ("Plafonnement du quotient familial):

There are corrections to make on the "gross tax" above. The aim is to limit the benefits of dependent children's weight (or dependent adults).

Tax cuts for these additional weights are capped at:

Table 2.78 IRPP, capping of the family ratio [2022-2025]

	2022	2023	2024	2025
The two first 0.5 for lone parent	3756	3959	4149	4224
Each 0.5 after the second for lone parent	1592	1678	1759	1791
Each 0.5	1592	1678	1759	1791

Source: https://www.legifrance.gouv.fr/codes/article_lc/LEGIARTI000046860759

https://www.economie.gouv.fr/particuliers/gerer-mon-impot-sur-le-revenu/comment-calculer-votre-impot-dapres-le-bareme-de-limpot#plafonnement-du-quotient-familia_5

To compute the final gross tax liability, we must recalculate the tax with a new QF:

- 1 for single
- 2 for couples (married or who have signed a PACS)

and subtracting the caps from the table above:

$I_{max} = \text{"new tax" calculated} - \text{ceiling}$

The tax to pay is therefore the maximum between the "normal" tax liability and " I_{max} ".

Complementary reduction ("réduction complémentaire"):

If the tax to pay was corrected because of Limit on Tax reduction due to Family Ratio, the income tax is reduced for disabled people. The amount of tax is reduced by the following amounts for each disabled person:

Table 2.79 IRPP, complementary reduction [2022-2025]

Complementary				
Reduction	2022	2023	2024	2025
Yearly amounts				
Disabled	1587	1673	1753	1785

Widower with				
dependent child	1772	1868	1958	1993

Source: https://www.impots.gouv.fr/sites/default/files/media/3_Documentation/depliants/nid_4004_gp_125.pdf
<https://www.service-public.gouv.fr/particuliers/vosdroits/F35127>

Tax rebate ("Décote"):

A (non-refundable) tax rebate is given to any tax unit whose gross tax liability is under:

Table 2.80 IRPP, tax rebate ceilings[2022-2025]

	2022	2023	2024	2025
Tax rebate				
Single	1746	1840	1929	1964
Couple	2889	3045	3191	3248

Source: <https://www.economie.gouv.fr/particuliers/gerer-mon-impot-sur-le-revenu/pouvez-vous-beneficier-de-la-decote-de-limpot-sur-le>

The amounts used for the calculation of the rebate are:

Table 2.81 IRPP, tax rebate parameter for calculation [2022-2025]

	2022	2023	2024	2025
Tax rebate				
Single	790	833	873	889
Couple	1307	1378	1444	1470

Source: <https://www.economie.gouv.fr/particuliers/gerer-mon-impot-sur-le-revenu/pouvez-vous-beneficier-de-la-decote-de-limpot-sur-le>

The rebate is computed as the difference between the amounts in the previous table minus:

- From 2017 to 2019, $\frac{3}{4}$ of the gross tax liability previously calculated.
- Since 2020, 45.25 % of the gross tax liability previously calculated.

2.7.6. Tax credits

The final tax payable is the gross tax minus:

- Tax reductions

- Tax credits
- Employment Bonus (Prime pour l'emploi, PPE)

Tax reductions:

Reductions are allowed for charitable spending, school fees for dependent children, specific investments.

There is also a reduction for families who have children at school. This deduction has not changed between 2009 and 2025:

- 61 EUR/year per child in junior high school (11-14)
- 153 EUR/year per child in upper high school (15-18)
- 183 EUR/year per child in third level education

Supplementary tax reduction from 2017 to 2019: an additional flat-rate reduction on income tax for low income earners is applied after the tax rebate.

2020

The new calculation method of the tax rebate “décote” take into account the tax rebate and the supplementary 20 % tax reduction for low income. So this tax reduction is therefore deleted in its previous form.

Tax credits:

The main tax credits are:

- Tax credits allowed for green investments (purchase of a clean vehicle, solar panels, etc.).
- Tax credit for childcare fees. Households employing people for the custody of their child can deduct 50 % of the amount paid up to a ceiling of EUR 3500 per child per year.
- Tax credit for home service employment (tutoring, homemaker...)
- Tax credit for energy transition, « *crédit d'impôt transition énergétique* » (CITE). The tax credit covers the work to improve the energy efficiency done in the main house. The tax benefit is 30 % of expenses incurred, capped at 8000 euros (16000 for a couple, plus 400 euros per dependent) over a period of five years. In 2018 and 2019, the rates are 15 % or 30 % depending on the restoration work and only available until 30 June. This tax credit has been replaced in January 2020 by “Ma Prime rénov” for the modest household. This new tax credit is more intended for modest and very modest households for 2020 and has been extended to all household in 2021 (except wealthier households). The amount depend on the energy efficiency and the household income in order to highlight the most efficient work. The tax credit amount depend on the region and the household composition, it is capped at 2400€ for a single and 4800 for a couple with 120€ for each dependent person, the aid amount can't be superior to 75 % of the bill. In 2020, for more intermediary households or more wealthier household, the aid became lump sum (intermediary households: 40€ for window replacement, 15€/m2 for insulation and 2000€ for installation of a heat pump; for wealthier households: 10€/ m2 for inside insulation and 25€/m2 for exterior insulation). This Tax credit was renewed in 2021, 2022 and 2023.

- Tax credit for competitiveness and employment, « *crédit d'impôt pour la compétitivité et l'emploi, CICE* » was introduced from 2013 to 2019. In 2019, it was removed and replaced by a reduction on certain employers' social contributions. The objective was to reduce the cost of work of French companies compared to foreign companies. This tax credit only concerns the workers whose wage is below 2.5 SMIC. The rate of the tax credit has changed over the years (4 % of the wage bill of the concerned workers in 2013, 6 % in 2014, 2015 and 2016, 7 % in 2017 and 6 % in 2018). Although companies need to fill in a declaration and apply for the reduction with the Organization for Social Security and Family benefits (*Urssaf*), in EUROMOD the reduction in employer social contributions has been simulated for all employers.
- Tax reduction for some rental property investments, subject to fulfilling the conditions linked to the tenant and rent, several devices have existed through time: Robien, Duflot, Pinel etc. This reduction depend on the device, conditions and rates reduction have changed between these devices, the time during which the tax reduction is applied is changing also according to the differents devices.
- The PPE, an individual tax credit to encourage the return to employment, was abolished at 31 December 2015 and was integrated in the Activity Allowance (RSA) from 1st January 2016.

Exceptional contribution on high income - *tinto s* (“*Contribution exceptionnelle sur les hauts revenus, CEHR*”):

Since 2013 this contribution on high incomes was introduced. It is an annual tax based on the same incomes as the personal income tax, the “*revenu fiscal de reference, RFR*” (RFR is calculated as RNI plus taxable capital income). It concern people whose incomes are higher than EUR 250 000 for singles and EUR 500 000 for couples.

The fraction of income above the set threshold is taxed as follows:

Table 2.82 Exceptional contribution on high income, rate [2022-2025]

The tax rates are:	Single	Couple
RFR ≤ 250 000	0 %	0 %
250 000 < RFR ≤ 500 000	3 %	0 %
500 000 < RFR ≤ 1 000 000	4 %	3 %
RFR > 1 000 000	4 %	4 %

Source: <https://www.service-public.gouv.fr/particuliers/vosdroits/F31130>

When it concerns exceptional income (sale of property, etc.), a smoothing mechanism of the annual RFR is established under two conditions:

1. The RFR of the taxation year must be greater (or equal) than one and a half times the average of the previous two years RFR.
2. The RFR of the previous two years must be less (or equal) than the release threshold for the exceptional tax on high incomes.

The tax is then calculated similarly to the “*quotient familial, QF*” system:

Equation 7. Smoothed tax base for the exceptional contribution on high incomes (CEHR)

$$\text{Tax base} = M + [(RFR_n - M)/2]$$

With

M: $(RFR_{n-2} + RFR_{n-1})/2$, the average of the last two years RFR

RFR_n: RFR of the taxation year

Then, the rate of 3 % and 4 % are applied on this tax base. The tax amount is twice this result.

Differential contribution on high income – *tinto01_s* (“*Contribution différentielle sur les hauts revenus, CDHR*”):

In 2025, an exceptional one year differential contribution on high incomes was introduced and concerns only taxpayers who are tax residents in France. The aim is **to ensure that, at least, 20% of the income from highest income earners is taxed.**

It is based the **adjusted “*revenu fiscal de référence, RFR*”**, which is a variant of the income used to calculate personal income tax after certain adjustments. It concerns people whose **adjusted RFR is higher than EUR 250 000 for singles and EUR 500 000 for couples.**

This contribution is **calculated as the difference** (when positive) **between 20% of the adjusted reference tax income and the sum of income tax, CEHR, and the flat rate levies due in respect of 2025 income.** In other words, this differential contribution will not apply to taxpayers whose effective tax rate in 2025 (income tax + CEHR + withholding tax) is greater than 20% of adjusted RFR.

The **adjusted RFR is used both to determine the threshold for the scope of the contribution and as the basis for the calculation.** A number of items of income that are exempt from income tax have been removed from the adjusted RFR base, thereby removing them from the scope of the CDHR, including:

- A fixed allowance of €500,000 on gains from share sales by retiring executives, a 40% allowance on distributed income under the progressive tax scale, and a 50% allowance on gains from bonus shares worth under €300,000.
- Income exempt through bilateral tax treaties and under article 155 B of the CGI (impatriate regime).
- Income not regularly collected, exceeding the average net income taxed over the last three years, is included at only 25% of its amount

Equation 8. Differential contribution on high incomes (CDHR)

$$\text{CDHR} = (\text{Adjusted RFR} \times 20\%) - [(\text{Income tax} + \text{CEHR} + \text{flat rate}) + (1500\text{€ for each dependant person and } 12500\text{€ for a couple subject to joint taxation})]$$

The income tax, CEHR and flat rate used in this calculation are also subject to the adjustments set out below:

- Increased by €1,500 per dependant and by €12,500 for taxpayers subject to joint taxation;
- Increased by the benefit provided only by a limited number of tax credits and reductions such as, in particular, the tax credits provided for by international tax treaties, the tax reductions under the Duflot and Pinel schemes, the tax reduction for cash subscriptions to company capital, that granted for property restoration expenditure in protected areas, etc.... Only 25% of the tax paid on exceptional income (which is itself taken into account for 25% of its amount) will be taken into account.

A mechanism has been introduced to limit effects when the adjusted reference tax income is:

- between €250,000 and €330,000 for single, widowed, separated or divorced taxpayers; or
- between €500,000 and €660,000 for taxpayers subject to joint taxation.

In this case, the amount corresponding to 20% of the adjusted reference tax income would be reduced by:

Equation 9. Tapering formula for CDHR → *CDHR tapering reduction for adjusted RFR between €250,000–€330,000 (single) / €500,000–€660,000 (couple)*

$(\text{Adjusted RFR} \times 20\%) - [(\text{adjusted RFR} \times 82.5\%) - (\text{€250,000 or €500,000 (depending on the composition of the tax household)})]$

It is important to note that social security contributions are not taken into account in the calculation. For example, on capital gains or income from transferable securities subject to the 30% flat tax, only the 12.8% flat tax is taken into account (the flat tax is made up of a 12.8% flat tax and 17.2% social security contributions).

Note that, due to the difference between the adjusted RFR and the RFR, all CDHR payers must pay CEHR (if their imposition rate is less than 20% of the adjusted RFR), but, not all CEHR payers are concerned by CDHR.

2.7.6.1. EUROMOD modelling

All children under 21 and all students under 25 co-residing with their parents are assumed to be declared on their parents' tax return. No account can be taken of children under 21 /students under 25 who are not co-residing with their parents, as they are not observed in the data. All alimonies paid are assumed to be paid for underage children and thus, they are considered to be fully deductible from the tax base. All children aged 18 and above and dependent adults are assumed to entitle the taxpayer to the specific allowance that may be claimed on their behalf. Disability is based on observed status in the data (pl031=8). In the case of capital income, an optimization is simulated. Both flat rate taxation and inclusion into total income subject to progressive taxation are simulated and the option which yields the lower tax liability is chosen. No information exists on the source of investment income. Consequently, the tax deduction for dividends when not applying the PNFL regime is simulated for all types of investment income.

The following tax credits have been simulated—tax credit for child care fees, tax credit for mortgage interest expenditure, tax credit for children of school age and the refundable employment credit (PPE until 2015). Since 2016, the activity allowance replace the PPE. Tax credits for child care expenses are simulated for all families where both parents are in work and there is a child younger

than 6. The maximum yearly deduction is simulated in all cases. The tax credit on mortgage interest expenditure is approximated based on the age of the head. Households paying mortgage interests with a head under 45 are assumed to be eligible for this credit. More accurate simulations actually replicating existing rules are simulated but can be run only with national SILC data.

The employment bonus (PPE) was simulated based on current rather than previous year's income. If an individual has both employment and self-employment income, the conversion factor was calculated by summing the partial income source specific factors. In calculating the conversion coefficient, account was taken only on the number of months worked and not on the number of hours. Persons who were married but whose partner was missing from the data were considered to be part of a two earner couple.

The smoothening mechanism of the exceptional contribution on high incomes is not simulated due to absence of information on the RFR income in the previous years.

The cap on direct taxes is not simulated.

Since the SILC 2022 dataset, the `bsuwd` variable (representing Survivors' benefits) has been reported as zero. This is attributed to the absence of individuals receiving Survivors' benefits (as indicated by `py110n` variable) in the recent French samples. As a result, the computation of tax deductions for income from pensions (refer to Table 2.66) is affected, potentially impacting the accuracy of related calculations.

As regards the CDHR, the calculation of the adjusted RFR appears to be complicated by the lack of information on the type and the source of income in SILC, and on the type of income tax reduction to be deducted or reintegrated. We will therefore assume that the adjusted RFR is equal to RFR.

2.8. Extraordinary measures:

2.8.1. Wage compensation scheme in response to Covid-19 (`bwkmcee_s`)

In the context of the **Covid-19** health crisis, access to partial unemployment was facilitated in order to avoid massive dismissal.

During the lockdowns (2020: March 17 to May 10 and ,October 30 to December 15. 2021:April 3 to May 3) and more generally since the beginning of the sanitary crisis, the following measures were implemented:

- In case of chronic illness or for childcare reasons (children under 16 years old, when their school is closed), workers can apply for sickness benefit (without the usual waiting period) until 1st of May. Afterwards, to avoid the decrease in the benefit taking place from the 31st day (from 90 % to 66 % of the net wage), they go into partial unemployment (84 % of the net wage for wages >SMIC and 100 % for those up to SMIC). From 1st of June, parents who want to continue taking care of their children at home while schools are reopened are no longer eligible for partial unemployment.
- For those who cannot telework or whose activity has decreased or stopped, they can be assigned to partial unemployment (including the option of working zero hours).

Cost and number of beneficiaries since March 2020:

Table 2.83 Covid-19 partial unemployment, cost and beneficiaries [2020-2021]

	Partial unemployment			Sickness benefit linked to lack of activity or childcare due to covid-19 (costs of the illness itself not included)	
	Beneficiaries	Full time equivalent	Cost (EUR)	Beneficiaries	Cost (EUR)
March 2020	6.7 million of employees (866 000 firms)	2.2 millions	3.2 billion		
April 2020	8.4 million of employees (974 000 firms)	4.6	8.98 billion	2 million of employees	1.1 billion
May 2020	7 million of employees (886 000 firms)	3.1	4.7 billion		
June 2020	3.2 millions of employees (408 000 firms)	1.4	2.1 billion		
July 2020	1.8 millions of employees (237 000 firms)	0.6	1.2 billion		
August 2020	1.1 million of employees (157 000 firms)	0.4	0.7		
September 2020	1.2 million of employees (152 000 firms)	0.5	0.8		
October 2020	1.8 million of employees (261 000 firms)	0.5	0.9		
November 2020	3.1 million of employees (456 000 firms)	1.7	2.3		
December 2020	2.5 million of employees (335 000 firms)	1.1	1.9		
January 2021	2.2 million of employees (300 000 firms)	1.1	1.6		
February 2021	2.2 million of employees (294 000 firms)	1.2	1.7		
March 2021	2.4 million of employees (301 000 firms)	1.1	2		
April 2021	2.7 (251 000 firms)	1.5	2		

Source : https://dares.travail-emploi.gouv.fr/sites/default/files/70d96efc536b7d559fb385a4b2243e56/Dares_TdB-marche-travail_crise-sanitaire_31-mai.pdf
https://dares.travail-emploi.gouv.fr/sites/default/files/39f7b48766297d57360140660b408124/Dares_TdB-marche-travail_crise-sanitaire_26%20avril%202021.pdf

For precarious workers who combine short contracts and periods of unemployment and who are particularly affected by the sanitary crisis, an exceptional allowance guarantees a minimum income of 900€ from November 2020 to May 2021. The amount depends on the income or allowance they earn, and is the difference between those amounts and 900 €.

To be eligible to this allowance, workers must have worked at least 138 days in short contracts in 2019 and be in the impossibility to work sufficiently in 2020.

Due to the lack of information on the cumulation of short contracts, this allowance can't be implemented in EUROMOD.

2.8.1.1. Definitions

Firms can request a partial activity authorisation if they encounter difficulties or they have to stop their activities due to the Covid-19 pandemic, which allows them to allocate employees to partial unemployment.

2.8.1.2. Eligibility conditions

Employees working in private firms whose activity has been affected by the COVID-19 pandemic and, as a consequence, the firm has requested a partial activity authorisation to temporarily layoff (fully or partially) their employees. Employers pay their employees' wages and these are partially reimbursed retrospectively by the administration. Administration must answer within 15 days. The authorisation is granted for a renewable period up to 12 months.

Since 1st September, in case of school closure or in case of isolation of children due to Covid-19, if neither parent can be in telework, one of them can claim partial unemployment.

To identify workers undergoing the transition to wage compensation in EUROMOD, a random variable drawn from a uniform distribution is used to allocate individuals to the scheme. The following table shows the share of workers in different sectors that are assumed to undergo transitions to wage compensation for at least one month.

Table 2.84 Covid-19 partial unemployment, share of wage compensation by sector

Sector (EUROMOD variable <i>lindi</i>)	Share of workers
1: Agriculture & fishing	11 %
2: Mining, Manufact. and Utilities	36 %
3: Construction	62 %
4: Wholesale and retail	18 %
5: Hotels and restaurants	100 %
6: Transport and communication	40 %
7: Financial intermediation	17 %
8: Real estate and business	71 %
9: Public administ. and defence	8 %
10: Education	8 %
11: Health and social work	8 %
12: Others	62 %

Source: Own elaboration

The duration of the wage compensation for each worker depends on the time of inactivity or partial activity of the firm. For the simulation in EUROMOD, the following distribution is assumed:

Table 2.85 Covid-19 partial unemployment, number of months in wage compensation

Number of months in wage compensation	Share of beneficiaries
2 months	10 %
3 months	39 %
4 months	24 %
5 months	27 %

Note: The number of months that each beneficiary spends in wage compensation cannot be higher than the number of months in which the worker worked in the dataset (yemmy).

Source: Own elaboration

Workers transitting to compensation schemes are assumed to work a share of their normal hours between 49 % and 58 %.

All the figures above have been computed using official statistics from the Ministry of Labour, Employment and Inclusion as of 15 September (<https://dares.travail-emploi.gouv.fr/dares-etudes-et-statistiques/tableaux-de-bord/le-marche-du-travail-pendant-le-covid-19/tableaux-de-bord-hebdomadaires/article/situation-sur-le-marche-du-travail-au-15-septembre>).

2.8.1.3. Income test

There is no income test for this benefit. The benefit amount depends on the salary earned.

2.8.1.4. Benefit amount

For concerned companies, the amount received by the employee is 70 % of the gross hourly wage for each hour not worked (84 % of the net hourly wage), 100 % up to SMIC is reimbursed by state (ie no remaining to pay for companies), with a minimum of 8.59€ (8.11 in 2021) and a max of 33.30€ (32.29 in 2021) per not worked hour. From July 1 2021, for the companies not administratively closed or in the specific sectors particularly impacted by Covid crisis (hotels and restaurants, tourism, culture, sport and events), the rate decrease to 60 % (72 % of the net hourly wage) which is the usual rate with a minimum of 8.11€ (8.59€ in 2022) and a max of 27.68€ (28.54€ in 2022) per not worked hour with 40 % remaining to pay by employers. See the table below for the specific rate by concerned sectors based on the evolution of health crisis.

In the context of **Covid-19** crisis, the access to partial unemployment is facilitated until summer 2021. Administrative procedures are relaxed for employers. For childcare in case of school closure, employee must give certificate in order to access partial unemployment. Up to 4.5 SMIC (6927€ in 2021, 7152.75€ in 2022), the amount remaining to pay by employer is compensated or partially compensated (depending on the date, the remaining amount tend to increase in time, see below) up to 4.5 SMIC, the delay for administrative procedures is increased and the administration answer time is reduced to 2 days (instead of 15 usually).

In 2021, a progressive decrease of the allowance is introduced, the amounts paid are:

- From March to May 2020, the 70 % (of gross salary, 84 % of net salary) are totally paid by administration.

- From 1st June 2020 to May 2021 the administration pays 60 % of the gross salary and the firm pays the remaining. For sectors particularly impacted by Covid crisis (hotels and restaurants, tourism, culture, sport, events, passenger transport and culture), administration pays all the 70 % of the gross salary.
- In June 2021, the administration pays 52 % of the gross salary and the firm pays the remaining. For sectors particularly impacted by Covid crisis (hotels and restaurants, tourism, culture, sport, events, passenger transport and culture), administration pays all the 70% of the gross salary.
- In July 2021, the allowance rate decrease to 60 % of the gross wage. The administration pays 36 % of the gross salary and the firm pays the remaining. For sectors particularly impacted by Covid crisis (hotels and restaurants, tourism, culture, sport, events, passenger transport and culture administration pays all the 60 % of the gross salary.
- In August 2021, The administration pays 36 % o of the gross salary and the firm pays the remaining. For sectors particularly impacted by Covid crisis (hotels and restaurants, tourism, culture, sport, events, passenger transport and culture), administration pays 52 % of the gross salary.

Table 2.86 Covid-19 partial unemployment, rates of employees allowance [2020-2022]

Date	Employees allowance amount							
	in % of employee gross hourly wage				in % of employee net hourly wage			
	All other sectors	In protected sectors (Tourism, hotels and restaurants, sports, culture, events and passenger transport)	In related sectors with decrease in turnover	In closed firms (or partially closed) for sanitary measures	All other sectors	In protected sectors (Tourism, hotels and restaurants, sports, culture, events and passenger transport)	In related sectors with decrease in turnover	In closed firms (or partially closed) for sanitary measures
Mars to May 2020	70 %				84 %			
June 2020 to May 2021								
June 2021								
July 2021	60 %	70 %			72 %	84 %		
August 2021								
September to 30 October 2021		60 %		70 %		72 %		84 %

December 2021 to February 2022		70 %		84 %
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Source: <https://www.securite-sociale.fr/home/medias/presse/list-presse/covid-19--dispositif-exceptionne.html#:~:text=Une%20simple%20convention%20entre%20,84%20%25%20de%20son%20salaire%20net.>

Table 2.87 Covid-19 partial unemployment, rates reimbursed and remaining to pay for firms [2020-2022]

Date	Administration allowance who is reimbursed to firms (as a % of the gross hourly wage normally paid)				Amount remaining to pay by employers (as a % of the gross hourly wage really paid)			
	All other sectors	In protected sectors (Tourism, hotels and restaurants, sports, culture, events and passager transport)	In related sectors with decrease in turnover	In closed firms (or partially closed) for sanitary measures	All other sectors	In protected sectors (Tourism, hotels and restaurants, sports, culture, events and passager transport)	In related sectors with decrease in turnover	In closed firms (or partially closed) for sanitary measures
Mars to May 2020	70 %				0 %			
June 2020 to Mars 2021	63 %	70 %			10 %	0 %		
April-May 2021	60 %				15 %			
June 2021	52 %	70 %			25 %			
July 2021	36 %	60 %		70 %	40 %	15 %		0 %
August 2021		52 %				25 %		
September to 30 November 2021		36 %				0 %	15 %	
December 2021 to February 2022		70 %				0 %		

Source: <https://www.securite-sociale.fr/home/medias/presse/list-presse/covid-19--dispositif-exceptionne.html#:~:text=Une%20simple%20convention%20entre%20,84%20%25%20de%20son%20salaire%20net.>

With covid crisis and war in Ukraine until end of 2022, in addition to companies in the protected sectors other companies can pretend to a 10 % remaining to pay for a long-term partial unemployment (70 % of the gross for employees with 60 % of the gross reimbursed to employers), these other companies:

— companies affected by mandatory closure due to health sanitary conditions,

- companies facing a drop in activity and/or difficulties in supply,
- companies unable to implement the covid preventive health measures ,
- Employees who have to look after their children as a result of class closures linked to covid (or childcare facilities) or due to the introduction of gauges.

2.8.1.5. Compatibilities

This benefit is not compatible with any inactivity benefit (ARE, ASS, RSA).

2.8.1.6. Taxation and income testing

The amount paid by employer is exonerated from social contributions (both employee and employer part) but submitted to CSG (rate 6.2) and CRDS (0.5 %) on the basis of 98.25 % of the compensation paid (this deduction is not paid if it leads to a remuneration lower than gross SMIC (1539.42€). The amount paid by employer is included in the income test for other benefits.

2.8.1.7. EUROMOD modelling

This policy is simulated in EUROMOD with the general rules in place on the 30th June, meaning that in 2020, 70% of the wage compensation is paid by the administration and the rest by the firm while in 2021 it is 60 %. This is applied to all workers, due to data limitations to identify different sectors to differentiate between rates.

This policy can only produce results if the model is run in combination with the LMA add-on. The individuals that are selected to undergo transitions to monetary compensation schemes are defined in the TransLMA_xx policy, which is switched on automatically by the add-on (it is switched off in the baseline). For more information about the modelling of labour market transitions please consult the '*Simulating labour market transitions in EUROMOD*' document. For 2020, labour transition model based data are produced by Eurostat, using detailed distributional information on the loss of jobs and short-term work schemes from the Labour Force Survey and administrative data. The impact across different categories of individuals, the duration of unemployment/absence and percentage of hours worked are modelled using the EU-LFS longitudinal and quarterly transitions as target. For more information please consult the methodological note available at . For 2021, not enough information was available, so all parameters were set to zero.

2.8.2. Self-employed and firm compensation scheme in response to Covid-19 (bwkmcse_s, bseec_s)

2.8.2.1. Definitions

In order to reduce the effects of the Covid-19 crisis, France implemented a solidarity fund to compensate firms and self-employed for turnover losses higher than 50 %, when comparing March/April/May 2020 to the same months of the previous year. Eligible firms and self-employed are those with less than 10 employees, turnover below 1 million EUR and taxable profits below 60,000 EUR. The maximum compensation is 1500€ per month (maximum 4,500€ for the three months). Firms and self-employed fulfilling certain conditions can get an additional amount between 2000€ and 10000€ in 2021 (between 2000€ and 5000€ in 2020).

These measures are applied in two stages. The first stage ("volet 1") concerns the losses during the lockdown for March, April and May (maximum 1500€ per month). The second stage ("volet 2") concerns those who have benefited of the first stage to apply for an additional allowance between 2 000 and 10 000 € (only for firms or self-employed who are in sectors strongly affected by the crisis and whose loss is 80 % or more).

A one-off financial assistance of 1250€ can also be granted to self-employed in 2020 and also in 2021 (except liberal professions) with the limit of the previous contributions paid by the self-employed. They can also get a deferral of their social and tax contributions. Furthermore, firms with financial problems can obtain government guaranteed loans or can reschedule their loans payments with their bank. In 2022, these exceptional support is only renewed for self-employed in sectors hotels, restaurant, nightlife, events and travel agency sectors.

2.8.2.2. Eligibility conditions

In 2020:

Until 31st May 2020, self-employed with less than 10 employees, turnover of the previous year below 1 million EUR and taxable profits of the previous year below 60,000 EUR.

From 1st June 2020 onwards, only self-employed of some sectors (restaurants, tourism, culture, sport and events) can benefit, with increased limits of employees (20) and turnover (2 million EUR).

Additional eligibility conditions apply:

- Activity should have started before 01/02/2020
- Cannot be in suspension of payments at 01/03/2020

From 1st June to September, these measures are only applied to sectors strongly affected by the crisis (restaurants, tourism, culture, sport, events, passenger transport and culture), doubling the limits of workers (now 20) and turnover (now 2 million EUR).

In October and November, these measures was applied to all sectors (less than 50 workers) without condition on turnover.

From December 2020 onwards, all firms mentioned before, and firms receiving public but closed for administrative reasons related to Covid without size criteria, to firms of the protected sectors which are durably affected by the crisis when they lost at least 50 % of their turnover (no size criteria).

For other sectors, for firms less than 50 employees impacted by the lockdown and with losses of turnover of at least 50 %.

In 2021 :

Can benefit from the solidarity fund:

- firms subjected to an administrative ban on reception of public with turnover losses from 50 % (without condition on number of employees or on taxable profit),
- firms partially closed with turnover losses of 20 % (without condition on number of employees or on taxable profit),

- firms of protected sectors with turnover losses from 50 % (without condition on number of employees or on taxable profit),
- firms of the other sectors with a turnover losses from 50 % (for firms with less than 50 employees, without condition on taxable profit),

In summer, from June, the solidarity fund will be adapted depending on the re-opening and the sanitary conditions, only firms administratively closed during this period can benefit and firms from protected sectors strongly impacted by the covid crisis.

In October, creation of a new scheme “dispositif loyer” for retail and service businesses with several shops, some of which had to be closed between February and May 2021 because they were in commercial areas subject to a ban on public access due to the health crisis.

Eligibility for the aid is assessed on a month-by-month basis and in relation to other aid already granted to the business. The amount of aid corresponds to the sum of rent and charges calculated per shop in proportion to the days when the store is closed.

In 2022:

With the epidemic rebound at the end of 2021 and beginning of 2022, reactivation or extension of certain aids for the event industry, hotel and restaurant industry, caterers, travel agencies, indoor leisure companies, culture, sport and companies subject to bans on receiving the public or the imposition of a gauge.

For companies in these sectors:

- For micro-enterprises and the self-employed, exceptional financial assistance (AFE) and assistance for contributors in difficulty may be requested,
- Reactivation of the exemption or reduction of social contributions for November-December 2021 and January 2022. 100 % reduction if the drop in activity is > 65 %, 50 % reduction for a drop in activity between 30 and 65 %,
- In December 2021, a "aide renfort" may be granted to compensate for certain charges for companies whose activity is forbidden to receive the public (if the loss of turnover is greater than or equal to 50 %),
- Reinforcement of the "coûts fixes" provision for December and January 2022 following the administrative closure of nightclubs, this provision compensates 100% of operating losses. (Note that previously, this measure was 90 % for companies with less than 50 employees and 70 % for those with more than 50 employees and concerned all companies subject to a ban on receiving the public in the above-mentioned sectors),
- Reinforcement of partial activity until the end of January 2022 without any payment for employers who have suffered a loss of 65 % of their turnover or who are subject to health restrictions,
- Extension of state-guaranteed loans (PGE) until the end of June 2022 with an extension of the repayment period from 6 to 10 years,
- Extension of the solidarity fund in January and February 2022, with the following eligibility conditions for the solidarity fund:

- firms subject to a total administrative ban on reception the public with a loss of turnover of 20 % (without any condition on the number of employees or on the taxable profit), the aid is 20 % of the reference turnover up to a limit of 200 000€,
- firms partially closed (with a minimum of 21 days of closure) with a loss of turnover of 50 % (without any condition on the number of employees or on the taxable profit), the aid is 20 % of the reference turnover within the limit of 200 000€,
- firms in the other sectors subject to a total administrative ban on reception the public domiciled in an area subject to confinement for at least 8 days during the monthly period under consideration with a loss of turnover of 20 % (without condition on taxable profit). The aid is equal to the turnover loss up to a maximum of 1500€,
- firms in protected sectors with turnover losses from 10 % (without condition on number of employees or on taxable profit), these firms must have benefited from the solidarity fund for at least one month between January and May 2021, must have achieved 15 % of the reference turnover, must be domiciled in a territory subject to a state of health emergency and must have been under confinement or curfew for at least 19 days during the monthly period under consideration. The aid is 40 % of the loss of turnover (up to 20 % of the reference turnover, up to the limit of 200 000€),
- firms in the other sectors domiciled in an area subject to confinement for at least 8 days during the monthly period under consideration with turnover losses from 50 % (for firms with less than 50 employees, without any condition on taxable profit). The aid is equal to the loss turnover up to a limit of 1500€.

The total amount of aids may not exceed €2.3 million over the period March 2020 to June 2022.

The war in Ukraine is also having an impact on various sectors of activity, the partial activity with zero remaining costs for employers being extended for affected companies until the end of 2022.

2.8.2.3. Income test

Conditions on turnover, turnover losses and taxable profit (see above).

2.8.2.4. Benefit amount

Turnover loss with a maximum of 1500€ per month for the first stage of the solidarity fund; 2,000€ to 5,000€ for the second stage in 2020 (2,000€ to 10,000€ in 2021); 1,250€ for the extraordinary financial assistance.

From December 2020, for firms subjected to a ban on reception of public, the solidarity fund allowance can take two different forms, on choice: the amount of their losses capped at 10,000€ or an amount corresponding to 20 % of their turnover up to 200,000€.

For partial close, the amount is 1,500€ between 20 % and 50 % of turnover losses, and 10,000€ or 20 % of their turnover up to 200,000€ for turnover losses from 50 %.

For firms of protected sectors, the amount is up to 10,000€ from 50 % losses, 15 % of the turnover for losses from 50 to 70 %, The amount can reach 20 % of the turnover within the limit of 200,000€.

For the other firms, the amount is 1,500€ with a turnover loss of 50 %.

During summer, the amounts were adapted but only firms administratively closed can benefit from the fund, the amount is 20 % of the turnover within the limit of 200,000€ for month of close) and for firms in protected sectors. For those firms, the amounts are:

- In June 2021: 40 % of the turnover losses (within the limit of 20 % if the turnover or 200,000€) from 50 % of losses.
- In July, 30 % of the turnover losses from 50 % of losses.
- In August, 20 % of the turnover losses from 10 % of turnover losses.
- September to December 2021, 20 % of the turnover losses from 10 % of turnover losses, and for protected firms or firm on specific area under confinement, 40 % of the turnover losses (within the limit of 20 % if the turnover or 200,000€).
- In January and February 2022, the fund is only available for nightclubs and overseas territories confined or under curfew.

2.8.2.5. Taxation and income testing

Not taxable.

2.8.2.6. EUROMOD modelling

For the solidarity fund, only the first stage is simulated, due to data limitations to simulate the second one. However, only the eligibility conditions related to profits in 2020 (<60,000 EUR) and number of employees in 2020 (<=20) and 2021-2022 (<=50) can be simulated. Since there is no information on turnover losses, it is assumed that all eligible self-employed get the actual average benefit: 1,278€ in 2020 (as of 1st October 2020) and 2,272€ for 2021 and 2022 (as of 1st October 2021).

This policy can only produce results if the model is run in combination with the LMA add-on.

The individuals that are selected to undergo transitions to monetary compensation schemes are defined in the TransLMA_xx policy, which is switched on automatically by the add-on (it is switched off in the baseline). For more information about the modelling of labour market transitions please consult the '*Simulating labour market transitions in EUROMOD*' document.

The one-off financial assistance is simulated using current self-employed social insurance contributions as a proxy of previous contributions, which are not available in the dataset.

For 2020, labour transition model based data are produced by Eurostat, using detailed distributional information on the loss of jobs and short-term work schemes from the Labour Force Survey and administrative data. The impact across different categories of individuals, the duration of unemployment/absence and percentage of hours worked are modelled using the EU-LFS longitudinal and quarterly transitions as target. For more information please consult the methodological note available at

<https://ec.europa.eu/eurostat/documents/7894008/8256843/Methodological-note-2020.pdf/9a70fb55-ceb7-d25a-1b31-ab0c030095d2?t=1625228771763>

For 2021 and 2022, not enough information was available, so all parameters were set to zero.

2.8.3. Exceptional 2021-2022 lump sum to compensate inflation increase (binxp_s) – (Indemnité inflation)

In 2021, to compensate inflation, a lump sum of 100 € was paid in one go for people over 16 years old, earning on average less than 2000€ net per month. Net monthly income is calculated as the average on the salaries received from January to October 2021 for employees, and on the amounts received in October 2021 for the other cases. This lump-sum is individualised, if both members of a household earn less than 2000€ net per month, they will both receive assistance. This assistance is not subjected to any tax or social contributions, and not taken into account for income tax, nor when qualifying for social assistance.

The potential beneficiaries are people in activity (employees and self-employed), retired, unemployed, ill or in maternity/paternity, recipients of minimum social benefits (like RSA, AAH or invalidity beneficiaries...), apprentices and students on scholarship or students receiving housing benefits. The date of payment is between December 2021 and February 2022, depending on their status.

In 2022, an other exceptional solidarity lump-sum to cope with inflation was given to recipients of social minimas (RSA, AAH, ASPA, AV, ASS, housing benefits or invalidity), apprentices, and scholarship students. In November and December, they have received 100 € one-off payment per household, and 50 € additionally for each dependant in the household. For recipients of the activity allowance, there is also an exceptional lump-sum of 28EUR with an increase of 14EUR for each dependent child. These 2 allowances cannot be combined (if you receive the activity allowance, you cannot claim to exceptional solidarity allowance for another social minima).

2.8.4. Exceptional 2023 purchasing power bonus for public servants (binps_s) – (Indemnité inflation)

In 2023, for public servants, an exceptional purchasing power bonus for certain public servants has been introduced, subject to income conditions, and paid in a single lump sum in the last quarter of the year.

2.8.4.1. Eligibility Conditions:

- have been recruited or appointed by a public employer before 1er January 2023;
- remain in place as of June 30, 2023;
- to have received, between 1er July 2022 and June 30, 2023, a remuneration of up to €39,000 gross for 12 months or €3,250 gross per month maximum.

Note : if you have not been employed for the whole period from 1er July 2022 as of June 30, 2023, you can verify whether you are eligible for the bonus by dividing your total gross remuneration by the number of paid months, then multiplying the result by 12. If you have had more than one employer, you must consider the total remuneration paid by the last employer and then make the same calculation.

2.8.4.2. Benefit Amount:

The amount of the exceptional premium is staggered **between €300 - €800 and prorated for part-time work** or if the period of work is less than 12 months.

The lump sum is calculated on the basis of the gross remuneration received for the period from **of 1er july 2022 to june 30, 2023** :

Table 2.88 Benefit amount dependent on gross income

Gross remuneration (GR)	Lump sum amount
$GR \leq € 23\,700$	€800
$€ 23\,700 < GR \leq € 27\,300$	€700
$€ 27\,300 < GR \leq € 29\,160$	€600
$€ 29\,160 < GR \leq € 30\,840$	€500
$€ 30\,840 < GR \leq € 32\,280$	€400
$€ 32\,280 < GR \leq € 33\,600$	€350
$€ 33\,600 < GR \leq € 39\,000$	€300

Source: [Décret n° 2023-702 du 31 juillet 2023](#)

This lump sum is subject to social contributions and income tax.

2.9. Consumption taxes

2.9.1. Definitions

Consumption taxes simulated in EUROMOD can be divided in two groups: VAT (value added tax) and excises (additional duties paid over consumption, typically on energy, alcoholic beverages, and tobacco).

Simulated consumption tax liabilities paid by households depend on the tax rules (e.g. the VAT rate) and on the tax base (consumption expenditures or quantities). This is why, to simulate consumption taxes in EUROMOD, the input data must contain information on household expenditures. The expenditures matched in the EUROMOD input files based on SILC are reported directly by households in the HBS surveys at purchasing prices. Therefore, they already include the consumption taxes paid.

i) **VAT** (il_tva variable in EUROMOD) is the value-added tax. The model also simulates at high disaggregation level the VAT liabilities paid for each consumption category (output variables are tva01111, tva01112, and so on and so forth, corresponding to COICOP codes 01111 and 01112, etc.)

ii) **Excises** (il_tx variables in EUROMOD) are additional duties paid over consumption and can be classified in two groups: ad-valorem excises (il_txv) that depend on producer prices, and of specific or ad-quantum excises (il_txa) that depend on consumed quantities.

Since consumption data from HBS refers to expenditures (price times quantity), for the simulation of specific excises information on consumption prices are needed.

Further information on methodology and specific calculations and the independence of these consumption taxes is common across countries (this is why they are placed in an add-on and not in the policy spine of each country) and can be found in Akoğuz et al (2020).⁶

2.9.2. VAT - il_tva - (Taxe sur la valeur ajoutée, TVA)

VAT rates do not vary too much across product, and are typically four rates (standard, reduced and zero.

Table 2.89 VAT rates [2022-2025]

	Products	2022-2025
Standard	The majority of sales of goods and services	20%
Intermediate	Unprocessed agricultural products, firewood, passenger transport, museums, zoo, exhibitions...	10%
Reduced ⁷	Most food products, sanitary products, books, gas and electricity subscription	5.5%
Super reduced	Medicinal products reimbursable by social security, sales of live butchery animals...	2.1%
Exempted	Export, education, activities for general interest, medical activities, most rentals for main residence	-

Source : <https://www.economie.gouv.fr/cedef/les-fiches-pratiques/quels-sont-les-taux-de-tva-en-vigueur-en-france-et-dans-lunion#:~:text=Le%20d%C3%A9tail%20des%20taux%20de,taux%20n'est%20express%C3%A9ment%20pr%C3%A9vu.>

2.9.3. Ad-valorem excises – il_tvx (Droits d'accise ad-valorem)

Ad-valorem excises cover all tobacco products.

Table 2.90 Ad-valorem excise rates [2022-2025]: excises parameters

Products	2022			2023		
	Rate	price per 1000 units or per kg	Minimum levy (per 1000 units)	Rate	price per 1000 units or 1000 grams	Minimum levy (per 1000 units or 1000 grams)
Cigarettes	60%	-	90€	55%	68.1€	360.6€

⁶ Akoğuz, Elif Cansu, Bart Capéau, André Decoster, Liebrecht De Sadeleer, Duygu Güner, Kostas Manios, Alari Paulus, and Toon Vanheukelom. A new indirect tax tool for EUROMOD: final report. Technical Report, <https://euromod-web.jrc.ec.europa.eu/sites/default/files/2021-03/A%20new%20indirect%20tax%20tool%20for%20EUROMOD%20Final%20Report.pdf>, 2020.

⁷ Reduced rates for specific territories in AT, EL, ES, FR and IT are not modelled yet.

Cigars and cigarillos	5%	12€	-	36.3%	52.2€	288€
Rolling tobacco	50%	60€	-	49.1%	91.7€	335.3€
Other tobacco for smoking or inhaling after heating	20%	22€	-	51.4%	33.6€	145.1€
Tobacco sticks for heating	20%	22€	-	51.4%	19.3€	232€
Other heating tobaccos	20%	22€	-	51.4%	72.7€	875.5€
Tabacs à priser	20%	22€	-	58.1%	-	-
Chewing tobacco	20%	22€	-	40.7%	-	-

Products	2024			2025		
	Rate	price per 1000 units or 1000 grams	Minimum levy (per 1000 units or 1000 grams)	Rate	price per 1000 units or 1000 grams	Minimum levy (per 1000 units or 1000 grams)
Cigarettes	55%	71.3€	371.4€	55%	72.71€	378.8€
Cigars and cigarillos	36.3%	54.7€	296.6€	36.3%	55.7€	302.6€
Rolling tobacco	49.1%	99.7€	345.4€	49.1%	104.2€	335.8€
Other tobacco for smoking or inhaling after heating	51.4%	35.2€	149.5€	51.4%	35.9€	152.4€
Tobacco sticks for heating	51.4%	30.2€	268€	51.4%	41.1€	303.8€
Other heating tobaccos	51.4%	113.9€	1011.3€	51.4%	155.2€	1146.4€
Tabacs à priser	58.1%	-	-	58.1%	-	-
Chewing tobacco	40.7%	-	-	40.7%	-	-

Source : <https://www.douane.gouv.fr/fiche/la-fiscalite-appliquee-aux-tabacs-manufactures-et-la-composition-du-prix-de-vente-au-detail#:~:text=L'accise%20sur%20les%20produits,au%20taux%20de%2016%2C6667%20%25>

To clarify, the structure of the price of a pack of 20 cigarettes at €11.50 and €13 on 1 January 2025 in mainland France breaks down as follows:

Table 2.91 Structure of cigarettes price in 2025

Price Structure in 2025	Rate / Price	Cigarettes low market »	Cigarettes « premium »
Retail price (for a pack of 20 cigarettes)		11.50€	13€
Excise including :			
Excise rate	55%	6.325€	7.15€
Excise price (per 1000 units)	72.7€	1.45€	1.45€
Minimum levy (per 1000 units)	378.8€	(7.58€) ¹	(7.58€) ¹
VAT "inside" ² on the retail price	16.6667%	1.92€	2.17€
Tabacco retailer's gross discount	10.29%	1.183€	1.338€
Manufacturers' margin		0.62€	0.89 €

Notes:

¹ In that case, the addition of the product of the rate of excise by the retail selling price and the excise price is greater than the minimum charge, the addition applies.² Included in the price

Source :

<https://www.douane.gouv.fr/fiche/la-fiscalite-appliquee-aux-tabacs-manufactures-et-la-composition-du-prix-de-vente-au-detail#:~:text=L'accise%20sur%20les%20produits,au%20taux%20de%2016%2C6667%20%25>

2.9.4. Specific excises – il_txa (Droits d'accise ad-quantum)

Specific excises apply to energy products and alcoholic products.

Table 2.92 Specific (ad-quantum) excise rates

Prices	2022	2023	2024	2025
Alcoholic products				
Wine	3.92EUR/hl	3.98EUR/hl	4.05EUR/hl	4.12EUR/hl
Sparkling Wine	9.7EUR/hl	9.85EUR/hl	10.02EUR/hl	10.20EUR/hl
Cider, hydromel	1.37EUR/hl	1.39EUR/hl	1.41EUR/hl	1.43EUR/hl
Liquor wine, sweet wine	48.97EUR/hl	49.73EUR/hl	50.6EUR/hl	51.49EUR/hl
Other intermediate products: Porto, Pineau, Pommeau	195.86EUR/hl	198.91EUR/hl	202.39EUR/hl	205.93EUR/hl
Beer ≤2.8% degree of alcohol	3.85EUR/hl	3.91EUR/hl	3.98EUR/degree/hl	4.05EUR/degree/hl
Beer >2.8% degree of alcohol	7.7EUR/hl	7.82EUR/hl	7.96EUR/degree/hl	8.10EUR/degree/hl
Rum	903.64EUR/hl	917.72EUR/hl	933.78EUR/hl	950.12EUR/hl

Other alcohol	1806.28EUR/hlap	1834.42EUR/hlap	1866.52EUR/hlap	1899.18EUR/hlap
Other products				
Waters	0.54EUR/hl	0.54EUR/hl	0.54EUR/hl	0.54EUR/hl
Soft drinks:	3.34 to 26.09EUR/hl	3.34 to 26.09EUR/hl	3.34 to 26.09EUR/hl	4 to 35EUR/hl
- with sugar	depending on the quantity of sugar/hl ¹	depending on the quantity of sugar/hl ¹	depending on the quantity of sugar/hl ¹	depending on the quantity of sugar/hl ¹
- with sweetener	3.34EUR/hl	3.34EUR/hl	3.34EUR/hl	3.50EUR/hl
Energy products²				
TICPE (fuel)	From 59.4€/l to 76.826€/l depending on area and type of fuel	From 59.4€/l to 76.826€/l depending on area and type of fuel	From 59.4€/l to 76.826€/l depending on area and type of fuel	From 59.4€/l to 76.826€/l depending on area and type of fuel
TICFE (electricity)	0.5€/MWh for power>36kWA 1€/MWh otherwise ³	0.5€/MWh for power>36kWA 1€/MWh otherwise ³	20.5€/MWh for power>36kWA 21€/MWh otherwise ⁴	25.6875€/MWh for power≤36kWA 22.5€/MWh for power>250kWA 22.5625€/MWh otherwise
TICGN (gas)	0.54€ or 1.52€, 1.6€ or 8.41€/MWh depending on the consumers profile	0.54€ or 1.52€, 1.6€ or 8.37€/MWh depending on the consumers profile	0.54€ or 1.52€, 1.6€ or 16.37€/MWh depending on the consumers profile	0.54€ or 1.52€, 1.6€ or 17.16€/MWh depending on the consumers profile
TICC (coal)	1.19€, 2.29€ or 14.62€/MWh depending on the consumers profile	1.19€, 2.29€ or 14.62€/MWh depending on the consumers profile	1.19€, 2.29€ or 14.62€/MWh depending on the consumers profile	1.19€, 2.29€ or 14.62€/MWh depending on the consumers profile

Notes:

1 <https://entreprendre.service-public.fr/vosdroits/F32101>

2 For 2025, the figures for energy products are only valid until the end of July 2025

3 Special reduction due to high inflation called « bouclier tarifaire »

4 The price are still reduced, the normal price should be 25.6875€ or 32.0625€

Source : <https://www.ecologie.gouv.fr/sites/default/files/documents/Guide%202025%20sur%20la%20fiscalit%C3%A9%20des%20%C3%A9nergies.pdf>

Remark : A part of the carbon tax is included in the excises for energy products, another part of the carbon tax is the SEQE-EU (not included in EM). For more information, see <https://www.ecologie.gouv.fr/politiques-publiques/tarification-effective-du-carbone#visualiser-les-donnees-de-la-tarification-effective-du-carbone-et-de-lenergie-2>.

All alcoholic products are subjected to 20% VAT.

Waters and soft drinks are subjected to 10% of VAT if they are to be taken away for immediate consumption, 5.5% VAT otherwise.

Regarding electricity, the VAT rate depends on the subscribed power (if >36kVA, VAT=20%), for < 36kVA, the rate 5.5% is applied on the subscription and the rate 20% is applied on the electricity price. For gas and fuel, the rate is 20 %.

The domestic consumption tax on energy products (*Taxe intérieure de consommation sur les produits énergétiques, TICPE*) applies to petroleum products intended for use as motor fuel or heating fuel. TICFE concerns electricity products.

Table 2.93 additional taxes

Prices	2022	2023	2024	2025
Taxes for social security contributions:				
Alcohol>18% vol. (full rate)	579.96EUR/hl	589EUR/hlap	599.31EUR/hlap	609.80EUR/hlap
Intermediate products>18% vol. (full rate)	48.97EUR/hl	49.73EUR/hl	50.6EUR/hl	51.49EUR/hl
Intermediate products>18% vol. (reduced rate at 40%)	19.6EUR/hl	19.91EUR/hl	20.26EUR/hl	20.61EUR/hl
Beer>18% vol.	48.97EUR/hl	49.73EUR/hl	50.6EUR/hl	51.49EUR/hl
Rums and spirits made from local alcohol	325EUR/hl	403EUR/hl	482EUR/hlap	609.8EUR/hlap ¹
Taxes called "Premix" (>1% alcohol):				
Wine or other fermented beverage	3EUR/dlap	3EUR/dlap	3EUR/dlap	3EUR/dlap
Other products	11/dlap	11/dlap	11/dlap	11/dlap
Other taxes				
Air transport passengers	4.69€ or 8.43€ per passenger depending on the destination	4.83€ or 8.69€ per passenger depending on the destination	4.93€ or 8.87€ per passenger depending on the destination	5.05€ or 9.09€ (5.14/9.25from 1 st April) per passenger depending on the destination
Air ticket solidarity tax	Economy class: 2.63€ for flights to the EU 7.51€ for flights to other country Business class: 20.27€ (EU)		7.4€/15€/40€ per ticket depending on distance for economy class (30€/80/120 for business class and 210 to	

		63.07€ (other country)		2100€ for jets depending on type of jet and distance)
Ecotaxe Malus on the purchase of polluting vehicles	From 50€ to 40 000€ (max 50% of the selling price) from 128g to 225g of CO2/km	From 50€ to 50 000€ (max 50% of the selling price) from 123g to 225g of CO2/km	From 50€ to 60 000€ and more from 118g to 193g of CO2/km, without cap	From 50€ to 60 000€ and more from 118g to 193g of CO2/km, without cap

Note: ¹ end of the reduced rate in January 2025

Source : <https://entreprendre.service-public.gouv.fr/vosdroits/F32101>
https://www.legifrance.gouv.fr/codes/section_lc/LEGITEXT000044595989/LEGISCTA000044599467/
<https://www.economie.gouv.fr/cedef/fiches-pratiques/comment-fonctionne-la-taxe-malus-sur-les-vehicules-polluants>
[https://www.service-public.gouv.fr/particuliers/actualites/A18080#:~:text=avion%20\(TSBA\)%20%3F-,La%20taxe%20de%20solidarit%C3%A9%20sur%20les%20billets%20d'avion%20\(TSBA,du%201er%20mars%202025.](https://www.service-public.gouv.fr/particuliers/actualites/A18080#:~:text=avion%20(TSBA)%20%3F-,La%20taxe%20de%20solidarit%C3%A9%20sur%20les%20billets%20d'avion%20(TSBA,du%201er%20mars%202025.)

Consumer prices of goods subject to excise duties are nowcasted, similarly to what the model does to update incomes from SILC. We combine the latest available data from the following sources:

- Prices per product, usually from last year, but for instance, fuel prices have only 15 days delay.
- Inflation: Harmonised Index of Consumer Prices (HICP, Eurostat) at COICOP 5 digits, usually for the first quarter for beta release and up to third quarter 3 for final release.
- Inflation quarter-on-quarter forecasts (DG ECFIN, confidential) by HICP main groups (Unprocessed food, Processed food including alcohol and tobacco, Non-energy industrial goods, Energy, Services - overall index excluding goods) of quarters 2, 3 and 4, as needed for each release.

For more details on the specific source of the price of each good, see Akoğuz et al (2020).

The price of *Other tobacco* did not followed this general sources/nowcasting strategy but was sourced from douane.gouv.fr (<https://www.douane.gouv.fr/fiche/la-fiscalite-appliquee-aux-tabacs-manufactures-et-la-composition-du-prix-de-vente-au-detail>) because the correct category is: *Tabacs fine coupe destinés à rouler les cigarettes /kg*, and not *"Autres tabacs à fumer ou à inhaler après avoir été chauffés(narguilé, blunts, etc.)"*.

— **EUROMOD modelling**

Consumption taxes (tco_fr policy) require extended EUROMOD input data (with imputed income shares of consumption expenditures at the household level) and an add-on to run. The policy is set to off in the baseline. To activate it, the ITT_xbase add-on must be run, and the extended EM input files (see Section 3 for more information on the methodology and features behind these extended input files) should be selected (as defined in the database configuration of each country). The other add-ons (ITT_*) are designed for reform simulations and assume different behavioural responses: i) constant quantities (ITT_XCQ), ii) constant income shares (ITT_XCIS), and iii) constant expenditure shares (ITT_XCES). These reform-scenario add-ons require the auxiliary output files are generated by running the first baseline simulation (as either the quantities or expenditures and savings from the baseline are kept constants and enter as inputs in the simulated reform scenarios).

3. Data

3.1. General description

The French database corresponds to the French part of the European Union Statistics on Income and Living Conditions (EU-SILC) provided by Eurostat. This is a rotating panel survey (9 rotational groups until 2019, 4 since 2020), representative of the French population in private households (all persons aged 16 and over within the household are eligible), excluding French Overseas Departments and territories (DOM). The French survey used to build the French EU-SILC is conducted by INSEE and is named “Statistiques sur les ressources et les conditions de vie” (SRCV).

Before 2010, the reference population is estimated from the 1999 population census and the dwellings built since then. Between 2010 and 2019, the reference population was estimated from Octopusse (“Organisation coordonnée de tirages optimisés pour une utilisation statistique des échantillons”) which was updated each year on the basis of the dwellings enumerated the previous year (only principal residence in metropolitan France). Since 2020, the sample is drawn from the new sampling frame “Fideli-Nautile” based on tax sources (income tax, tax sources on build-up properties and housing tax). Around 14.000 households are surveyed each year. The sample is stratified to be representative of the French population at the national level. Data collection is annual. The survey is conducted over a period of six weeks in May and June until 2019, since 2020, the collection start 29 January to 13 April in order to give early the data to Eurostat (in March N+1).

French EU-SILC 2024 sample statistics project to a reference population of 66167451 individuals.

Since 2008, statistical matching is performed with tax sources and the amount of (taxable) income and social benefits actually received by the households over the reference year is collected directly from the public finance body, the DGFIP and the three main Benefit funds in France: the national family benefits fund (CNAF), the national old-age insurance fund (CNAV) and the central agricultural social insurance fund (CCMSA).

For more information on technical issues:

<https://www.insee.fr/en/metadonnees/source/serie/s1220>

<https://data.progedo.fr/studies/doi/10.13144/lil-1738?tab=documents>

3.2. EUROMOD SILC Database (EMSD)

Before 2021, we only use the EU-SILC UDB. From 2021 onward, a new database prepared by Eurostat - EUROMOD SILC database (EMSD) is used to derive EUROMOD input dataset.

The EMSD includes :

— all UDB variables (each variable is described in the DocSILC065⁸ (2025 operation))

⁸ Available here: https://circabc.europa.eu/ui/group/853b48e6-a00f-4d22-87db-c40bafd0161d/library/334d943f-6f71-4f4b-9c7e-a6767a3fe164?p=1&n=10&sort=name_ASC%22

- National data supplied by National Statistical Institute (NSI), national variables are described in national codebook;
- EUROMOD variables created and imputed by Eurostat because of restricted data access or knowledge in-house (the generation of those variables is explained in the DRD).

Based on the EMSD, the national team derives additional variables requiring a deep understanding of country specificities (for instance national tax-benefit rules). The final EUROMOD input dataset is therefore made of variables created by both Eurostat and national team.

Some of the EUROMOD variables produced by Eurostat are created and/or imputed with PDB (Production Database) variables. The reason being that the modalities of the PDB variables are more detailed than in UDB (or not top coded). According to the agreement between the NSI and Eurostat, the national team was allowed to use the more detailed information coming from the PDB to derive some EUROMOD variables or to use them as intermediate variable to impute other EUROMOD variables.

However, if the users want to compute their own EUROMOD input data with the formula provided in the DRD file, he/she may encounter differences for some EUROMOD variables because the PDB variables are not available.

The final EUROMOD input datasets is made of variables created by both Eurostat and National Teams (NTs) and is the result of a joint effort of NTs, Eurostat and JRC.

Table 3.1 EUROMOD database description:

EUROMOD database	FR_2024_c1
Original name	FR_EMSD2_2024
Provider	Eurostat
Year of collection	2024
Period of collection	January to April 2024
Income reference period	2023
Sample size	38.319 IND 17.305 HH

Source: EU SILC 2024 and EUROMOD DRD codebook

The income reference period of SILC 2024 is year 2023, i.e. that income of year 2023 is used.

It is important to notice the peculiarity of SILC 2021, which use 2020 incomes. In 2020, several measures were taken mitigate the impact of Covid crisis on incomes, particularly for the poorest (as detailed in the 2022 Country Report). Utilizing 2020 income and the impact of these policies resulted in an unusually low number of people in poverty in the 2021 database, artificially reducing poverty in 2021. Using the fr_2021_c2 dataset for 2021 policy year yielded a poverty rate that was too low, attributable to the increase in 2020 income from Covid benefits. As a result, we believe that for these specific years of health crisis, the most suitable match for policy years 2021 is the fr_2020_c2 dataset (SILC 2020 with incomes from 2019).

3.3. Data adjustment

Adjustments to variables are kept to a minimum. There is some minor data cleaning that is done to make sure that the households and relationships of individuals within households, are coherent (for example, that young children are not living alone or family relations are coherent).

In order to guarantee consistency between demographic variables and income variables which refer to the previous year (and on which EUROMOD simulation are based), all children born between the end of the income reference period and the data of interview have been dropped from the sample (48 observations deleted in 2024).

Item non-response is treated by means of a re-weighting procedure for the first period and by re-interrogation for the following periods in the original SRCV data.

The following variables are used to compute the new weight: age, population density home, household type, number of men and women by age category, reference person's education, profession of reference person.

3.4. Imputations and assumptions

3.4.1. Time period

The EU-SILC information on demographic variables refers to the time of data collection (January-April 2024).

However, some information also indicates the status quo at the end of the income reference period (2023). For example, there are two age variables: one of them indicating age at the time of the survey implementation and one at the end of 2023. A similar situation is observed for some socio-economic and labour variables.

For example, variable rb211 (basic main activity status) refers to the data collection time, while variable pl073 indicates number of month in full time work during the income reference period (the calendar year of 2023). If possible, the corresponding demographic, labour and socio-economic information in the EUROMOD dataset was based on the EU-SILC variables referring to the income reference period.

The EU-SILC information on incomes refers to the calendar year of 2023, based on a 12-month receipt period. All monetary incomes in the EUROMOD database are converted into monthly terms. In the EUROMOD calculations it is implicitly assumed that income is received at the same rate throughout the year.

The legal framework since 2021 has been changed, the new regulation is *Regulation (EU) 2019/1700 of the European Parliament and of the Council of 10 October 2019 establishing a common framework for European statistics relating to persons and households, based on data at individual level collected from samples* (IESS regulation).

According to this new regulation:

1. some EU-SILC variables were renamed (i.e. pe020 is now pe021),
2. some were moved to a 3 years module (i.e. pe030 used in **dew** computation, pl020 used in **lowas** computation, pl130 used in **lfs** computation, pl160 used in **ltr** computation, hy030g used for **kivho**)
3. and other variables were totally excluded from EU-SILC (rb070 used in **dmb** computation; py200g used in **ymwdt** computation).

For more details please consult [“Methodological guidelines and description of EU-SILC target variables – 2023 operation”](#)

3.4.2. Gross incomes

The EU-SILC survey contains information on both gross and net monetary incomes, if applicable. The survey also contains flag variables, which indicate if the observation has been collected either in gross or net form. In most of cases, the incomes are collected in net terms (excepted for work income which is collected net of CSG and non-deductible CRDS). The gross incomes were recalculated by INSEE by adding the social contributions CSG, CRDS and employee social contributions (if applicable for work income). These contributions are estimated using inversion of the tax rules. More information can be found in the Country Quality Report:

<https://www.insee.fr/fr/metadonnees/source/serie/s1220>

3.4.3. Disaggregation of harmonized variables

A number of variables necessary for the simulation of tax-benefit system in France are not available in EU-SILC and, as such, have been fully imputed in the EUROMOD dataset. A list of these variables and the way they have been derived follows:

1. The unemployment benefit in SILC has been disaggregated into a contributory unemployment insurance benefit (corresponding to ARE) and a means-tested unemployment assistance benefit (corresponding to ASS). The disaggregation has been performed based on benefit rules and average daily benefit amounts.
2. The aggregate family benefits variable existing in SILC has been split into several components. The universal child benefit (AF) has been separated from the aggregate variable based on benefit rules. Similarly, means-tested child benefits (CF, ARS, PAJE) have been disaggregated based on benefit rules and based on the relationship between gross incomes and net taxable incomes derived from EU-SILC. Residual amounts have been included in a separate variable-other child benefits. Since EU_SILC 2020, the disaggregation is based on the national SILC variables “”prest_fam_autres for AL, CF, ARS and “prest_fam_petite_enfance” for the different components of the PAJE or for PrePare.
3. Means-tested survivor minimum pension (AV) has been separated from contributory survivor benefits by applying benefit rules.
4. Employment income during the previous year -for individuals receiving unemployment insurance benefits- has been imputed by inverting benefit rules.

5. The geographical zone variable used in the calculation of the housing benefit (AL) has been imputed based in the region (NUTS 2 level db040) and urbanization (DB100). But in 2024, DB040 (NUTS 2 level) is not disseminated in UDB and cannot be either in the ESMD. However, the NSI allowed Eurostat to use the PDB-DB040 to compute drg01 necessary for the calculation of the housing Benefit. They also allowed to give the distinction Metropolitan France/Overseas territories in drgn1 drgn2 as the scope of EU-SILC was extended to Overseas territories since 2022. **drgn1** and **drgn2** therefore have two modalities, respectively 11 and 30 for Metropole, and 9 and 29 for Overseas territories instead of the detailed modalities available past years.
6. The housing benefit in SILC has been disaggregated in two variables-benefits received by tenants and benefits received by the rest based on tenure status.
7. Employment income has been split into pay on account of 'regular hours' and overtime pay. The split has been based on the current number of hours paid reported in SILC. 'Regular hours' are assumed to be 35 hours per week for every employee (i.e. including part-time). An average hourly pay has been calculated based on yearly employment pay, number of months spent in employment and hours worked per week. The disaggregation takes into account the possible statutory rules on overtime pay (i.e. extra 25 % pay for the first 8 hours per week and 50 % for extra thereafter). Overtime pay is assumed to be zero for employees working less than 35 hours per week and for employees observed to be working less than 12 months in the income reference period (the information on number of hours worked is considered too unreliable to perform the split for the latter category).

Since 2021, some variables that were previously disaggregated are available in their detailed version in the SILC national survey SRCV, so we now use these detailed variables:

- Means-tested disability benefits (AAH) previously separated from contributory disability pensions (BDI) based on the observed amounts of the aggregate variable and policy rules are now based on SILC national variable (SRCV) called "prest_precarite_hand".
- Invalidity pension (pdi00) also derived from BDI is now based on SILC national variable (SRCV) called "prest_precarite_invalidite".
- Old-age pensions (POA) were previously splitted into contributory pensions (poa00) and a means-tested benefit for the elderly (ASPA, variable bsaoa). The splitting was based on benefit eligibility rules relating to age and income as well as on the observed amount in the dataset. This year, ASPA (bsaoa) is based on SILC national variable (SRCV) called "prest_precarite_vieil".
- Social exclusion benefits (BSA) were splitted into the main social assistance benefit (RSA, variable bsa00), the activity allowance (bsawk) and the rest by simulating benefit rules. Any residual amounts was saved in a separate variable-other social assistance benefits. This year RSA and past year (bsa00) and activity allowance (bsawk) are based on SILC national variable (SRCV) called repectively "RSA_soc_i" in SILC 2019 (the variable name has changed since SILC 2020, it's "rsa_men_nsilc") and for activity allowance "RSA_pa_i" in SILC 2019 (the variable name is "ppa_men_nsilc" since SILC 2020), without change for the rest.

- Moreover, several variables are now based on SILC national variable (SRCV), that is the case since in SILC 2019 for personal income tax (tin) based on the variable called “IRPP”, for property tax (tpr) on SILC national variable (SRCV) called “TF” (called “taxfon” in SILC 2020). In SILC 2021, “taxfon” has not been collected, so “HY120” is used instead. In 2022, the national variable has been collected and used in EMSD.
- In SILC 2020, that is also the case for SIC employee based on national SILC variable “cots_sal”, SIC self employed based on “contindp” and SIC employer based on “cotp_sal”. In SILC 2021, these SIC variables are not available. Since SILC 2022, “cots_sal” is available, “cotp_sal” is not available.

3.5. Updating

EUROMOD currently permits the simulation of 20 policy years, i.e. 2006-2025. Currently, all the simulations are done using eighth datasets, namely FR-SILC 2007, FR-SILC 2010, FR-SRCV2012, FR-SILC2015, FR-SILC2016, FR-SILC2017, FR-SILC2018, FR-EMSD2-2019 , FR-EMSD2-2020, FR-EMSD2-2021, FR-EMSD2-2022, and FR-EMSD2-2023 which contain 2006, 2009, 2011, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022 and 2023 incomes. Thus the data year and policy years are aligned only in 2006, 2009, 2011, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022 and 2023. To account for any time inconsistencies between the input dataset and the policy year, a set of uprating factors is used. These factors typically correct for changes in the average incomes between the data year and the policy year or indexation rules. Separate factors are used for most income components. No attempt has been made to correct for demographic and other population changes between the data year and the policy year. The list of updating factors for the 2021 dataset as well as the sources used to derive them can be found in annex 1. Note however that in the case of simulated variables, the actual simulated amounts are used in the baseline rather than the uprated original variables in the dataset. Uprating factors for simulated variables are provided so as to facilitate the use of the model in cases when the user wishes to turn off the simulation of a particular variable.

3.6. Extended input data (with household expenditures for the simulation of consumption taxes)

For the simulation of consumption taxes, the model needs to be run with extended EUROMOD input files. They consist of the core EUROMOD input files based on EU-SILC or National SILC, extended with new variables (household-level income shares of expenditures by product) imputed from EU/National-HBS. The semi-parametric method implemented for the imputation follows the methodology developed by Akoğuz et al (2020).

Table 3.2 summarizes the major features of the most recent extended EUROMOD database used to be run with the policy systems of 2023-2025.

Extended EUROMOD database for the simulation of consumption taxes	SILC 202 – Income year 2023 – Expenditures from HBS 2015
EUROMOD database	FR_2024_c1_2024_03_e2

Year of collection (HBS) and source	HBS 2015
Year of collection (SILC) and source	SILC 2024
Coverage and sample size	17.305 Households (38.271 individuals)
Share of households with negative incomes excluded from the matching procedure	0.0020%

Source: Own elaboration

These extended EUROMOD files contain all the variables included in the standard EUROMOD input files plus the income shares of each consumption category included in HBS. For example, for countries with consumption disaggregation at 4 COICOP level (5 digits), there will be close to 200 additional variables, each one with the income shares of expenditure (household level) for that particular consumption category (e.g. starting from the income share of rice consumption: `xs_01111`; bread: `xs_01112`, and so on and so forth). The number of additional variables depends on the granularity available in HBS, and it varies across countries).

For the case of France, data `FR_2024_c1_2015_03_e2`, the number of variables included (income shares of expenditures, `xs_c*`) are 193, corresponding to the harmonized consumption categories defined at COICOP 2003 level 4 (five digits). Please note that, due to the lack of information in the HBS files distributed by Eurostat, there is no consumption reported at 5-digit COICOP level for the following 3-digit codes: CP022, CP054, CP096, CP103, CP124.

Positive consumption might exist for 3-digit or 4-digit levels, but EUROMOD uses only 5-digit values.

This database is an extension of the core EUROMOD input database, and so it is based on the same sample (i.e., same identifiers "idperson" and "idhh" to identify persons and households, respectively) and contains the same variables plus the income shares of expenditure (`xs_*` variables).

Validation HBS 2015 – Extended EM Input

In Table 3.3 we present the share of households' consumption expenditures by product (and total) captured in our matched databases (extended EM input files) with respect to the original reported expenditures in HBS. The column that refers to the same year (in this case, HBS 2015 with Extended EM Input 2015) directly depends on the quality of the imputation procedure, while the comparison across different years is influenced not only by the matching noise but also by the changes in population characteristics and in the underlining distribution of income. Therefore, the coverage displayed in the second column is just informative but is not and should not be used to evaluate nor validate the imputation procedure.

Information on the coverage of these simulated expenditures (coming from the imputation of HBS 2015 to more recent SILC-based data) with respect to the expenditures reported by National Accounts is included in section 4 of this report, together with the other macro-validation results.

Below we summarize the main findings from the imputation validation checks for France.

Table 3.3 Expenditure coverage of Extended EUROMOD Input files

COICOP group	HBS 2015 – Extended EUROMOD Input 2015 (%)	HBS 2015 – Extended EUROMOD Input 2024 (%)
1	86.7	95.3
2	49.1	51.5
3	97.4	103.9
4	101.9	101.8
5	96.7	104.0
6	92.6	101.8
7	96.2	113.0
8	103.2	120.3
9	80.3	83.1
10	62.9	89.4
11	90.9	93.7
12	83.0	89.9
Average	86.7	93.2

Source: Own elaboration using HBS 2015, 2015 SILC-based data, 2024 SILC based data

The original HBS data seems to be generally underestimating consumption figures over National Accounts (NA) for France, with a weighted average of aggregate expenses shares equal to 74.8%. However, the only first level COICOP groups deemed as severe underreported (> 30%) are: CP02, CP06 and CP11.

The matching process generally results in an additional underestimation of NA consumption coverage compared to the original HBS data (72.1%). The severe underreporting persist for the mentioned three COICOP categories (particularly worsening for CP02 but remaining similar for CP06 and CP11), as well as CP09, when comparing the HBS matched to SILC dataset to the NA.

Moreover, the matched SILC/HBS rates are in the acceptable range of 83.1%-120.3%, for all COICOP level 1 categories despite CP02. On the 3-digit COICOP level, the matching performs good, where we do not have deviations larger than 30%.

4. Validation

In this section we assess the accuracy of EUROMOD based estimates by reference to the following categories of groups of indicators:

1. (Non-Simulated) Market Incomes in the input dataset;
2. Simulated Taxes and Social Security contributions;
3. Simulated Benefits;
4. Simulated indicators of Income Distribution.

For each of these categories, we confront EUROMOD baseline estimates with readily available official statistics, for the period between 2022 and 2025. It is important to remark that unlike in the previous Country Report ('France 2021-2024'), EUROMOD baseline simulations for the 2022-2025 system years are produced using two different datasets: 2024 dataset for the 2023-2025 policy systems, and 2023 dataset for the 2022 policy system.

4.1. Aggregate Validation

The definition of disposable income used in EUROMOD differs slightly from the concept of disposable income calculated in SILC. More specifically, in EUROMOD we add income from private pension plans and since all taxes and benefits are calculated 'exactly' via simulation we disregard tax adjustment repayments. We also do not add the value of the company car to the final household disposable income.

4.1.1. Components of disposable income

Table 4.1 lists the income components included in EU-SILC and EUROMOD separately. Note that there are some slight differences in the two definitions.

Table 4.1 Definitions of disposable income in EU-SILC and EUROMOD

	EUROMOD ils_dispy	EU-SILC HY020
Employee cash or near cash income	+	+
Employer's social insurance contribution	0	0
Contributions to individual private pension plans	0	0
Cash benefits or losses from self-employment	+	+
Pension from individual private plans	+	0
Unemployment benefits	+	+
Old-age benefits	+	+
Survivor' benefits	+	+
Sickness benefits	+	+
Disability benefits	+	+
Education-related allowances	+	+
Income from rental of a property or land	+	+
Family/children related allowances	+	+
Social exclusion not elsewhere classified	+	+
Housing benefits	+	+
Regular inter-household cash transfer received	+	+
Interests, dividends, etc.	+	+
Income received by people aged under 16	+	+
Regular taxes on wealth	-	-
Regular inter-household cash transfer paid	-	-
Tax on income and social contributions	-	-
Repayments/receipts for tax adjustment	0	+
Company car	0	+

Notes: a value of 0 is used to denote that the respective income concept does not enter the calculation of household disposable income.

Source: Own elaboration

4.1.2. Validation of incomes

Table A3.1 in Annex 3 displays the number of recipients of original income sources both in EUROMOD and in external administrative data. Note that the concepts used in EUROMOD and in external statistics are slightly different. In EUROMOD, the number of employees/ self-employed is computed as the sum of all individuals who receive some employment/ self-employment income over the year. Instead, the external data refer to the numbers recorded at a given point in time, i.e. on the 31st of December of the corresponding year. As such, one should expect slightly higher figures in EUROMOD compared to administrative statistics. Indeed, this is the case for employment income. In the base year, the number of recipients is recorded to be approximately 12 % higher for employment in EUROMOD compared to the external benchmark in 2024. That is not the case for self-employment income where recipient are underestimated around 15 % in EUROMOD in 2023 (year of the last available external values).

Table A3.2 in Annex 3 repeats the same comparisons, but using amounts instead of number of recipients. EUROMOD values in this table refer to what we observe in EU-SILC in 2024 (income reference period 2023). Total employment income is underestimated in SILC compared to external statistics, suggesting, possibly, the inability of SILC to capture high income earners. Total self-employment income in SILC is also underestimated compared to the external figure, like investment income and income from public pensions. This may also be due to a mismatch between our external

statistics and EU-SILC data. The contribution on investment income changed in France. A significant portion of investment income from productive investments has been removed from taxation. Taxation is now largely focused on real estate assets and moved to IFI, *Impôt sur la fortune immobilière*.

Not all benefits and taxes are simulated in EUROMOD. Instead, when enough information to carry out a reliable simulation is lacking, these income components are taken directly from the underlying micro-data.

Table A3.3 displays the taxes and SIC number of payer, we can see that the number of tax household is slightly underestimated in EUROMOD around 4 % in 2022. This may be due to the fact that external values are for whole France (with overseas) instead of metropolitan France for EUROMOD.

Table A3.4 displays the taxes and SIC amounts. Income tax is underestimate by 6% in 2022 and by 2 % in 2023. We don't have yet the external values for 2024. The two taxes specific to the French system, CSG and CRDS, are also underestimated by 5% in 2024 in EUROMOD.

The simulated value of personal income tax revenues is generally more or less in line with external statistics. But keep in mind that there are a range of complex tax deductions and credits in France that we are unable to simulate. We simulate the most important ones relating to rental income, dividends, overtime pay and childcare but it is likely that we miss some deductions that are particularly important for those with high income. However, some important market income components (earnings, investment & property) are underreported in the data compared to external statistics.

Table A3.5 in Annex 3 compares the number of recipients of means-tested benefits and non-means-tested benefits in the EUROMOD baseline and EU-SILC to external administrative information. Note that not all benefits are simulated in EUROMOD. Instead, when enough information to carry out a reliable simulation is lacking, these income components are taken directly from the underlying micro-data.

The table reveals that SILC and EUROMOD accurately captures the number of old-age pensioners, with a minor underestimation of 4% in 2023. In contrast, the number of survivor and disability pensioners is significantly overestimated. It is probable that the external data used in the comparison do not adequately account for a significant proportion of individuals eligible for disability benefits in EUROMOD, potentially due to an overly restrictive definition of disability in the external data.

In EUROMOD, the number of recipients of universal child benefits is accurately estimated. However, means-tested educational allowance, family support allowance, means-tested benefit for young children and the means-tested birth grant are underestimated. The underestimation of the family support may be attributed to the low number of recipients of this benefit in the original SILC database, which could also be the case for other underestimated benefits with low beneficiary numbers. Additionally, the lack of information on alimony payments may contribute to these discrepancies.

The guaranteed minimum income (RSA) is quite well estimated in EUROMOD, considering that we apply non-take up adjustment. Comparing to external statistics, EUROMOD slightly overestimate by 8% the number of recipients in 2024. This is due to the inconsistency with respect the external statistics, which take into account all French territories instead of metropolitan France. Regarding

the number of people entitled to the activity allowance is well estimated in 2023 and overestimated by 12% in 2024. Finally, the number of recipients of the contributory unemployment benefit in EUROMOD is overestimated. This is entirely due to observed receipt in SILC (eligibility in EUROMOD is constructed as to reproduce observed receipt in the data). This can clearly be seen by the fact that simulated numbers and those derived from the original data are indeed very close. Since in SILC the contributory unemployment benefit is aggregated together with the means-tested one, it is possible that errors stemming from the disaggregation process are responsible for the overestimation.

Table A3.6 compares the benefits amounts simulated by EUROMOD, and imputed in SILC to external administrative information. Whereas survivor is clearly overestimated in EUROMOD, old-age pensions, disability pensions and universal child benefits are quite well estimated. Sickness benefits are also significantly underestimated in EUROMOD. Note that the EUROMOD variable contains more benefits than the external benchmarks (related to child disability, adoption, parental care etc.). It has not been possible to reconstitute exactly the EUROMOD variable using external administrative data.

In the case of the main means-tested benefit RSA, total amounts (including non-take-up adjustment) are underestimated by 14% in 2024. Households entitled to small amounts are less likely to claim the benefit. Total spending on contributory unemployment benefits is overestimated by 13% in 2023 as the activity allowance which is clearly overestimated.

4.1.3. Validation of outputted (simulated) expenses

The validation of simulated expenditures used to model consumption taxes includes two types of comparisons:

1. Simulated household consumption expenditures compared to expenditures collected by National Accounts (NA) of that same year.
2. Simulated consumption taxes (based on NA-adjusted simulated expenditures) compared to administrative data on consumption tax revenues.

Table A3.9 and A3.10 show the validation of consumption taxes related amounts. The top part of table A3.9 compares expenditures aggregated amount from EUROMOD simulations with NA external statistics as reported by EUROSTAT. As discussed in session 3.5, coicop level 1 categories are under-reported already in the French HBS, specially 02 Alcoholic beverages, tobacco, etc. and 06 Health. Hence it is not surprising that the aggregated simulated values are also under-simulated w.r.t. NA. There is a break in the Excises series from NA in 2024, hence the external values are not included in this year. The second part of Table A3.9 compares aggregate revenues from consumption taxes (i.e. VAT and excises) to external statistics from EUROSTAT. The bottom part of the table shows simulated aggregate revenue for some category of interest such as alcoholic drinks, tobacco and energy products. In France both revenue from VAT and excises are undersimulated. The simulation captures less than half of the revenue from consumption taxes. When looking at consumption taxes on specific items, the simulation significantly underestimates the government revenue on these products. These discrepancies are partly due to the fact that the survey data underpinning the CT simulation are based on consumers declared consumption that may differ from the actual consumption (e.g. people misreport about how much they smoke and drink). To correct for this problem, EUROMOD provides also adjusted consumption aggregates,

where the calibration/correcting factor is the ratio between NA aggregated expenditures and EM aggregated simulated expenditures level 1 at baseline.

Effectively NA adjustment scales-up (or down) consumption and tax liabilities of all individuals. Table A3.10 compares annual Government revenue from consumption taxes after applying calibration to NA. Consumption tax revenues simulated in France for private households in 2024 sum up to 134,337 million euros for VAT and 27,576 million euros for excises. As a result about 65% of aggregate VAT revenues are simulated in EUROMOD in 2024, while the model captures 58% of the revenue from excises after calibration in 2023 (2024 external values not mentioned due to the break in the series). There might be various reasons for these discrepancies. The major one being that several groups that pay significant amounts of VAT are not covered in HBS. Among these groups are government and third sector, hospitals and business enterprises such as financial companies that are themselves exempt from VAT but have to pay the input VAT from all previous production stages and private households explicitly not covered by the HBS, such as people in dormitories, jails, or retirement homes (although the latter are not such big spenders). When looking at specific items at lower coicop details, the calibration also improves the estimation of government revenue although some differences w.r.t. official statistics remain higher than 50%.

4.2. Income distribution

All income distribution results presented here are computed for individuals according to their household disposable income (HDI) equivalised by the “modified OECD” equivalence scale. HDI are calculated as the sum of all income sources of all household members net of income tax and social insurance contributions. The weights in the OECD equivalence are: first adult=1; additional people aged 14+ = 0.5; additional people aged under 14 = 0.3.

4.2.1. Income inequality

Several inequality indicators as obtained in EUROMOD are compared with external benchmarks in Table A3.7 in Annex 3. The external figures come from the EUROSTAT's statistics database. The table shows that median and mean disposable incomes are rather well aligned in 2022 and 2023 with a very slight underestimation (2 or 3 %). Overall inequality, as expressed by the Gini coefficient and the S80/S20 ratio, is slightly underestimated in EUROMOD when information is available. Finally the comparison of decile shares indicates that income is rather well aligned in EUROMOD for D3 to D10, while the bottom of the distribution is overestimation around 18 % for D1 and 4 % for D2 in 2023 (respectively 20 and 4% in 2022). There may be several possible explanations for the noted discrepancies. First, note that no adjustments to socio-demographic variables are made in EUROMOD in situations where the policy year does not correspond to the data year. In particular, no adjustment is made for changes in employment and unemployment that have taken place between the base year and the policy year. Second, it is possible that the uprating factors used to account for changes in incomes are not capturing changes in the income distribution. More specifically, uprating factors are based on changes in average income components. If however incomes are rising faster at the top compared to the bottom, this would both increase inequality and not be captured in the change in averages.

4.2.2. Poverty rates

At-risk of poverty rates using various poverty thresholds are shown in Table A3.8 in Annex 3, both in total and by gender, and by age group for the 60 % of the median threshold. Poverty is underestimated in EUROMOD, both for men and for women, when using lower poverty thresholds. Using higher poverty thresholds, poverty rates estimated by EUROMOD are closer to external benchmarks. This suggests that non-take up of some means-tested benefits or administrative errors in the implementation of these benefits may play a role which EUROMOD cannot adequately capture. Only the non-take-up of general social assistance (*RSA*, Activity allowance) and Activity Allowance are simulated in EUROMOD. Moreover, non-take up is simulated to be random. If marginalized, peripheral groups are less likely to claim benefits to which they are theoretically entitled, and therefore incomes at the bottom will be inflated in EUROMOD.

4.3. Summary of “health warnings”

Several things should be kept in mind when interpreting EUROMOD results:

- Employment income appears to be underreported in SILC compared to external benchmarks
- Similarly, some other types of incomes such as sickness benefits, investment and property incomes are lower in SILC compared to external information
- Accurate simulation of the parental leave benefit (CLCA) was not possible given available information in SILC. However, both the amount of benefits and number of recipients appear to be close to external statistics
- Non-take-up of the main social assistance benefits (*RSA*, activity allowance) is simulated to be random. Non-take-up however is most likely to be non-random. Comparisons between results obtained in EUROMOD and external benchmarks suggest that households entitled to lower amounts are less likely to claim
- Simulation of eligibility for the contributory unemployment insurance benefit (*ARE*) is inaccurate due to the quality of data in SILC
- Eligibility for the means-tested solidarity allowance for the elderly (*ASPA*) and means-tested unemployment assistance benefits (*ASS*) is simulated based on observed receipt in the data
- Overall, inequality based on EUROMOD simulated incomes is lower. Poverty rates, especially when calculated using low poverty thresholds, are underestimated
- The simulation of monetary compensation schemes is triggered by the simulation of labour market transitions defined in policy TransLMA_cc. This policy becomes operational if the model is run in conjunction with the LMA add-on. The nature of these simulations only partially validated. Users are encouraged to refer to the “Simulating labour market transitions in EUROMOD” document prior to their use.
- Labour market transitions are switched OFF in EUROMOD baselines. As a consequence, the simulation of monetary compensation schemes does not produce any effect in baseline simulations. Since all policies not linked to labour market transitions are fully functional, it is possible for disposable income in 2020 to be higher than disposable income in previous years.

- The simulation of consumption taxes sensitively depends on the quality of the match of the extended EUROMOD files, as well as on the frequency of this data and the gaps between the input data files and the policy systems. At this point, the most recent HBS data available for all countries (EU-HBS) is 2015.
- When the user runs a policy system year (e.g., 2025) that does not coincide with the incomes reported in the SILC-data used (e.g., 2024, with reported incomes from 2023), expenditures in EUROMOD are simulated under the constant income shares assumption (by default). This is because the income shares of expenditure included in the extended input files are not updated and remain constant regardless of the policy system that is used for the simulation. This means that a household that spends 10% of its income in food (e.g. the sum of all the `xs_1*` variables, i.e. `xs01111`, `xs01112`, and so on and so forth, is 0.10) will still spend 10% of their income in 2025, regardless of the change in incomes driven by the uprating factors and tax-benefit changes. This implicitly assumes an income elasticity of one.

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List of abbreviations and definitions

Abbreviations	Definitions
AAH	Allocation aux adultes handicaps
AEEH	Allocation d'Education de l'Enfant Handicapé
AF	Allocations Familiales
AFA	<u>Agence Francaise de l'adoption</u>
AGFF	Association pour la Gestion du Fonds de Financement
AGIRC	Association Générale des Institutions de Retraite des Cadres
AL	Allocation logement
ALF	Allocation de logement familiale
ALS	Allocation de logement sociale
APE	Allocation parentale d'éducation
APEC	Association pour l'emploi des cadres
APL	Aide personnalisée au logement
ARRCO	Association pour le Régime de Retraite Complémentaire des Salariés
ARS	Allocation de rentrée scolaire
ASF	Allocation de soutien Familial
ASPA	Allocation de solidarité aux personnes âgées
ASS	Allocation de solidarité spécifique
AV	Allocation veuvage
BCA	Benefit Calibration Adjustment
BSA	Social Assistance Benefit

Abbreviations	Definitions
BTA	Benefit Take-up Adjustment
CASA	Contribution Additionnelle de Solidarité pour l'Autonomie
CCMSA	Caisse Centrale de la Mutualité Sociale Agricole
CDHR	Contribution différencielle sur les hauts revenus
CEG	Contribution d'Équilibre Général
CEHR	Contribution Exceptionnelle sur les Hauts Revenus
CF	Complément familial
CIA	Consumption Inflation Adjustment
CICE	Crédit d'impôt pour la compétitivité et l'emploi
CLCA	Complément de libre choix d'activité
CLEISS	Centre des Liaisons Européennes et Internationales de Sécurité Sociale
CNAF	Caisse Nationale des Allocations Familiales
COICOP	Classification Of Individual CONsumption according to Purpose
CPAM	Caisse Primaire d'Assurance Maladie
CPI	Consumer Price Index
CRDS	Contribution pour le Remboursement de la Dette Sociale
CSA	Contribution Solidarité Autonomie
CSG	Contribution Sociale Généralisée
CT	Consumption Taxes
DG	Directorate-General

Abbreviations	Definitions
DRD	Data Requirement Document
DREES	Direction de la Recherche, des Études, de l'Évaluation et des Statistiques
DG ECFIN	European Commission Directorate-General for Economic and Financial Affairs
EM	EUROMOD
DG EMPL	Directorate-General for Employment, Social Affairs and Inclusion
EMSD	EUROMOD SILC Database
ESTAT	Eurostat
EU	European Union
EUR	Euro
FNAL	Fonds National d'Aide au Logement
FR	France
FYA	Full Year Adjustments
GDP	Gross Domestic Product
HBS	Household Budget Survey
HDI	Household Disposable Income
HICP	Harmonised Index of Consumer Prices
INSEE	Institut National de la Statistique et des Études Économiques
IRPP	Impôt sur le Revenu des Personnes Physiques
ISER	Institute for Social and Economic Research

Abbreviations	Definitions
ISF	Impôt de solidarité sur la fortune
JRC	Joint Research Centre
LFS	Labour Force Survey
LMA	Labour Market Adjustment
MV	Minimum vieillesse
NA	National Account
NRR	Net Replacement Rate
NSI	National Statistical Institute
OECD	Organisation for Economic Co-operation and Development
PAJE	Prestation d'accueil du jeune enfant
PAYG	Pay-as-you-go
PDB	Production Database
PSS	Plafond de la Sécurité Sociale
QF	Quotient Familial
REFORM	European Commission Reform and Investment Task Force
RLS	Réduction du loyer de solidarité
RNG	Revenu Net Global
RSA	Revenu Solidarité Active
SG	Secretariat-General
SIC	Social Insurance Contributions
SILC	Statistics on Income and Living Conditions

Abbreviations	Definitions
SJR	Salaire Journalier de Référence
SMIC	Salaire Minimum Interprofessionnel de Croissance
SRCV	Statistiques sur les Ressources et Conditions de Vie
TAXUD	European Commission Directorate-General for Taxation and Customs
TICFE	Taxe Intérieure sur la Consommation Finale d'Électricité
TICPE	Taxe Intérieure de Consommation sur les Produits Énergétiques
TVA	Taxe sur la valeur ajoutée
UAA	Uprating by Average Adjustment
UB	Unemployment Benefits
UDB	User Database
VAT	Value Added Tax

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List of Annexes

Annex 1. Uprating Factors

Table A1.1 Uprating Factors

Income component	Uprating factor name	2022	2023	2024	2025	Source
Harmonized Indices of Consumer Prices (HICP)	\$f_hicp	114.04	120.5	123.29	124.40	Eurostat / Harmonized Indices of Consumer Prices (HICP);- HICP (2015=100) - Monthly data (prc_hicp_midx) http://appsso.eurostat.ec.europa.eu/nui/show.do?dataset=prc_hicp_midx&lang=en EUROSTAT; AMECO Autumn forecast for 2022 values
Harmonized Indices of Consumer Prices (HICP)	\$f_hicp	131.89	139.35	142.58	143.92	Eurostat / Harmonized Indices of Consumer Prices (HICP);- HICP (2005=100) - Monthly data (prc_hicp_midx) http://appsso.eurostat.ec.europa.eu/nui/show.do?dataset=prc_hicp_midx&lang=en
Average annual net full-time equivalent salary - All salaried workers	\$f_yem	30 718	31 902	32 885	33 743	INSEE IdBank 001665118 http://www.bdm.insee.fr/bdm2/affichageSeries?request_locale=en&anneeDebut=2007&codeGroupe=1475&recherche=criteres&idbank=001665118&anneeFin=2012
Average annual net full-time equivalent salary - First quartile	\$f_yem_q1	19 422	20 368	20 996	21 543	INSEE IdBank http://www.bdm.insee.fr/bdm2/affichageSeries?anneeDebut=2007&anneeFin=2012&recherche=criteres&codeGroupe=1476&idbank=001665118&idbank=001665121&idbank=001665124&idbank=001665127&idbank=001665130&idbank=001665133&idbank=001665136&idbank=001665139&idbank=001665143&idbank=001665146&idbank=001665148
Average annual net full-time equivalent salary - Second quartile	\$f_yem_q2	24 515	25 569	26 357	27 044	INSEE IdBank 001665127 http://www.bdm.insee.fr/bdm2/affichageSeries?anneeDebut=2007&anneeFin=2012&recherche=criteres&codeGroupe=1476&idbank=001665118&idbank=001665121&idbank=001665124&idbank=001665127&idbank=001665130&idbank=001665133&idbank=001665136&idbank=001665139&idbank=001665143&idbank=001665146&idbank=001665148

Income component	Uprating factor name	2022	2023	2024	2025	Source
Average annual net full-time equivalent salary -	\$f_yem_q3	33 797	35 147	36 230	37 175	INSEE IdBank 001665130 http://www.bdm.insee.fr/bdm2/affichageSeries?anneeDebut=2007&anneeFin=2012&recherche=criteres&codeGroupe=1476&idbank=001665118&idbank=001665121&idbank=001665124&idbank=001665127&idbank=001665130&idbank=001665133&idbank=001665136&idbank=001665139&idbank=001665143&idbank=001665146&idbank=001665148
Third quartile						
Gross wages and salaries (totals from AMECO)	\$f_yem_ Ameco	1061.3	1116.1	1150.5	1180.50	DG ECFIN/AMECO, household and NPISH/revenue/gross wages and salaries (Mrd euros) http://ec.europa.eu/economy_finance/ameco/user/serie/ResultSerie.cfm
Inflation rate (from INSEE)	\$f_cpi	112.09	117.60	119.93	119.84	INSEE IdBank 0001765178 http://www.bdm.insee.fr/bdm2/affichageSeries?idbank=001765178&bouton=OK&codeGroupe=1743
Rent reference index (RRI) - Base 100 on the 4th quarter of 1998	\$f_rri	135.82	140.57	144.45	145.98	INSEE IdBank 001515333 http://www.insee.fr/en/bases-de-donnees/bsweb/serie.asp?idbank=001515333
Monthly average amount per retired person	\$f_poa	1626	1666	1754.30	1792.89	INSEE http://www.insee.fr/fr/themes/tableau.asp?reg_id=0&ref_id=NATTEF04571 http://drees.social-sante.gouv.fr/etudes-et-statistiques/publications/panoramas-de-la-drees/article/les-retraites-et-les-retraites-edition-2017
Monthly base for family benefits	\$f_bfa	428.86	444.24	466.44	474.37	http://www.dalloz-actualite.fr/indice/base-mensuelle-de-calcul-des-prestations-familiales.VSfD45PK-AB
Basic AF amount	\$f_bch00	136.55	141.45	146.89	151.05	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic CF amount	\$f_bchlg	177.73	183.41	190.95	196.59	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations

Income component	Uprating factor name	2022	2023	2024	2025	Source
Basic PAJE amount	\$f_bchyc	184.62	184.62	184.62	184.62	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic ARS amount	\$f_bched	382.85	396.58	416.4	423.46	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic Baby Bonus amount	\$f_bchba	985.30	1020.66	1066.31	1084.44	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic BMAF amount	\$f_bchot	428.86	444.24	466.44	474.37	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Maximum amount of AAH	\$f_bdi	934.19	967.69	1016.05	1033.32	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic AV amount	\$f_bsuwd	644.80	662.7	697.82	713.17	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic RSA amount	\$f_bsa00	584.48	605.45	628.71	646.52	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic Activity allowance	\$f_bsawk	575.33	595.97	622.63	633.21	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Basic ASPA amount	\$f_bsaoa	935.11	961.08	1012.02	1034.28	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Rent reference level for AL	\$f_bho	264.05	268.87	278.28	290.34	https://www.caf.fr/allocataires/aides-et-demarches/droits-et-prestations
Average net full-time salary in the PREVIOUS year	\$f_yempv	29 569	30 718	31 902	32 885	INSEE IdBank 001665118 http://www.bdm.insee.fr/bdm2/affichageSeries?request_locale=en&anneeDebut=2007&codeGroupe=1475&recherche=criteres&idbank=001665118&anneeFin=2012
Average disposable income (per hh)	\$f_yds	44 718	47 027	48 477	49 741	INSEE https://www.insee.fr/fr/statistiques/2412465#tableau-Donnes

Income component	Uprating factor name	2022	2023	2024	2025	Source
Pension indexation rules	\$f_poa_index	105.92 ⁹	106.77	112.42	114.9	INSEE IdBank 0001765178 http://www.bdm.insee.fr/bdm2/affichageSeries?idbank=001765178&bouton=OK&codeGroupe=1743
Change in average investment and property income (2006=base)	\$f_yiy	1.173	1.190	1.204	1.211	Revenu de la propriété reçus diminués des revenus versés. http://www.insee.fr/fr/ffc/docs_ffc/ref/revpmen11h.pdf
Basic daily rate for ASS	\$f_bunmt	17.55	18.17	19	19.33	Based on the ASS daily amount
Total amount of ISF collected (billions)	\$f_twl	2.3	2.3	2.7	2.73	Based on the total amount of ISF (Impôt de solidarité sur la fortune) collected: https://www.insee.fr/fr/statistiques/2381408#tableau-Donnes
Total amount of TF collected (billions)	\$f_tpr	37.3	41.1	42.90	43.30	Based on the total amount of TF (taxe foncière) collected https://www.insee.fr/fr/statistiques/2381408#tableau-Donnes
Total amount of TH collected (billions)	\$f_tmu	5.5	2.80	3.30	3.33	Based on the total amount of TH (taxe d'habitation) collected https://www.insee.fr/fr/statistiques/2381408#tableau-Donnes
Total amount of IRPP collected (billions)	\$f_tin	95.99	96.89	96.16	97.06	Based on total amount of IRPP https://www.insee.fr/fr/statistiques/2381408#tableau-Donnes

⁹ Reflects the increase on pensions on July 1st by 4% on July 1 : $(103.8419448 \times 1.04 + 103.8419448) / 2 = 105.9188$

Income component	Uprating factor name	2022	2023	2024	2025	Source
Annual national accounts- GDP Current price	\$f_gdp	2 545 145	2 581 775	2 612 510	2 628 185	INSEE IdBank 001690355 http://www.bdm.insee.fr/bdm2/affichageSeries?request_locale=en&codeGroupe=1560&idbank=001690355&bouton=OK 2016 & 2017:GDP :Based on forecasted GDP growth (https://ec.europa.eu/info/sites/info/files/wf2017_statistical_annex_0.pdf)
Average hourly wage, Agriculture and Fishing (lindi = 1), units of national currency	\$f_hourly_wage_lindi_1	16.8367	17.1645	17.2893	17.7228	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Mining, Manufact. and Utilities (lindi = 2), units of national currency	\$f_hourly_wage_lindi_2	28.6321	29.6895	30.5480	31.3140	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Construction (lindi = 3), units of national currency	\$f_hourly_wage_lindi_3	26.8433	27.6572	28.2679	28.9768	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Wholesale and retail (lindi = 4), units of national currency	\$f_hourly_wage_lindi_4	24.6772	25.6197	26.0859	26.7400	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Hotels and restaurants (lindi = 5), units of national currency	\$f_hourly_wage_lindi_5	20.5063	21.2506	21.6856	22.2293	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Transport and communication (lindi = 6), units of national currency	\$f_hourly_wage_lindi_6	31.8097	32.9733	33.7552	34.6017	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.

Income component	Uprating factor name	2022	2023	2024	2025	Source
Average hourly wage, Financial intermediation (lindi = 7), units of national currency	\$f_hourly_wage_lindi_7	37.4448	39.1927	40.0965	41.1019	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Real estate and business (lindi = 8), units of national currency	\$f_hourly_wage_lindi_8	29.0849	30.0963	30.7867	31.5587	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Public administ. and defence (lindi = 9), units of national currency	\$f_hourly_wage_lindi_9	26.3975	27.3379	27.9863	28.688	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Education (lindi = 10), units of national currency	\$f_hourly_wage_lindi_10	31.6877	33.1393	33.7568	34.6032	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Health and social work (lindi = 11), units of national currency	\$f_hourly_wage_lindi_11	24.758	26.1189	26.753	27.4239	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2022 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wage, Other (lindi = 12), units of national currency	\$f_hourly_wage_lindi_12	22.6167	23.4225	23.6789	24.2726	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.
Average hourly wages (total wages / total hours)	\$f_hourly_wage_e	27.3475	28.413	29.0428	29.7711	Computed from ESTAT tables nama_10_a64 (wages) and nama_10_a64_e (hours worked) up to 2019. The values for 2020-2024 are computed by multiplying the value of the previous year by the yearly increase of nominal compensation per employee, total economy, from AMECO.

Annex 2. Policy Effects in 2024-2025

Table A2.1 and Figure A2.1 show the changes in mean equivalised household disposable income induced by policy changes between 2024 and 2025, by income component and income decile group. The effect is computed as the difference between equivalised household disposable income under the 2025 tax-benefit policies (deflating monetary parameters by projected Eurostat's Harmonized Index of Consumer Prices, HICP available in the autumn 2025) and that simulated under 2024 policies, as a percentage of mean equivalised household disposable income in 2024.

The results presented in Figure A2.1 and Table A2.1 are interpreted in real terms, which already incorporates how inflation eroded the real value of the increases in social benefits and pensions between 2024 and 2025. The HCPI growth was milder in 2025 (equal to 1%) regarding the previous years, and, in this way, the policy changes occurring in 2025 more than compensated the inflation income erosion impact, leading to an increase of 0.44% of households' disposable income, with the bottom income deciles recording the greatest increases (of 0.78% in the two first deciles and 0.81% for the third). The largest effects are due to the increase in public pensions (+0.31% of total disposable income), in means-tested benefits (+0.09% of the total disposable income) and, for a little part, to non-means-tested benefits (+0.03%). The increase in income tax brackets (+1.8%) led to a slight reduction in direct taxes and helped to increase disposable income by a total of 0.02%. Several measures have been taken to compensate the inflation, such as an increase in the minimum wage (+ 2%), in the PSS (+ 1.6%), in social benefits (which were increased by 1.7% in April), pensions (+2.2%), housing benefits (+1.04%) and in the unemployment benefit (+ 0.5%). All these measures permit to the overall rise in disposable income, especially for the poorest who are the most impacted.

In distributive terms, the policy changes in 2025 have led to the increase in disposable income for all deciles, but more significant for the lowest deciles (+ 0.78% for D1 and D2, +0.81% for D3, and so on, D9 and D10 have the smallest rises (+0.35 for D9 and +0.16% for D10), which is mainly due to the increase in social benefits and public pensions.

Public pensions were revalued by a 2.2% from January 2025. This increment is above inflation, and then has contributed to the rise in disposable income for all deciles, from 0.18% for D1 to +0.16% for D10. Decile D2 to D7 are the most affected by the increase in the real value of pensions (between +0.35 to +0.44 % of increase in pensions income, the most important increase concern D3 with +0.44%). For D8 and D9, the increase in public pension goes from +0.31% for D8 to +0.30% for D9.

The changes in means-tested benefits had a positive impact on disposable income of all deciles, but more strongly for the poorest with +0.52% for D1, +0.27% for D2, +0.20% for D3 and +0.18% for D4. The percentage gradually decreases as the deciles increase. From D5, the increase in disposable income is less significant (+0.08 for D5-D6 and +0.06 for D7), and finally, changes in means-tested benefits have lesser impact on the last three deciles (+0.03 for D8, +0.02 for D9 and +0.01 for D10).

The slight changes in non-means-tested benefits have also had a much greater positive impact on the lowest deciles than on the upper deciles (+0.07 % for D1 compared with +0.01 for D10). The low indexation of inflation of the unemployment benefit (+0.5% in 2025) could explain part of the low disposable income increase in non-means-tested benefits for the lower deciles, who are more dependent from those types of social insurance. This also could be an impact of the reduction of the duration of indemnisation for 53 years old and more jobseekers.

The stability of employees SIC and self-employed SIC has no impact on disposable income. The impact of the reduction of the ceiling for daily sickness benefits, which leads to a reduction in the remuneration taken into account for the calculation of the sickness daily allowance, seems to be low or to have been absorbed by the other measures that have increased disposable income.

Direct taxes were reduced for all deciles (except for D10 with a reduction of their disposable income around -0.01%), from +0.01 for D1, +0.10 for D2 and +0.14 for D3. Compared to 2024, where the largest increase in disposable income due to direct taxes was concentrated among the higher classes, the introduction of the exceptional differential tax on high incomes leads to reduce the advantages of the direct taxation for these deciles, with no impact of the direct taxes on disposable income or a very little impact +0.01% from D7 to D9 and a slight negative impact for D10.

The erosion of inflation on the real value of the increase in social benefits is verified by comparing Table A2.1 and Table A2.2, where the policy effects interpreted in real terms and nominal terms.

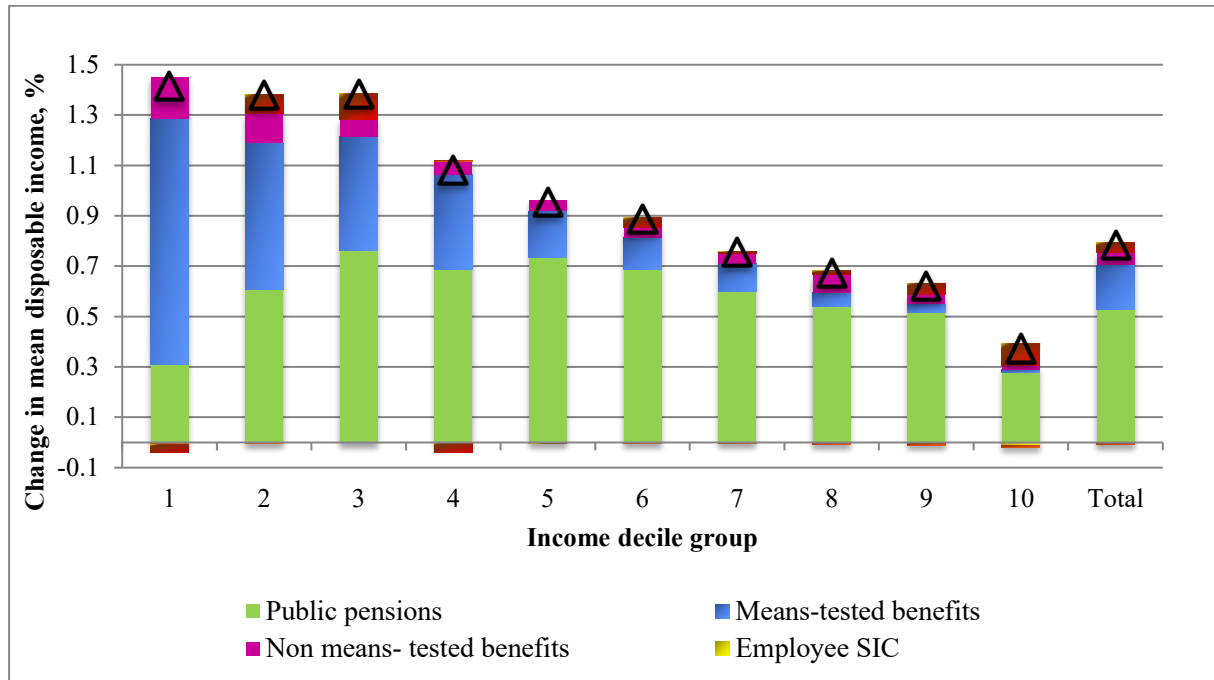
Table A2.1 Policy effects in France in 2024-2025, using the CPI-indexation (CPI = 1.0091), %

Decile	Original income	Public pensions	Means-tested benefits	Non means-tested benefits	Employee SIC	Self-employed SIC	Other SIC	Direct taxes	Disposable income
1	0,00	0,18	0,52	0,07	0,00	0,00	0,00	0,01	0,78
2	0,00	0,35	0,27	0,06	0,00	0,00	0,00	0,10	0,78
3	0,00	0,44	0,20	0,03	0,00	0,00	0,00	0,14	0,81
4	0,00	0,40	0,18	0,02	0,00	0,00	0,00	0,00	0,59
5	0,00	0,42	0,08	0,02	0,00	0,00	0,00	0,03	0,55
6	0,00	0,40	0,08	0,02	0,00	0,00	0,00	0,06	0,55
7	0,00	0,35	0,06	0,03	0,00	0,00	0,00	0,01	0,44
8	0,00	0,31	0,03	0,06	0,00	0,00	0,00	0,00	0,40
9	0,00	0,30	0,02	0,03	0,00	0,00	0,00	0,01	0,35
10	0,00	0,16	0,01	0,01	0,00	0,00	0,00	-0,01	0,16
Total	0,00	0,31	0,09	0,03	0,00	0,00	0,00	0,02	0,44

Notes: Shown as a percentage change in mean equivalised household disposable income by income component and income decile group. Income decile groups are based on equivalised household disposable income in 2023, using the modified OECD equivalence scale. Each policy system has been applied to the same input data, deflating monetary parameters of 2024 policies by Eurostat's Harmonized Index of Consumer Prices (HICP).

Source: Own elaboration using the Policy Effects tool embedded in EUROMOD.

Figure A2.1 Policy effects in 2024-2025, using the CPI-indexation (CPI = 1. 0091), %



Source: Own elaboration using the Policy Effects tool embedded in EUROMOD.

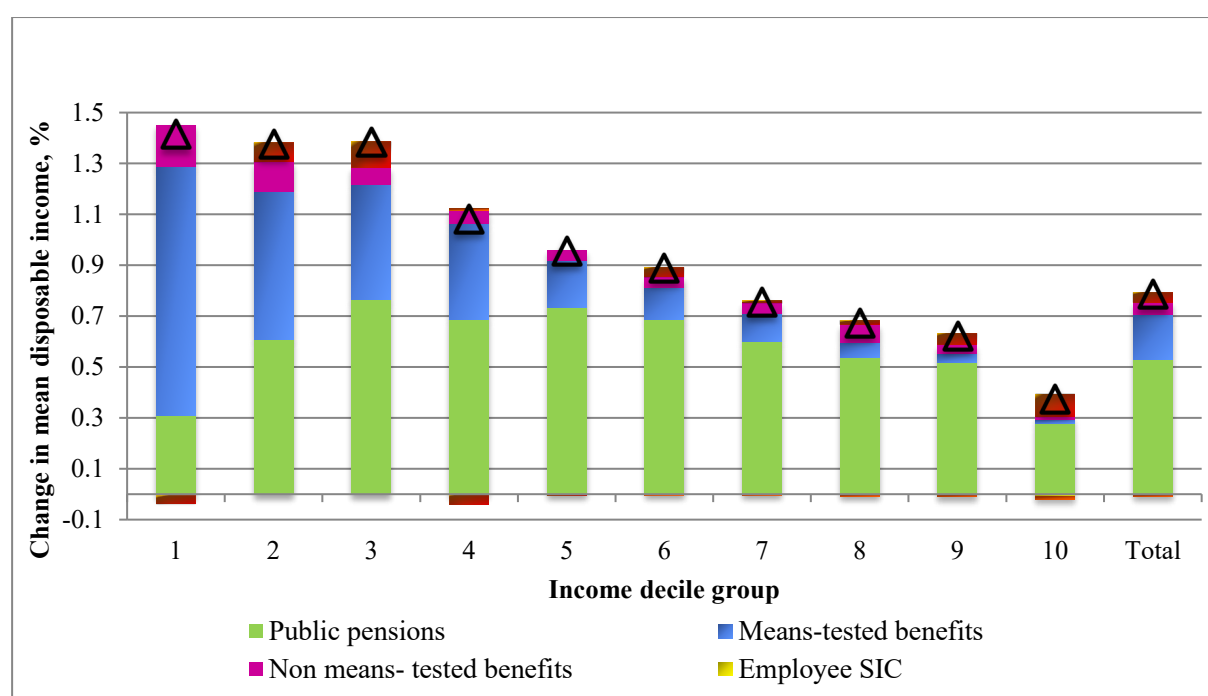
Table A2.2 Policy effects in France in 2024-2025 (Nominal terms)

Decile	Original income	Public pensions	Means-tested benefits	Non means-tested benefits	Employee SIC	Self-employed SIC	Other SIC	Direct taxes	Disposable income
1	0,00	0,31	0,98	0,16	0,00	-0,01	0,00	-0,03	1,41
2	0,00	0,61	0,58	0,12	0,00	0,00	0,00	0,07	1,38
3	0,00	0,76	0,45	0,07	0,00	0,00	0,00	0,10	1,38
4	0,00	0,69	0,38	0,05	0,00	0,00	0,00	-0,04	1,08
5	0,00	0,73	0,19	0,04	0,00	0,00	0,00	0,00	0,96
6	0,00	0,69	0,13	0,04	0,00	0,00	0,00	0,04	0,89
7	0,00	0,60	0,11	0,04	0,00	0,00	0,00	0,01	0,76

8	0,00	0,54	0,06	0,07	0,00	0,00	0,00	0,01	0,67
9	0,00	0,52	0,03	0,04	0,00	-0,01	0,00	0,04	0,62
10	0,00	0,28	0,01	0,01	-0,01	-0,01	0,00	0,09	0,37
Total	0,00	0,53	0,18	0,05	0,00	0,00	0,00	0,04	0,79

Source: Own elaboration using the Policy Effects tool embedded in EUROMOD.

Figure A2.2 Policy effects in 2024-2025, (Nominal terms)



Source: Own elaboration using the Policy Effects tool embedded in EUROMOD.

Annex 3. Validation Tables

Table A3.1 Validation Tables

Table A3.1. Original income in EUROMOD - Number of recipients (thousands)

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Earnings (ils_earn)													
Self-employment income (yse)	N	2,689	2,857	2,857	2,857	3,275	3,349	NaN	NaN	0.82	0.85	NaN	NaN
Regular hours employment income (yem00)	N	30,268	30,261	30,261	30,261	26,844	26,998	27,136	NaN	1.13	1.12	1.12	NaN
Overtime pay (yemxp)	N	13,774	13,339	13,339	13,339	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Covid-19 compensation paid by the firm (yemmc_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other original income (ils_origy - ils_earn)													
income from private pensions (ypp)	N	403	0	0	0	1,610	1,730	NaN	NaN	0.25	0.00	NaN	NaN
income from investments (yiy)	N	38,129	39,508	39,508	39,508	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
income from rent (ypr)	N	7,599	7,774	7,774	7,774	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
income received by children under 16 (yot)	N	1,107	1,104	1,104	1,104	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
income received through private transfers (ypt)	N	2,529	2,647	2,647	2,647	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
maintainance payments (xmp)	N	6,009	5,955	5,955	5,955	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

... continued **Table A3.1**

	Source	Comments
Earnings (ils_earn)		
Self-employment income (yse)	https://www.insee.fr/fr/statistiques/5371304) et application des taux de variation pour les années non disponibles - (note de conjonture Inse "reprise sous contrainte" p46: https://www.insee.fr/fr/statistiques/6005764	-
Regular hours employment income (yem00)	beneficiaries : https://www.insee.fr/fr/statistiques/2424696#tableau-figure1 amounts: https://www.insee.fr/fr/statistiques/2830244#tableau-figure1_radio1	-
Overtime pay (yemxp)	-	-
Covid-19 compensation paid by the firm (yemmc_s)	-	-
Other original income (ils_origy - ils_earn)		
income from private pensions (ypp)	https://drees.solidarites-sante.gouv.fr/publications-documents-de-referance/panoramas-de-la-drees/les-retraites-et-les-retraites-edition	individual private insurance plans independently of their employers
income from investments (yiy)	https://www.insee.fr/fr/statistiques/5371304	-
income from rent (ypr)	https://www.insee.fr/fr/statistiques/5371304	-
income received by children under 16 (yot)	-	-
income received through private transfers (ypt)	-	-
maintenance payments (xmp)	-	-

Source: Own elaboration.

Table A3.2. Original income in EUROMOD - Annual amounts (millions)

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Earnings (ils_earn)													
Self-employment income (yse)	N	85,087	84,803	86,683	88,857	131,800	137,300	138,055	NaN	0.65	0.62	0.63	NaN
Regular hours employment income (yem00)	N	830,534	871,794	891,006	913,348	1,019,600	1,070,800	1,122,198	1,137,909	0.81	0.81	0.79	0.80
Overtime pay (yemxp)	N	145,480	151,257	154,731	158,611	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Covid-19 compensation paid by the firm (yemmc_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other original income (ils_origy - ils_earn)													
income from private pensions (ypp)	N	773	0	0	0	1,600	NaN	NaN	NaN	0.48	NaN	NaN	NaN
income from investments (yiy)	N	87,165	114,668	116,017	116,692	115,400	136,500	144,281	143,992	0.76	0.84	0.80	0.81
income from rent (ypr)	N	38,151	39,220	40,301	40,728	224,000	262,000	NaN	NaN	0.17	0.15	NaN	NaN
income received by children under 16 (yot)	N	214	236	236	236	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
income received through private transfers (ypt)	N	8,205	9,227	9,431	9,668	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
maintainance payments (xmp)	N	20,057	19,584	20,037	20,226	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

Table A3.3. Direct taxes and SIC - Number of payers (thousands)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Direct taxes (ils_tax)																					
Personal income tax (IRPP) (tin_s)	Y	17,466	19,621	19,272	19,410	33,181	33,453	33,453	33,453	0.53	0.59	0.58	0.58	18,245	18,674	NaN	NaN	0.96	1.05	NaN	NaN
Property taxes (tpr)	N	27,635	27,249	27,249	27,249	27,635	27,249	27,249	27,249	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Generalized social contributions (CSG) (tscxc_s)	Y	48,386	48,605	48,599	48,553	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Contributions for debt repayment (CRDS) (tscdf_s)	Y	50,404	50,295	50,295	50,295	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Social insurance contributions on capital income (tsckt_s)	Y	38,347	39,726	39,726	39,726	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Exceptional contributions on high income earners (CEHR) (tinto_s)	Y	27	42	45	51	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Differential contribution on high income (CDHR) (tinto01_s)	Y	0	0	0	9	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Wealth tax (ISF) (twl)	N	17,812	28,235	28,235	28,235	28,881	28,235	28,235	28,235	0.62	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Residential tax (TH) (tmu)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Employee Social Insurance Contributions (ils_sicee)		30,268	30,261	30,261	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	26,844	26,998	27,136	NaN	1.13	1.12	1.12	NaN
Sinckness insurance contributions (tsceesi_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Pension insurance contributions (tscepi_s)	Y	30,268	30,261	30,261	30,261	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Unemployment insurance contributions (tsceui_s)	Y	12,827	13,333	13,342	13,346	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Self-employed Social Insurance Contributions (ils_sicse)		2,811	2,965	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	3,275	3,349	NaN	NaN	0.86	0.89	NaN	NaN
Family benefits insurance contributions (tscefa_s)	Y	583	525	506	508	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Sickness insurance contributions (tscesi_s)	Y	2,811	2,809	2,805	2,809	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Pension insurance contributions (tscepi_s)	Y	2,811	2,965	2,965	2,965	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Death & invalidity insurance (tscedi_s)	Y	2,689	2,857	2,857	2,857	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Professional training contribution (only for artisans & I&T) (tsceir_s)	Y	2,446	2,587	2,587	2,587	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Employer Social Insurance Contributions (ils_sicer)		24,399	30,244	30,250	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	26,844	26,998	27,136	NaN	0.91	1.12	1.11	NaN
Sickness insurance contributions (tscersi_s)	Y	30,268	30,261	30,261	30,261	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Family benefits insurance contributions (tscerfa_s)	Y	30,268	30,261	30,261	30,261	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Housing benefits insurance contributions (tscerho_s)	Y	30,255	30,229	30,229	30,229	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
"Pension insurance contributions (includes main contribution, CET & AGF)" (tscerpi_s)	Y	30,268	30,261	30,261	30,261	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Contingency insurance for white collar workers (tscerot_s)	Y	13,130	13,681	13,681	13,681	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Unemployment insurance contributions (tscerui_s)	Y	30,268	30,261	30,261	30,261	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Professional training (tscerir_s)	Y	30,268	30,229	30,229	30,229	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Apprenticeship tax (tscerap_s)	Y	30,268	30,261	30,261	30,261	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Reductions in employers' social security contributions (Fillon reduction) (tscerrd_s)	Y	17,828	17,999	17,985	17,804	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Credited Contributions (ils_sicct)																					
Other Contributions (ils_sicot)																					

Source: Own elaboration.

... continued **Table A3.3**

	Source	Comments
Direct taxes (ils_tax)		
Personal income tax (IRPP) (tin_s)	beneficiaries: https://www.impots.gouv.fr/portail/statistiques amounts: https://www.insee.fr/fr/statistiques/2381408#tableau-figure1	-
Property taxes (tpr)	-	-
Generalized social contributions (CSG) (tscxc_s)	amounts: https://www.insee.fr/fr/statistiques/2381408#tableau-figure1	-
Contributions for debt repayment (CRDS) (tscdf_s)	amounts: https://www.insee.fr/fr/statistiques/2381408#tableau-figure1	-
Social insurance contributions on capital income (tsckt_s)	beneficiaries: https://www.impots.gouv.fr/portail/statistiques amounts: https://www.insee.fr/fr/statistiques/2381408#tableau-figure1	-
Exceptional contributions on high income earners (CEHR) (tinto_s)	-	-
Differential contribution on high income (CDHR) (tinto01_s)	-	-
Wealth tax (ISF) (twl)	beneficiaries: https://www.impots.gouv.fr/portail/statistiques amounts: https://www.insee.fr/fr/statistiques/2381408#tableau-figure1	-
Residential tax (TH) (tmu)	-	-
Employee Social Insurance Contributions (ils_sicee)		
Sickness insurance contributions (tsceesi_s)	-	-
Pension insurance contributions (tscepi_s)	-	-
Unemployment insurance contributions (tsceui_s)	-	-
Self-employed Social Insurance Contributions (ils_sicse)		
Family benefits insurance contributions (tscsefa_s)	-	-
Sickness insurance contributions (tscsesi_s)	-	-
Pension insurance contributions (tscsepi_s)	-	-
Death & invalidity insurance (tscsedi_s)	-	-
Professional training contribution (only for artisans & I&T) (tscseir_s)	-	-
Employer Social Insurance Contributions (ils_sicer)		

	Source	Comments
Sickness insurance contributions (tscersi_s)	-	-
Family benefits insurance contributions (tscerfa_s)	-	-
Housing benefits insurance contributions (tscerho_s)	-	-
"Pension insurance contributions (includes main contribution, CET & AGF)" (tscerpi_s)	-	-
Contingency insurance for white collar workers (tscerot_s)	-	-
Unemployment insurance contributions (tscerui_s)	-	-
Professional training (tscerir_s)	-	-
Apprenticeship tax (tscerap_s)	-	-
Reductions in employers' social security contributions (Fillon reduction) (tscerrd_s)	-	-
Credited Contributions (ils_sicct)		
Other Contributions (ils_sicot)		

Source: Own elaboration.

Table A3.4. Direct taxes and SIC - Annual amounts (millions)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Direct taxes (ils_tax)																					
Personal income tax (IRPP) (tin_s)	Y	77,395	82,096	82,719	85,543	80,834	82,148	81,528	82,292	0.96	1.00	1.01	1.04	82,075	83,547	NaN	NaN	0.94	0.98	NaN	NaN
Property taxes (tpr)	N	32,924	20,996	21,915	22,120	32,924	20,996	21,915	22,120	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Generalized social contributions (CSG) (tsxc_s)	Y	133,454	142,294	146,101	148,915	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	141,064	147,450	153,131	NaN	0.95	0.97	0.95	NaN
Contributions for debt repayment (CRDS) (tscdf_s)	Y	7,944	8,412	8,659	8,855	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	8,338	8,727	9,084	NaN	0.95	0.96	0.95	NaN
Social insurance contributions on capital income (tsckt_s)	Y	9,399	11,542	11,724	11,806	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	7,203	7,167	6,899	7,731	1.30	1.61	1.70	1.53
Exceptional contributions on high income earners (CEHR) (tinto_s)	Y	135	259	276	294	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Differential contribution on high income (CDHR) (tinto01_s)	Y	NaN	NaN	NaN	137	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Wealth tax (ISF) (twl)	N	19,927	21,009	24,663	24,937	19,927	21,009	24,663	24,937	1.00	1.00	1.00	1.00	2,270	2,296	2,678	NaN	8.78	9.15	9.21	NaN
Residential tax (TH) (tmu)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	5,468	2,754	3,317	NaN	0.00	0.00	0.00	NaN
Employee Social Insurance Contributions (ils_sicee)		93,678	97,919	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	96,734	101,910	NaN	NaN	0.97	0.96	NaN	NaN
Sickness insurance contributions (tsceesi_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Pension insurance contributions (tscepi_s)	Y	93,585	97,819	100,079	102,555	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Unemployment insurance contributions (tsceui_s)	Y	93	100	102	105	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Self-employed Social Insurance Contributions (ils_sicse)		22,893	23,216	23,848	24,412	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	16,100	15,180	16,446	18,822	1.42	1.53	1.45	1.30
Family benefits insurance contributions (tscsefa_s)	Y	1,531	1,369	1,358	1,405	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Sickness insurance contributions (tscesesi_s)	Y	5,507	5,157	5,239	5,375	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Pension insurance contributions (tscsepi_s)	Y	15,460	16,246	16,782	17,156	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Death & invalidity insurance (tscsedi_s)	Y	138	155	163	166	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Professional training contribution (only for artisans & I&T) (tscseir_s)	Y	257	290	306	310	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Employer Social Insurance Contributions (ils_sicer)		NaN	313,636	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	281,881	NaN	NaN	NaN	1.11	NaN	NaN
Sickness insurance contributions (tscersi_s)	Y	90,919	94,707	96,850	103,832	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Family benefits insurance contributions (tscerfa_s)	Y	37,605	39,390	40,261	41,831	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Housing benefits insurance contributions (tscerho_s)	Y	4,880	5,115	5,229	5,360	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
"Pension insurance contributions (includes main contribution, CET & AGF)" (tscerpi_s)	Y	163,399	170,698	175,815	180,198	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Contingency insurance for white collar workers (tscerot_s)	Y	4,920	5,387	5,603	5,714	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Unemployment insurance contributions (tscerui_s)	Y	40,206	41,880	43,288	44,811	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Professional training (tsцерir_s)	Y	14,152	4,604	4,706	4,824	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Apprenticeship tax (tsцерap_s)	Y	6,637	6,957	7,111	7,289	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Reductions in employers' social security contributions (Fillon reduction) (tsцерrd_s)	Y	58,439	55,101	56,375	56,422	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Credited Contributions (ils_sicct)																					
Other Contributions (ils_sicot)																					

Source: Own elaboration.

Table A3.5. Benefits - Number of recipients (thousands)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Pensions (ils_pen)																					
old-age pensions (poa00)	N	16,484	16,436	16,436	16,436	16,484	16,436	16,436	16,436	1.00	1.00	1.00	1.00	16,062	17,198	NaN	NaN	1.03	0.96	NaN	NaN
disability pensions (pdi00)	N	1,381	1,392	1,392	1,392	1,381	1,392	1,392	1,392	1.00	1.00	1.00	1.00	721	703	NaN	NaN	1.92	1.98	NaN	NaN
survivor pensions (psu)	N	2,171	2,105	2,105	2,105	2,171	2,105	2,105	2,105	1.00	1.00	1.00	1.00	480	463	NaN	NaN	4.52	4.55	NaN	NaN
Means-tested benefits (ils_benmt)																					
Means-tested benefit for young children (PAJE) (bchyc_s)	Y	811	971	1,011	1,033	1,274	1,603	1,603	1,603	0.64	0.61	0.63	0.64	1,366	1,317	1,286	1,222	0.59	0.74	0.79	0.85
Means-tested Survivor Minimum Pension (Allocation veuvage AV) (bsuwd_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Unemployment assistance Benefit (Allocation de solidarité spécifique ASS) (bunmt_s)	Y	888	520	543	538	1,195	1,092	1,092	1,092	0.74	0.48	0.50	0.49	306	265	257	279	2.90	1.97	2.11	1.93
Means-tested benefit for large families (CF) (bchlg_s)	Y	1,003	904	914	918	382	362	362	362	2.62	2.50	2.52	2.54	829	815	814	NaN	1.21	1.11	1.12	NaN
Means tested educational grant (ARS) (bched_s)	Y	2,389	2,371	2,438	2,500	1,322	1,317	1,317	1,317	1.81	1.80	1.85	1.90	2,775	2,705	2,700	NaN	0.86	0.88	0.90	NaN
Means tested birth grant (PN) (bchba_s)	Y	206	331	340	345	112	143	143	143	1.85	2.31	2.37	2.41	494	446	441	NaN	0.42	0.74	0.77	NaN
Means-tested allowance for the elderly (ASPA) (bsaoa_s)	Y	536	524	521	524	636	577	577	577	0.84	0.91	0.90	0.91	691	723	NaN	NaN	0.78	0.72	NaN	NaN
Income tested disability benefit (AAH) (bdi_s)	Y	493	600	877	879	1,123	1,162	1,162	1,162	0.44	0.52	0.76	0.76	1,188	1,197	1,259	NaN	0.41	0.50	0.70	NaN
Means-tested assistance for lone parents (API) (bchlp_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Means-tested guaranteed minimum income (RMI/RSA) (bsa00_s)	Y	1,772	1,718	1,736	1,713	4,269	3,180	3,180	3,180	0.41	0.54	0.55	0.54	1,661	1,633	1,612	1,631	1.07	1.05	1.08	1.05
Income tested housing allowance for those renting (AL) (bhotn_s)	Y	5,027	5,236	5,297	5,273	6,492	6,687	6,687	6,687	0.77	0.78	0.79	0.79	5,080	4,816	4,920	NaN	0.99	1.09	1.08	NaN
Refund of the working tax credit (PPE) (tinrf_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other means-tested allowances for families with children (bchot_s)	Y	4,348	7,668	7,668	7,668	7,184	7,668	7,668	7,668	0.61	1.00	1.00	1.00	4,815	4,829	4,758	NaN	0.90	1.59	1.61	NaN
Other means-tested benefits (bsaot)	N	18,652	7,598	7,598	7,598	27,974	7,598	7,598	7,598	0.67	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other means-tested housing benefits (bhoot)	N	1,176	1,637	1,637	1,637	2,006	1,637	1,637	1,637	0.59	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Scholarships (bed)	N	741	862	862	862	832	862	862	862	0.89	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Activity allowance (bsawk_s)	Y	4,479	4,594	4,790	4,654	4,947	4,778	4,778	4,778	0.91	0.96	1.00	0.97	4,466	4,409	4,280	NaN	1.00	1.04	1.12	NaN
Covid-19 social assistance (bsaecm_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Inflation compensation (binxp_s)	Y	23,828	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Energy voucher (bhoey_s)	Y	11,901	5,300	5,077	4,912	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Inflation compensation for civil servants (binpb_s)	Y	0	1,571	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Non-means-tested benefits (ils_bennt)																					
Contributory sickness benefit (bhl)	N	948	883	883	883	948	883	883	883	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Contributory unemployment benefit (ARE) (bunct_s)	Y	4,019	3,800	3,800	3,800	4,063	3,820	3,820	3,820	0.99	0.99	0.99	0.99	2,905	2,963	3,009	3,027	1.38	1.28	1.26	1.26
Universal child benefit (AF) (bch00_s)	Y	4,650	4,663	4,659	4,659	8,119	8,083	8,083	8,083	0.57	0.58	0.58	0.58	4,592	4,561	4,517	NaN	1.01	1.02	1.03	NaN
Supplement for free choice of activity (CLCA) (bchcc_s)	Y	107	197	197	197	193	238	238	238	0.55	0.82	0.82	0.82	212	201	185	NaN	0.51	0.98	1.07	NaN
Family support allowance (ASF) (bchor_s)	Y	166	230	230	230	0	0	0	0	0.00	0.00	0.00	0.00	727	787	819	NaN	0.23	0.29	0.28	NaN
Maternity allowance (PARBEN) (bmact_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Paternity allowance (PARBEN) (bpact_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Covid-19 wage compensation paid by the state (bwkmcee_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Covid-19 self-employment compensation paid by the state (bwkmcse_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Covid-19 exceptional support for self-employed (Aide CPSTI RCI COVID-19) (bseec_s)	Y	68	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

... continued **Table A3.5**

	Source	Comments
Pensions (ils_pen)		
old-age pensions (poa00)	https://drees.solidarites-sante.gouv.fr/publications-documents-de-reference/panoramas-de-la-drees/les-retraites-et-les-retraites-edition	-
disability pensions (pdi00)	beneficiaries: https://drees.solidarites-sante.gouv.fr/publications-documents-de-reference/panoramas-de-la-drees/les-retraites-et-les-retraites-edition amounts: https://www.securite-sociale.fr/la-secu-en-detail/comptes-de-la-securite-sociale/rapports-de-la-commission	-
survivor pensions (psu)	beneficiaries: https://drees.solidarites-sante.gouv.fr/publications-documents-de-reference/panoramas-de-la-drees/les-retraites-et-les-retraites-edition amounts: https://www.securite-sociale.fr/la-secu-en-detail/comptes-de-la-securite-sociale/rapports-de-la-commission	-
Means-tested benefits (ils_benmt)		
Means-tested benefit for young children (PAJE) (bchyc_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Means-tested Survivor Minimum Pension (Allocation veuvage AV) (bsuwd_s)	-	-
Unemployment assistance Benefit (Allocation de solidarité spécifique ASS) (bunmt_s)	beneficiaries : https://statistiques.pole-emploi.org/indem/publication amounts:	-
Means-tested benefit for large families (CF) (bchlq_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Means tested educational grant (ARS) (bched_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Means tested birth grant (PN) (bchba_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Means-tested allowance for the elderly (ASPA) (bsaoa_s)	https://drees.solidarites-sante.gouv.fr/publications-documents-de-reference-communique-de-presse/panoramas-de-la-drees/les-retraites-et-les	Total tous régimes
Income tested disability benefit (AAH) (bdi_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Means-tested assistance for lone parents (API) (bchlp_s)	-	-
Means-tested guaranteed minimum income (RMI/RSA) (bsa00_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole

	Source	Comments
Income tested housing allowance for those renting (AL) (bhotn_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Refund of the working tax credit (PPE) (tinrf_s)	-	-
Other means-tested allowances for families with children (bhot_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Other means-tested benefits (bsaot)	-	-
Other means-tested housing benefits (bhoot)	-	-
Scholarships (bed)	-	-
Activity allowance (bsawk_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Covid-19 social assistance (bsaecm_s)	-	-
Inflation compensation (binxp_s)	-	-
Energy voucher (bhoey_s)	-	-
Inflation compensation for civil servants (binpb_s)	-	-
Non-means-tested benefits (ils_bennt)		
Contributory sickness benefit (bhl)	amounts: https://www.securite-sociale.fr/la-secu-en-detail/comptes-de-la-securite-sociale/rapports-de-la-commission	-
Contributory unemployment benefit (ARE) (bunct_s)	https://statistiques.pole-emploi.org/indem/publication	-
Universal child benefit (AF) (bch00_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Supplement for free choice of activity (CLCA) (bchcc_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Family support allowance (ASF) (bchor_s)	beneficiaries: http://data.caf.fr/dataset/les-beneficiaires-tous-regimes-de-prestations-familiales-et-sociales/resource/b36b9c95-db88-4252-93a0-c9cc71683bea Amounts: http://data.caf.fr/dataset/les-depenses-tous-regimes-de-prestations-familiales-et-sociales/resource/9d65fa40-4cce-498f-8810-b763c3efea2c	Figures Metropole
Maternity allowance (PARBEN) (bmact_s)	-	-
Paternity allowance (PARBEN) (bpact_s)	-	-
Covid-19 wage compensation paid by the state (bwkmcee_s)	-	-

Source		Comments
Covid-19 self-employment compensation paid by the state (bwkmcse_s)	-	-
Covid-19 exceptional support for self-employed (Aide CPSTI RCI COVID-19) (bseec_s)	-	-

Source: Own elaboration.

Table A3.6. Benefits – Annual amounts (million)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Pensions (ils_pen)																					
old-age pensions (poa00)	N	314,969	331,922	349,514	357,203	314,969	331,922	349,514	357,203	1.00	1.00	1.00	1.00	314,800	330,600	353,081	365,086	1.00	1.00	0.99	0.98
disability pensions (pdi00)	N	10,434	8,545	8,997	9,195	10,434	8,545	8,997	9,195	1.00	1.00	1.00	1.00	8,443	8,875	9,415	9,821	1.24	0.96	0.96	0.94
survivor pensions (psu)	N	24,879	26,246	27,637	28,245	24,879	26,246	27,637	28,245	1.00	1.00	1.00	1.00	10,869	10,684	10,695	10,406	2.29	2.46	2.58	2.71
Means-tested benefits (ils_benmt)																					
Means-tested benefit for young children (PAJE) (bchyc_s)	Y	1,526	1,913	2,102	2,199	1,843	2,430	2,561	2,604	0.83	0.79	0.82	0.84	2,785	2,772	NaN	NaN	0.55	0.69	NaN	NaN
Means-tested Survivor Minimum Pension (Allocation veuvage AV) (bsuwd_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Unemployment assistance Benefit (Allocation de solidarité spécifique ASS) (bunmt_s)	Y	2,013	1,763	1,861	1,885	2,117	1,954	2,043	2,078	0.95	0.90	0.91	0.91	2,000	17,511	NaN	NaN	1.01	0.10	NaN	NaN
Means-tested benefit for large families (CF) (bchlg_s)	Y	2,801	2,574	2,742	2,812	543	552	575	592	5.16	4.66	4.77	4.75	2,234	2,269	NaN	NaN	1.25	1.13	NaN	NaN
Means tested educational grant (ARS) (bched_s)	Y	1,607	1,645	1,783	1,856	703	753	791	804	2.29	2.18	2.26	2.31	1,958	1,937	NaN	NaN	0.82	0.85	NaN	NaN
Means tested birth grant (PN) (bchba_s)	Y	204	339	364	376	62	94	99	100	3.31	3.59	3.69	3.75	499	478	NaN	NaN	0.41	0.71	NaN	NaN
Means-tested allowance for the elderly (ASPA) (bsaoa_s)	Y	5,280	5,452	5,700	5,876	3,040	3,256	3,429	3,504	1.74	1.67	1.66	1.68	3,817	4,106	NaN	NaN	1.38	1.33	NaN	NaN
Income tested disability benefit (AAH) (bdi_s)	Y	5,452	6,612	9,366	9,519	9,516	9,807	10,298	10,473	0.57	0.67	0.91	0.91	10,875	11,579	NaN	NaN	0.50	0.57	NaN	NaN
Means-tested assistance for lone parents (API) (bchlp_s)	Y	NaN	NaN	NaN	NaN	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Means-tested guaranteed minimum income (RMI/RSA) (bsa00_s)	Y	9,449	9,191	9,578	9,659	9,972	9,547	9,914	10,195	0.95	0.96	0.97	0.95	10,495	10,701	NaN	NaN	0.90	0.86	NaN	NaN
Income tested housing allowance for those renting (AL) (bhotn_s)	Y	13,058	13,843	14,485	14,770	11,991	12,442	12,877	13,435	1.09	1.11	1.12	1.10	13,302	13,711	NaN	NaN	0.98	1.01	NaN	NaN
Refund of the working tax credit (PPE) (tinrf_s)	Y	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other means-tested allowances for families with children (bchot_s)	Y	7,831	9,736	10,222	10,396	7,831	9,736	10,222	10,396	1.00	1.00	1.00	1.00	9,514	10,943	NaN	NaN	0.82	0.89	NaN	NaN
Other means-tested benefits (bsaot)	N	8,737	5,540	5,753	5,915	8,737	5,540	5,753	5,915	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other means-tested housing benefits (bhoot)	N	1,977	1,645	1,703	1,776	1,977	1,645	1,703	1,776	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Scholarships (bed)	N	1,430	1,782	1,782	1,782	1,430	1,782	1,782	1,782	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Activity allowance (bsawk_s)	Y	11,808	12,267	13,374	13,091	6,497	6,600	6,896	7,013	1.82	1.86	1.94	1.87	9,250	9,735	NaN	NaN	1.28	1.26	NaN	NaN
Covid-19 social assistance (bsaeccm_s)	Y	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Inflation compensation (binxp_s)	Y	3,841	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Energy voucher (bhoey_s)	Y	2,563	848	821	801	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Inflation compensation for civil servants (binpb_s)	Y	NaN	875	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Non-means-tested benefits (ils_bennt)																					
Contributory sickness benefit (bhl)	N	3,384	3,532	3,670	3,751	3,384	3,532	3,670	3,751	1.00	1.00	1.00	1.00	12,401	10,955	11,775	12,075	0.27	0.32	0.31	0.31
Contributory unemployment benefit (ARE) (bunct_s)	Y	33,606	35,153	36,390	37,138	32,059	33,747	35,062	35,839	1.05	1.04	1.04	1.04	29,847	31,239	NaN	NaN	1.13	1.13	NaN	NaN
Universal child benefit (AF) (bch00_s)	Y	11,402	11,797	12,416	12,687	14,154	13,800	14,331	14,737	0.81	0.85	0.87	0.86	12,095	12,406	NaN	NaN	0.94	0.95	NaN	NaN
Supplement for free choice of activity (CLCA) (bchcc_s)	Y	429	717	750	763	353	386	405	412	1.21	1.86	1.85	1.85	728	715	NaN	NaN	0.59	1.00	NaN	NaN
Family support allowance (ASF) (bchor_s)	Y	455	844	883	898	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	1,759	2,682	NaN	NaN	0.26	0.31	NaN	NaN
Maternity allowance (PARBEN) (bmact_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	3,293	3,247	3,261	3,292	0.00	0.00	0.00	0.00
Paternity allowance (PARBEN) (bpact_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	582	603	622	620	0.00	0.00	0.00	0.00
Covid-19 wage compensation paid by the state (bwkmcee_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Covid-19 self-employment compensation paid by the state (bwkmcse_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Covid-19 exceptional support for self-employed (Aide CPSTI RCI COVID-19) (bseec_s)	Y	85	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

Table A3.7. Distribution of equivalised disposable income

	EUROMOD				External				Ratio			
	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Decile 1	3.60	3.65	3.70	3.68	3.00	3.10	NaN	NaN	1.20	1.18	NaN	NaN
Decile 2	5.42	5.30	5.36	5.36	5.20	5.10	NaN	NaN	1.04	1.04	NaN	NaN
Decile 3	6.40	6.29	6.35	6.36	6.30	6.30	NaN	NaN	1.02	1.00	NaN	NaN
Decile 4	7.30	7.21	7.25	7.25	7.40	7.20	NaN	NaN	0.99	1.00	NaN	NaN
Decile 5	8.20	8.13	8.15	8.16	8.30	8.20	NaN	NaN	0.99	0.99	NaN	NaN
Decile 6	9.16	9.13	9.15	9.15	9.30	9.30	NaN	NaN	0.98	0.98	NaN	NaN
Decile 7	10.29	10.24	10.23	10.25	10.40	10.30	NaN	NaN	0.99	0.99	NaN	NaN
Decile 8	11.78	11.72	11.69	11.74	11.90	11.90	NaN	NaN	0.99	0.98	NaN	NaN
Decile 9	13.97	14.11	14.06	14.03	14.20	14.30	NaN	NaN	0.98	0.99	NaN	NaN
Decile 10	23.89	24.21	24.06	24.02	24.00	24.30	NaN	NaN	1.00	1.00	NaN	NaN
Median	23,421	24,846	25,707	26,316	24,179	25,557	NaN	NaN	0.97	0.97	NaN	NaN
Mean	27,055	28,844	29,722	30,383	27,577	29,297	NaN	NaN	0.98	0.98	NaN	NaN
Gini	28.67	29.13	28.82	28.79	29.70	30.00	NaN	NaN	0.97	0.97	NaN	NaN
S80/20	4.20	4.28	4.21	4.20	4.63	4.66	NaN	NaN	0.91	0.92	NaN	NaN

Source: Own elaboration.

Table A3.8. At-risk-of-poverty rates (%) by sex and age

	EUROMOD				External				Ratio			
	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
40% median HDI by sex												
Total	3.17	3.14	3.09	3.15	4.40	4.50	NaN	NaN	0.72	0.70	NaN	NaN
Males	3.10	3.01	2.97	3.00	4.30	4.50	NaN	NaN	0.72	0.67	NaN	NaN
Females	3.23	3.27	3.20	3.29	4.60	4.60	NaN	NaN	0.70	0.71	NaN	NaN
50% median HDI by sex												
Total	7.32	7.70	7.61	7.67	8.80	8.80	NaN	NaN	0.83	0.87	NaN	NaN
Males	6.99	7.47	7.39	7.41	8.20	8.50	NaN	NaN	0.85	0.88	NaN	NaN
Females	7.63	7.91	7.81	7.90	9.30	9.10	NaN	NaN	0.82	0.87	NaN	NaN
60% median HDI by sex												
Total	12.94	13.60	13.31	13.39	15.40	15.90	NaN	NaN	0.84	0.86	NaN	NaN
Males	12.33	13.08	12.79	12.86	14.40	14.90	NaN	NaN	0.86	0.88	NaN	NaN
Females	13.50	14.09	13.79	13.89	16.30	16.80	NaN	NaN	0.83	0.84	NaN	NaN
70% median HDI by sex												
Total	21.36	21.99	21.63	21.69	23.20	23.20	NaN	NaN	0.92	0.95	NaN	NaN
Males	20.19	20.85	20.41	20.50	21.80	22.00	NaN	NaN	0.93	0.95	NaN	NaN
Females	22.46	23.05	22.76	22.81	24.40	24.30	NaN	NaN	0.92	0.95	NaN	NaN
60% median HDI by age group												
0-15 years	20.00	19.84	19.68	19.85	21.50	21.20	NaN	NaN	0.93	0.94	NaN	NaN
16-24 years	17.79	19.22	19.17	19.29	21.50	22.90	NaN	NaN	0.83	0.84	NaN	NaN
25-49 years	11.49	11.68	11.64	11.79	13.30	13.50	NaN	NaN	0.86	0.86	NaN	NaN
50-64 years	11.38	13.31	12.51	12.52	13.30	15.20	NaN	NaN	0.86	0.88	NaN	NaN
65+ years	8.38	8.44	8.03	8.00	12.40	12.40	NaN	NaN	0.68	0.68	NaN	NaN

Source: Own elaboration.

Table A3.9. Consumption taxes (non-calibrated) - Annual amounts (millions)

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Consumption-tax-related statistics non-calibrated (ils_extstat_ittncl)													
Aggregate expenditures non-calibrated (ils_extstat_ittncl_il_itt_expnc)													
01 Food and non-alcoholic beverages (il_x01)	Y	104,939	144,463	149,238	152,569	182,900	199,773	206,159	206,159	0.57	0.72	0.72	0.74
02 Alcoholic beverages, tobacco, etc. (il_x02)	Y	11,209	13,134	13,571	13,878	46,567	52,434	54,233	54,233	0.24	0.25	0.25	0.26
03 Clothing and footwear (il_x03)	Y	37,549	48,558	50,066	51,158	45,289	50,910	52,576	52,576	0.83	0.95	0.95	0.97
04 Housing, water and fuel (exc. imputed rent) (il_x04)	Y	106,041	154,451	159,465	163,017	168,988	185,113	191,437	191,437	0.63	0.83	0.83	0.85
05 Furnishings, household equipment, etc. (il_x05)	Y	49,028	51,756	53,427	54,610	62,731	71,140	73,631	73,631	0.78	0.73	0.73	0.74
06 Health (il_x06)	Y	14,251	17,097	17,634	18,025	55,090	60,933	63,009	63,009	0.26	0.28	0.28	0.29
07 Transport (il_x07)	Y	124,062	155,240	159,998	163,569	187,209	199,443	206,029	206,029	0.66	0.78	0.78	0.79
08 Communications (il_x08)	Y	20,541	30,216	31,191	31,888	32,351	37,050	38,314	38,314	0.63	0.82	0.81	0.83
09 Recreation and culture (il_x09)	Y	54,522	66,125	68,208	69,732	109,715	117,564	121,490	121,490	0.50	0.56	0.56	0.57
10 Education (il_x10)	Y	4,626	5,458	5,603	5,726	7,094	10,140	10,485	10,485	0.65	0.54	0.53	0.55
11 Hotels and restaurants (il_x11)	Y	53,440	53,813	55,339	56,572	111,785	107,935	111,610	111,610	0.48	0.50	0.50	0.51
12 Miscellaneous good and services (il_x12)	Y	111,422	138,584	143,076	146,291	170,279	188,058	194,650	194,650	0.65	0.74	0.74	0.75
Revenue from indirect taxes (non calibrated) (ils_extstat_ittncl_il_itt_revnc)													
VAT Total Revenue (il_tva)	Y	71,699	88,834	93,625	96,208	199,272	206,049	206,332	NaN	0.36	0.43	0.45	NaN
Excises Total Revenue (il_tx)	Y	14,024	20,693	20,322	23,138	54,721	48,384	NaN	NaN	0.26	0.43	NaN	NaN
Total excises (non calibrated) (ils_extstat_ittncl_il_itt_excnc)													
Revenues Excises 0211 - Spirits (il_tx0211)	Y	264	360	349	361	2,283	2,225	NaN	NaN	0.12	0.16	NaN	NaN
Revenues Excises 02121 - Still Wine (il_tx02121)	Y	42	41	45	46	77	75	NaN	NaN	0.54	0.55	NaN	NaN

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Revenues Excises 02122 - Sparkling Wine (il_tx02122)	Y	0	0	0	0	28	29	NaN	NaN	0.00	0.00	NaN	NaN
Revenues Excises 0213 - Beer (il_tx0213)	Y	261	350	251	261	1,079	1,073	NaN	NaN	0.24	0.33	NaN	NaN
Revenues Excises 022 - Tobacco (il_tx022)	Y	0	0	0	0	13,478	13,261	NaN	NaN	0.00	0.00	NaN	NaN
Revenues Excises 045 - Energy (electricity, natural gas, coal-coke) (il_tx045)	Y	3,090	5,423	3,895	6,007	5,269	NaN	NaN	NaN	0.59	NaN	NaN	NaN
Revenues Excises 0451 - Electricity (il_tx0451)	Y	2,297	4,173	2,526	4,353	2,993	NaN	NaN	NaN	0.77	NaN	NaN	NaN
Revenues Excises 04521 - Natural Gas (il_tx04521)	Y	377	470	532	772	2,269	NaN	NaN	NaN	0.17	NaN	NaN	NaN
Revenues Excises All Energy (il_tx045_072)	Y	13,457	19,942	19,676	22,470	37,776	NaN	NaN	NaN	0.36	NaN	NaN	NaN

Source: Own elaboration.

Table A3.10. Consumption taxes (calibrated) - Annual amounts (millions)

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Consumption-tax-related statistics calibrated (ils_extstat_ittcal)													
Revenue from indirect taxes (calibrated) (il_itt_revc)													
VAT Total Revenue (il_tva_na)	Y	117,847	126,346	134,337	136,306	199,272	206,049	206,332	NaN	0.59	0.61	0.65	NaN
Excises Total Revenue (il_tx_na)	Y	22,923	28,152	27,576	30,681	54,721	48,384	NaN	NaN	0.42	0.58	NaN	NaN
Total excises (calibrated) (il_itt_excc)													
Revenues Excises 0211 - Spirits (il_tx0211_na)	Y	1,096	1,438	1,397	1,422	2,283	2,225	NaN	NaN	0.48	0.65	NaN	NaN
Revenues Excises 02121 - Still Wine (il_tx02121_na)	Y	174	164	179	182	77	75	NaN	NaN	2.26	2.19	NaN	NaN
Revenues Excises 02122 - Sparkling Wine (il_tx02122_na)	Y	0	0	0	0	28	29	NaN	NaN	0.00	0.00	NaN	NaN
Revenues Excises 0213 - Beer (il_tx0213_na)	Y	1,084	1,397	1,004	1,031	1,079	1,073	NaN	NaN	1.00	1.30	NaN	NaN
Revenues Excises 022 - Tobacco (il_tx022_na)	Y	0	0	0	0	13,478	13,261	NaN	NaN	0.00	0.00	NaN	NaN
Revenues Excises 045 - Energy (electricity, natural gas, coal-coke) (il_tx045_na)	Y	4,924	6,500	4,676	7,119	5,269	NaN	NaN	NaN	0.93	NaN	NaN	NaN
Revenues Excises 0451 - Electricity (il_tx0451_na)	Y	3,660	5,002	3,032	5,159	2,993	NaN	NaN	NaN	1.22	NaN	NaN	NaN
Revenues Excises 04521 - Natural Gas (il_tx04521_na)	Y	601	563	639	915	2,269	NaN	NaN	NaN	0.26	NaN	NaN	NaN
Revenues Excises All Energy (il_tx045_072_na)	Y	20,569	25,153	24,997	28,045	37,776	NaN	NaN	NaN	0.54	NaN	NaN	NaN

Source: Own elaboration.